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Subject matter experts

Cheronn Collins, SHRM-SCP, SPHR
Independent Consultant
Gaithersburg, Maryland, U.S.

Susan K. Craft, MSHRM, SHRM-SCP, SPHR, GPHR
President, Consulting by Design of Princess Anne
Virginia Beach, Virginia, U.S

Ed Hasan, EdD, MBA, SHRM-SCP, SPHR
CEO and Managing Partner, Kaizen Human Capital
Adjunct Professor, Georgetown University

Tom O'Connor, JD, SHRM-SCP, GPHR, SPHRi
Human Resource Director, North America, BK Medical
Boston, Massachusetts, U.S.

Dr. Patricia A. Sullivan, SHRM-SCP
Leadership Coach/Culture Strategist
St. Petersburg, Florida, U.S.

Past subject matter experts

Dennis Carr, MSIR, SHRM-SCP
Chief Human Resource Officer, Lane Community College
Eugene, Oregon, U.S.

Jennifer C. Loftus, MBA, SHRM-SCP, GPHR, SPHR, PHRca, CCP, CBP, GRP
National Director, Astron Solutions
New York, New York, U.S.

Introduction to *Workplace* Domain

This domain in the SHRM Learning System® for SHRM-CP/SHRM-SCP includes four Functional Areas: Managing a Global Workforce, Risk Management, Corporate Social Responsibility, and U.S. Employment Law & Regulations.

Throughout the module, brief scenarios, titled “Competency Connection,” describe how the Behavioral Competencies listed in the SHRM Body of Applied Skills and Knowledge™ apply to the Functional Area under discussion.

While this module includes legal content, it should not be construed as legal advice or as pertaining to specific factual situations. No general statement of law, no matter how seemingly simple, can be applied to any particular factual situation without a full, careful, and confidential analysis of all relevant facts, the employer’s policies and practices, and the applicable laws of the jurisdiction(s) in which the employer operates.

Key Content

The content in this domain accounts for 14% of the SHRM-CP and SHRM-SCP exams.

Managing a Global Workforce

Managing a Global Workforce focuses on the role of the HR professional in managing global and mobile workforces to achieve organizational objectives.

Proficiency Indicators:

Proficiency indicators for **all HR professionals** include:

- Administers and supports HR activities associated with a global and mobile workforce.
- Balances the organization's desire for standardization of cross-border HR programs, practices and policies with local needs.
- Maintains up-to-date knowledge of political, economic, social, technological, legal and environmental (PESTLE) factors and their influence on an organization's universal workforce.
- Manages and supports the organization's immigration and mobility program in accordance with regulatory or compliance requirements.
- Manages the day-to-day activities associated with international (i.e., expatriate) assignments.

Proficiency indicators for **advanced HR professionals** include:

- Consults with business leaders to define global competencies and embed them throughout the organization.
- Designs and oversees programs for international (i.e., expatriate) assignments that support the organizational strategy and workforce.
- Develops a comprehensive organizational strategy that addresses global workforce issues.

- Establishes and oversees the organization’s immigration and mobility policy and program in accordance with regulatory or compliance requirements.
- Identifies opportunities to achieve efficiencies and cost savings by moving work across borders.
- Recognizes and responds to global PESTLE issues that influence the organization’s strategy and workforce.

Key Concepts:

- Best practices for international assignments (examples include performance expectations and evaluations, health and safety, compensation adjustments, socialization, assessing employee and family readiness, training on culture and resources, language training, education travel grants, rental subsidies, transition plans, repatriation).
- HR structures that support global work (examples include immigration and mobility specialists, geographic centers of excellence, global job classifications, international business travel policies).
- Immigration and mobility (examples include laws, visa processes and requirements, sponsorship expenses).
- Methods for moving work (examples include offshoring, onshoring, nearshoring, remote teams).

Managing a Global Workforce

Technology continues to create a more globally connected marketplace. Some organizations are expanding beyond their borders and creating multicultural workforces. Others are creating multinational markets for their goods and services or multinational supply chains. Human resources can help organizations fully access the benefits that globalization can provide, but, to do this, HR professionals must understand the principles behind globalization and the varying ways that organizations can approach it.

Having a global strategy is crucial to successfully navigating the global environment. Creating and following organizational policies on important issues such as moving work across borders can help avoid some of the issues that arise as organizations expand globally. Those policies require the support of HR leadership to create and help embed the policies throughout the organization.

As organizations expand globally, they may need to assign employees to foreign positions. Properly selecting, placing, and supporting candidates from the beginning of their assignment through their successful return and readjustment is a key concern for HR professionals who are charged with the task of supporting that process.

Globalization

Proficiency indicators related to this section include:

- Administers and supports HR activities associated with a global and mobile workforce.
- Balances the organization’s desire for standardization of cross-border HR programs, practices and policies with local needs.
- Maintains up-to-date knowledge of political, economic, social, technological, legal and environmental (PESTLE) factors and their influence on an organization’s universal workforce.
- Consults with business leaders to define global competencies and embed them throughout the organization.
- Recognizes and responds to global PESTLE issues that influence the organization’s strategy and workforce.

Key concepts related to this section include:

- HR structures that support global work (examples include immigration and mobility specialists, geographic centers of excellence, global job classifications, international business travel policies).

Globalization

Understanding globalization is crucial to functioning successfully in today's global economy, as the speed at which global events occur and impact businesses continues to increase. This understanding includes the background and definition of globalization as well as factors affecting it, such as global crises.

Competency Connection

Fulfilling the HR function in a global organization can be especially challenging. Differences in cultures and laws can combine with the challenges of language barriers and communicating over physical distances. In the following story, a termination case exposed these difficulties within the HR function itself. This case argues for the need to develop HR competencies not only in Global Mindset but also in Business Acumen and Relationship Management.

HR for a multinational company was headquartered in the U.S., with country HR managers in the countries of operation. In one of these countries, the HR manager wanted to terminate an under-performing HR specialist and was hitting various obstacles. A clear case could be made for termination based on performance alone. The specialist had committed numerous errors, had probably led to the departure of many of her own reports, and had scored poorly on a 360-degree

evaluation. However, the specialist had recently become pregnant, and the country's benefits for maternity (about six months' leave with pay) and for protection from termination (until the child is one year old) were significant. To complicate matters further, the company was downsizing and several HR personnel would be terminated as part of the reduction in force.

A local legal consultant recommended terminating the specialist as part of the downsizing. The specialist rejected the employer's standard separation agreement, which was not as good as the maternity benefits that the specialist believed she was entitled to. Negotiations stalled. The country general manager was familiar with the culture of the HR manager and the HR employee and the country's laws, appreciated the difficulty of the situation, and approved a settlement. However, the settlement also had to be approved by the HR VP, located in the U.S.

The HR VP vigorously rejected the specialist's agreement, saying that it was inconsistent with the company's policies and practices. The VP's perspective was based on the U.S. principle of employment at-will (EAW)—the company had the right to terminate employees without cause. EAW did not apply in the employee's country, however. In addition, the VP's authoritarian and independent cultural style conflicted with the HR manager's more

collaborative and collectivist style. Significant language difficulties and distance seemed to make these differences more difficult to manage.

Eventually the VP agreed to an offer that included benefits “in recognition of previous contributions” the specialist had made. But the conflict over how to settle the claim had damaged the relationship between the VP HR and the HR manager, and, as the dispute dragged on, there was evidence that it had affected the employer’s image in this host country.

Defining Globalization

Author Thomas L. Friedman views **globalization** in terms of the extent and accelerating speed of integration, defining it as:

> The inevitable integration of markets, nation-states and technologies to a degree never witnessed before—in a way that is enabling individuals, corporations and nation-states to reach around the world farther, faster, deeper and cheaper than ever before and in a way that is enabling the world to reach into individuals, corporations and nation-states farther, faster, and deeper, cheaper than ever before.

Technology has been the primary driver of globalization, and it continues to advance at a considerable rate. There are a number of ways that globalization has changed, and continues to change, the way we work and live.

- **Communications.** The Internet in particular but also advances in mobile technology have connected the world as never before. Organizations are no longer bound by national borders or physical proximity when it comes to seeking out top talent or collaboration. Advances in communications have also increased the pace of work.
- **Diversity.** People are coming into contact with a greater diversity of ideas, cultures, methodologies, and business partners. As global trade relations have become more substantial, so too have cultural exchanges increased and organizational change accelerated. As other countries emerge as major players on the global stage (for example, China and India), they have been able to exert certain pressures and preferences on how organizations operate globally. Greater diversity (and competition) has also increased the need for training and coaching, especially cross-cultural training.
- **Automation.** Automation has been a factor in business for decades, but as technology advances, the opportunities for automation grow. Advances in artificial intelligence and machine learning technology also have made certain aspects of work

more efficient and effective. These advances have allowed organizations to be more nimble in the face of changing requirements and/or crises.

- **Competition.** Increased competition can have both positive and negative impacts on peoples' lives. On the one hand, it can offer access to new markets, ideas, and products as well as greater mobility for workers and capital. On the other hand, it can lead to greater outsourcing, which can have downward pressure on wages in an organization's home country.

No organization can afford to ignore or minimize the impacts that globalization can have on their work and on their employees. Recognizing the ways globalization has changed work will help HR professionals to craft effective policies and processes to manage a global workforce.

Globalization Time Line

There are several dates that could mark the beginning of modern globalization. There are also several events and developments that have marked considerable shifts in the global economic system. Some of these dates can be seen in Exhibit 1.

Exhibit 1: Globalization Time Line

Globalization Time Line

Globalization Time Line	
1944	**Bretton Woods Agreement:** The first fully negotiated multilateral trade accord; considered the start of modern global commerce.
1984	**Introduction of Apple Macintosh:** Turning point in the popularization of the personal computer (and in the merging of work life and personal life).
1989	**Fall of the Berlin Wall:** Free market economics flourishes as communism and Soviet-style economic systems collapse.
1990	**First web page posted on Internet:** Marks the start of today's hyperconnected global community.
1994	**Ratification of NAFTA:** North American Free Trade Agreement becomes part of a wave of trade agreements encouraging and simplifying global commerce.
1996	**Smartphones:** First smartphone introduced by Nokia.
2002	**Euro:** Euro replaces most European Union (EU) member currencies.
2003-2005	**Tech companies:** Formation of LinkedIn, YouTube, and Facebook; Google's IPO; and Apple's introduction of the iPhone. Global interconnection increases.
2005	**Google Maps launched:** Provides readily accessible and interactive maps and other information to both individuals and organizations.
2006	**Google Translate launched:** Helps break down language barriers, allowing for some growth in collaboration and greater culture sharing and understanding.
2008	**Recession:** Global recession begins.
2012	**Global shift in FDI:** Foreign direct investment flows into developing economies exceed flows to developed countries for first time.
2016	**TPP:** Discussions on the Trans-Pacific Partnership trade agreement cause impacts—even before the agreement is formalized and accepted internationally—and HR departments have to respond and prepare.
2016	**Brexit:** An abbreviation of "British exit"—June 2016 referendum by British voters to exit the EU. The referendum roils global markets and currencies; the British pound falls to its lowest level in decades. At this writing, Brexit continues to unfold.
2018	**Tariffs:** Following a national election in the United States, tariffs are rapidly announced and begin to be implemented. This causes a chain reaction of tariffs throughout the global trade market, which requires rapid responses by organizations.

Globalization Time Line	
2018	**General Data Protection Regulation (EU privacy law):** The enactment of the General Data Protection Regulation (GDPR) in the EU, which regulates how user data is stored and used within the EU, causes a cascade effect for organizations with a multinational presence. Even though it is enforced only within the EU, many organizations change their policies in every country to ensure compliance with the law's regulations.

Global Crises

Global crises have made it apparent that the world itself is a system in which changes in one part can affect other parts.

- **Economics.** Although the recession of 2009 began in the U.S. financial industry (in 2008), by 2009 it had become a sharp global economic downturn that affected developed and, to an even stronger degree, developing economies. The interlinked financial markets weakened sources of capital, and the sharp reduction of imports by developed economies weakened developing economies, which in turn weakened exports from developed economies.

- **Climate change.** Changes due to rising levels of carbon dioxide and other gases do not recognize political borders. The trend has been toward recognition of climate change and acceptance of some of its causes. Economies have been acting individually and as groups to respond.

- **Pandemics.** Like epidemic, pandemic refers to a contagious infectious or viral illness that spreads. Unlike an epidemic, a pandemic is not limited to one specific geographic region. According to the World Health Organization (WHO) description, a pandemic has the potential to include millions of people in many areas and countries across the globe. The growing understanding and awareness of pandemics, such as the COVID-19, H1N1, Ebola, or Zika virus outbreaks, underscore the need for communication and concerted global response—both during outbreaks and to prepare for outbreaks.

- **Changes in governmental power.** When the controlling party of a government changes, the new party may work to enact new policies concerning things like economics, trade, and immigration. If these policies are markedly different from previous policies, and if they are made rapidly, without allowing for countries and organizations to provide input, respond, or adjust, they may cause major issues across the world.

Each of the above examples can affect HR, often in many different areas. No matter what the global crisis is, organizations must be prepared to understand and respond adequately. Crises may interplay with one another, too—for example, governmental power

changes can lead to an economic crisis or climate change effects can spur a governmental power change.

Global Forces

When examining global forces that are shaping globalization today, it may help to understand the following overarching considerations.

- **Global forces require careful analysis.** HR should strive to understand which globalization events, forces, and trends are significant for a given organization and for HR responsibilities within that organization. It is important for HR to distinguish between large-scale forces and trends and more immediate events and “trendy” phenomena. All may be important and/or have a critical impact, but they need to be understood and interpreted differently. Global warming is different than, say, Hurricane Katrina or the Japanese tsunami of 2011. Likewise, the impact of social networks is different than the sudden popularity of LinkedIn over Facebook.

- **Global forces should be viewed in terms of their connections.** While the various forces shaping globalization can be labeled as PESTLE (political, economic, social, technological, legal, and environmental), these factors are in reality interconnected and can be fully understood only in light

of such connections. Consider global warming as an example. It is an environmental phenomenon with social ramifications, but it is shaped by economic forces and political actions (or inaction) and by legal and technological responses. HR should understand the unique ways in which each significant global force, event, or trend is affecting:

  - The parent organization's home office and its various subsidiary or host countries.
  - Its industry and competitive landscape.
  - The organization's overall goals and strategies.
  - The role HR must play if the parent organization is to maximize the benefits and minimize the costs of that force, event, or trend.

- **Global forces have unique cultural connotations.** While the effects of a given globalization force are global, their impact may be uniquely felt by different cultures, industries, and organizations. To consider global warming again: It differently affects developing vs. developed countries, nonsustainable (oil, coal) vs. sustainable (wind, solar) industries, etc.

The Global Organization

The new global enterprise may be a corporation, a governmental agency, a nongovernmental organization, a nonprofit, an association, or an educational institution. It may be large or small, multinational in structure or simply engaged in international trade—a large Swiss pharmaceutical company with subsidiaries around the world or a Chinese firm with a few hundred employees that creates online gaming applications used by companies located around the world.

In *Going Global*, editor Kyle Lundby defines the successful global organization as one that can "effectively leverage and capitalize upon [its] global footprint" by incorporating four structural/strategic components:

- Physical dispersion—the organization operates in multiple countries
- Diversity of thought, people, and culture that is actively leveraged by a strategic objective
- Unified through a clear single organizational identity
- Global for a reason; self-aware of their global reach and leveraging geographic and cultural diversity to achieve success as they have defined it

As enterprises have become global, they have also learned that globally integrated organizations can often be more innovative. A

global workforce contributes distinctive perspectives and processes to the entire learning organization. The research division of an American multinational technology company, for example, operates research centers in China, Egypt, Germany, India, Israel, the United Kingdom, and the U.S. Although this decision may have been made for many reasons, these worldwide research centers contribute to the organization's character and increase its global competitiveness.

The Role of Global HR

Whatever an enterprise's structure or scope might be, globalization offers both challenges and benefits. Leaders must develop strategies that align the organization's objectives and resources with different countries' operational, legal, and cultural requirements. The global HR professional will play a major role in supporting strategic management by:

- Participating in creating the organization's particular global strategy.
- Aligning HR processes and activities with the organization's global strategy. These activities include:
    - Attracting and retaining leaders and employees with the knowledge and skills needed to implement the organization's strategy.

    - Developing an organizational awareness of globalization and an appreciation of the organization’s constituent cultures.
    - Implementing processes to increase integration and exchange of knowledge.

- Enhancing communication between the organization and its stakeholders.

- Ensuring that the HR function possesses the skills, knowledge, and resources to fulfill its global role and demonstrate its value in global strategic management.

- Adapting processes as needed to the cultural and legal contexts of each area of the global organization. Given the complexity of cultural and legal frameworks, an HR professional may consult with local experts and the organization’s legal counsel. To better understand such legal advice, it may also help to perform preliminary research on the laws of the particular countries with which your organization does business.

Global Strategy

Proficiency indicators related to this section include:

- Administers and supports HR activities associated with a global and mobile workforce.
- Balances the organization's desire for standardization of cross-border HR programs, practices and policies with local needs.
- Designs and oversees programs for international (i.e., expatriate) assignments that support the organizational strategy and workforce.
- Develops a comprehensive organizational strategy that addresses global workforce issues.
- Establishes and oversees the organization's immigration and mobility policy and program in accordance with regulatory or compliance requirements.
- Identifies opportunities to achieve efficiencies and cost savings by moving work across borders.

Key concepts related to this section include:

- HR structures that support global work (examples include immigration and mobility specialists, geographic centers of excellence, global job classifications, international business travel policies).

- Methods for moving work (examples include offshoring, onshoring, nearshoring, remote teams).

Global Strategy

Pursuing business expansion across borders involves considerable financial and strategic risks and investment in and deployment of resources. Such costs and risks help explain why formulating a globalization strategy is a critical precursor to global expansion. An organization may experience both positive and negative effects of these efforts, so it should have compelling reasons for global expansion.

Competency Connection

Global organizations challenge maintaining consistency and fairness throughout all of the organization’s locations. The following scenario shows how one HR function, at all levels, failed to anticipate these challenges.

A multinational business maintained a manufacturing facility in a host country. The HR manager in the host country was responsible for hiring employees for a unit that provided services to the manufacturing function. These employees performed tasks that were demanding, required special training, and involved handling sensitive data. Some of the employees were part-time and had been with the company for over ten years.

The business underwent restructuring that resulted in moving half of this unit to another country and automating the remaining half. All of the part-time employees lost their jobs.

Throughout the restructuring, no one from headquarters had communicated with the host-country HR manager. There were rumors about possible changes, but when headquarters announced the unit's closure and the employees' termination, the part-time employees were shocked and distressed about their future.

One of the affected employees e-mailed the HR manager in the host country and asked for a letter of recommendation. The HR manager declined the request, saying that it was not the organization's policy to issue recommendations for part-time workers. The employee then directly contacted the HR director at the organization's global headquarters and pointed out that the company had previously issued recommendation letters to part-time employees at a different site in the host country. Why were these employees being treated differently?

The HR director issued the recommendation letters and apologized for the inconvenience. The HR director then blamed the host-country HR manager for the misunderstanding. The manager received a poor annual performance assessment and was denied promotion. The organization's employer brand in the country suffered as well

since its treatment of part-time workers was technically legal but not consistent with local business practices.

The problem here started with the failure of HR headquarters to anticipate the impact of restructuring and to involve local HR managers. Business Acumen could have been used to predict and plan for possible outcomes. Global Mindset might have prepared the HR function for differences in business practices and legal requirements in its global operations. The Communication competency could also have been used to prepare the country HR managers and employees for possible changes. The HR organization failed to provide either standardized policies about the rights of part-time employees or guidance about the need for consistency in applying local policies. The host-country HR manager also could have done a better job, using the Leadership & Navigation competency to become more active in the change and more aware of employees' needs.

Push and Pull Factors for Globalization

Global HR must understand an organization's globalization strategy and orientation and how these characteristics influence global HR

activities and then develop and implement appropriate HR strategies.

Understanding the reasons for global expansion can help explain an organization's subsequent strategic decisions about how to globalize. These reasons tend to fall into categories of "pushes" and "pulls." Organizations may have been pushed toward globalization in reaction to changes in the business environment. They may have been pulled toward change through the promise of achieving greater organizational value through globalization. Some of the factors described in Exhibit 2 embody both push and pull motivations.

Exhibit 2: Push/Pull Factors

Push Factors	
Factor	**Definition**
New markets	When domestic market opportunities are exhausted, organizations look overseas for new customers and opportunities.
Cost pressures and competition	Globalization has become a way to cut costs and maintain profitability—for example, through offshoring for labor or to move production closer to markets.
Natural resources and talent supply	Sometimes it is more economical to relocate operations closer to new sources of necessary resources.
Government policies	Relocation may be due to burdensome laws or regulations or may exploit opportunities only available in other markets/regions. (This strategy can be risky and can lead to a backlash in public relations.)
Trade agreements	When foreign competitors gain access to domestic markets, local firms are compelled to expand their markets elsewhere.

Push Factors	
Globalized supply chain	Organizations might discover that following a client or customer overseas makes more business sense than maintaining domestic or existing production/facilities.

Pull Factors	
Factor	**Definition**
Strategic control	A multinational presence can give an organization greater control over its business (production, branding, sector consolidation, etc.).
Government policies	National policies that promote economic expansion (for example, China's "Going Out" policy)—could include tax incentives, special financing terms, or investor risk insulation.
Trade agreements	These agreements can open markets and promote workforce mobility; they can also lower risks by enforcing laws, regulations, and treaties (for example, intellectual property protections).

Strategic Approaches to Globalization

An enterprise may "go global" or internationalize in different ways—through, for example:

- Creating a new entity—either by purchasing an already existing operation (a turnkey operation), by building a new operation from the ground up (a greenfield operation), or by repurposing an existing disused facility (a brownfield operation).
- Acquiring a subsidiary that will be wholly owned and operated through merger and acquisition.
- Entering into an alliance or partnership.

- Outsourcing all or specified tasks to a supplier or performer in the new market.
- Offshoring an existing capability to the new location. Offshoring is a distinctively global expansion tool; it is discussed in more detail elsewhere.

The attractiveness of each strategy depends on many factors, including:

- The enterprise's core strategic goals.
- Its capabilities and resources, both economic and organizational.
- The distances (physical, cultural, legal, sociopolitical) that the enterprise will have to bridge.

Responses to given globalization pushes or pulls may be more tactical than strategic—a move to lower taxes or reduce production costs—or they may speak to larger strategic considerations. But no organization can long succeed with only a succession of tactical reactions to whatever pushes and pulls may come along. A comprehensive business strategy, enabling coordinated responses and proactive measures, is needed for success. So it is with globalization.

Perlmutter described four orientations for multinational corporations, which are explained in Exhibit 3.

Exhibit 3: Perlmutter's Four Multinational Corporation Orientations

Orientation	Definition
Ethnocentric	• Headquarters maintains tight control over subsidiaries, who are expected to follow the strategic pattern, values, policies, and practices expressed by headquarters. • There is “one best way.” • Management will usually share a common ethnic background, different from the ethnic make-up of subsidiaries.
Polycentric	• Subsidiaries are allowed a large measure of independence as long as they are profitable. • They may plot their own paths based on the business and cultural contexts of their countries. • There are “many best ways.”
Regiocentric	• Subsidiaries are grouped into regions (such as Europe, North America, or Asia-Pacific). • Strategic coordination is high within the region but not as high between the region and headquarters.
Geocentric	• Subsidiaries are neither satellites taking orders nor independent bodies setting their own course. Headquarters and subsidiaries are participants in a network, each contributing its unique expertise. • There is essentially “a team way,” transcending national borders.

Perlmutter’s global orientations are evident in the structural strategies of global organizations. There are a range of strategic options available to organizations that wish to (or find they must) compete in the global market.

Global Integration vs. Local Responsiveness

Organizations that choose to compete beyond their national borders develop strategies to meet the needs of their customers and expand their growth opportunities. These needs are commonly expressed as drives toward global integration or local responsiveness, and a broad range of global strategies is possible within the continuum this pair presents.

Global integration (GI) emphasizes consistency of approach, standardization of processes and products, and a common corporate culture across global operations. It allows organizations to take advantage of standard processes and economies of scale to achieve greater efficiency, which can lower costs of operation, create greater pricing flexibility, and increase profit. For example, standardization of technology across global markets rewards companies that are successful in maintaining control and consistent quality levels. Global integration can be achieved in multiple ways:

- **People.** A focus on alignment helps to ensure that decisions made locally reflect the global perspective. **Assignees,** employees who work outside their home countries, have traditionally played a significant role in carrying the message

and focus from headquarters into the organization's global locations.

- **Processes.** Standardized processes, supported by technology that enables communication and transparency, support organizational control over strategic parts of the value chain.
- **Performance.** Performance targets and rewards are defined from a global perspective. This creates greater control over organizational activity and also helps avoid potential conflicts between individual performance objectives—for example, sales targets in one region that will damage efforts in other regions.
- **Culture.** Shared visions and values prepare members of the organization to make everyday decisions in a manner that is consistent with a global identity.

Local responsiveness (LR) emphasizes adapting to the needs of local markets and allows subsidiaries to develop unique products, structures, and systems. It can make organizations more flexible and agile—equipped to identify and capitalize quickly on local market opportunities, correct misalignments of products and services with customers' desires and habits, and adjust to local regulations and business practices. In an industry heavily influenced by cultural factors, such as clothing or food, global participants must

be skilled in adapting their offerings to cultural preferences in their markets.

Developing local management is key to achieving local responsiveness. Evans, Pucik, and Björkman have described the strengths of local responsiveness as:

- The ability to respond to local customer needs (for example, the tailoring of a global fast-food menu to reflect local tastes) or the demands of local distribution (for example, temperature sensitivity, unit sizes, packaging).
- Efficiency gained from using local substitutes (for example, a transnational food and beverage company varies the content of its infant cereal products by region: wheat in Europe, soy in Asia).
- The ability to remain compliant with local laws and regulations (for example, hours of operation, marketing strategies).

This same basic choice between global and local considerations will apply regardless of the size and scope of the organization or its particular organizational structure or goals.

While many factors lead to an organization’s strategic decisions, the choice of whether to emphasize global integration or local responsiveness is generally determined by a mix of four drivers, as shown in Exhibit 4.

Exhibit 4: Four Drivers of Globalization Strategy

Types of Drivers	Examples
Market	• Homogeneity of customer needs • Availability of global distribution networks • Opportunities for shared marketing
Cost	• Economies of scale • Transportation costs • R&D costs • Transferable technology advantages
Governmental	• Trade policies • Technical standards and requirements • Regulatory climates
Competitive	• Extent and methods of globalization by industry competitors

The attraction of global integration is growing as borders become more permeable and the concept of a global consumer becomes more real.

There are industries where there is little value in standardization of processes or economies of scale, especially in comparison with the value generated by stronger local ties. Cement companies, for example, rely heavily on local country resources and production. Similarly, in regulated industries such as petroleum exploration and marketing, the advantages of local responsiveness are significant. A company that is perceived as local may have more access to decision makers and more influence on policy and regulations.

However, an abrupt change in the local political structure can have a strong impact on the locally responsive organization.

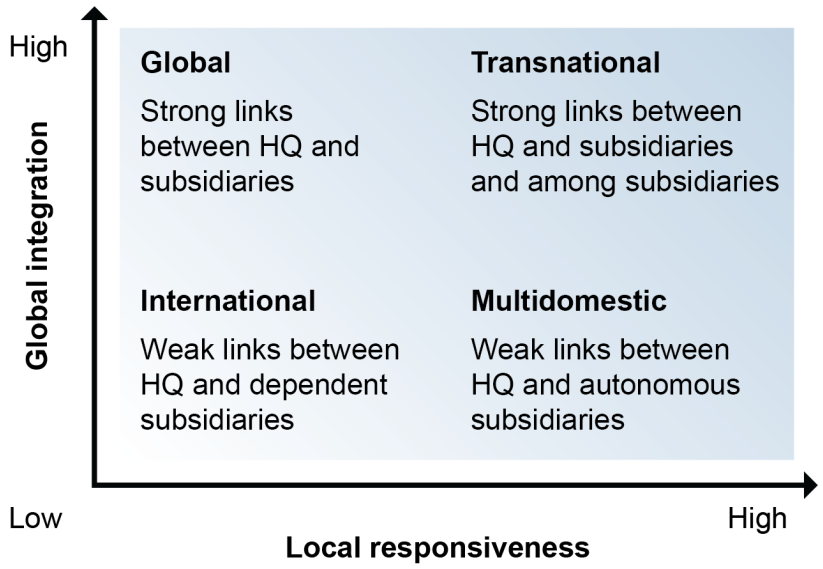
There are strong arguments for both global integration and localization. However, the often-expressed warning to “think globally, act locally” reflects a belief that the best course is to strike a balance between these alternatives that fits each organization at each point in its life.

GI-LR Matrix of Global Strategies

A number of scholars have contributed to a conceptual grid (shown in Exhibit 5) that describes the strategic orientations of **multinational enterprises (MNEs)**. The matrix describes ways in which an organization can combine GI and LR elements into a single globalization strategy.

The grid has two axes, global integration (vertical) and local responsiveness (horizontal), that form a matrix containing four strategic options for MNEs: international, multidomestic, global, and transnational.

Exhibit 5: Structures for Globalization



Multiple sources, including Briscoe, Schuler, Tarique; Bartlett and Ghoshal

Each strategy has a characteristic organizational philosophy about how headquarters and the various local subsidiaries relate to one another and where and how local activities are controlled. Each of these structures is discussed in Exhibit 6.

Exhibit 6:

Globalization Strategy	Description

Globalization Strategy	Description
International	A firm exports a product or service to foreign countries. The company may open production facilities or service centers, but the product/service, processes, and strategy are developed in the home country. Examples: A German firm that manufactures robotics for specialized industrial purposes around the world; an American-based defense contractor, that, for security reasons, must maintain clear lines of separation among its various international subsidiaries.
Multidomestic	The organization is a decentralized portfolio of subsidiaries. Goals and strategies are developed locally because of competitive demands. Knowledge is shared on a local rather than global level. Example: A confectionery company, with different products and manufacturing and sales strategies for each market in which it operates.
Global	The firm views the world as a single global market and offers global products that have little or no national variation or that have been designed with customizable elements. Strategy, ideas, and processes emanate from headquarters. Example: A white goods manufacturer whose products are quite standardized (washing machines, dishwashers, etc.).
Transnational	The firm locates its value chain activities in the most advantageous geographic locations. Subsidiaries are allowed to adapt global products and services to local markets. Best practices and knowledge are shared throughout the organization. Example: A cosmetics company that markets products specifically to different regions and prioritizes diversity in talent acquisition.

Two Other Approaches

As the preceding content suggests, global integration and local responsiveness strategies are rarely a matter of simple either-or choices. GI and LR strategies can be achieved in different ways and are not mutually exclusive. Some organizations use both.

Analysts have found different ways of describing and organizing the range of strategic choices available within that basic GI-LR continuum. Two are described here: upstream and downstream strategies and identity and process alignment.

Upstream and Downstream Strategies

Briscoe, Schuler, and Tarique use an upstream/downstream metaphor to describe different ways to apply these strategies. Upstream and downstream strategies are summarized in Exhibit 7.

Exhibit 7: Upstream and Downstream Strategies

Description	Implications for Global HR
Upstream	
• Decisions are made at the organization's headquarters level. • Decisions apply to strategy and coordination and focus on standardization of processes and integration of resources.	Strategies for: • Workforce alignment • Organizational development • Sharing of knowledge and experience
Downstream	

Description	Implications for Global HR
• Decisions are made at the local level. • Decisions aim at adapting strategic goals and plans to local realities—in other words, local responsiveness.	Strategies for: • Agreements with local workforce groups • Adjustments to standard policies on working conditions to reflect local cultural practices (for example, holidays and break times) • Adjustments based on local legal requirements

Source: *International Human Resource Management,* Briscoe, Schuler, and Tarique

Identity Alignment and Process Alignment

In *Going Global,* Kyle Lundby and Jeffrey Jolton distinguish between **identity alignment** and **process alignment**, as summarized in Exhibit 8.

Exhibit 8: Identity Alignment and Process Alignment Strategies

Description	Challenges
Identity Alignment	

Description	Challenges
Extent to which: • Diversity is embraced in management of people, products/services, and branding. • Differences among locations are embraced. • Product/service offerings and brand identity may be adjusted to accommodate local cultures. **Example:** Global fast-food chains offer localized menu options in addition to standard menu items.	Unless corporate brand is well-established, localized offerings may dilute brand. Local approaches may diffuse core identity.
Process Alignment	
Extent to which underlying operations such as IT, finance, or HR integrate across locations. **Example:** Business where units have a common platform: • Single technology used in all locales. • Same business performance metrics in all locales. • Unified HR systems in place in all locales.	Businesses built through acquisitions often have separate processes; tendency is for each unit to operate independently and retain many of its original practices.

A key point of the identity/process distinction is that a given organization can have a diverse identity alignment but an integrated process alignment, or vice versa. For instance, no matter how localized the offerings on the menu at a global fast-food chain are, the underlying processes that deliver them may be highly integrated. This integration includes HR policies and practices.

Moving Work Across Borders

With the advent of globalization, moving work has become a worldwide practice. Many terms are a part of that landscape; some are often confused, including outsourcing, offshoring, onshoring, and near-shoring.

Dealing with the functional, structural, and strategic aspects of moving work puts HR in the spotlight, so we'll also explore HR's role.

Outsourcing

Outsourcing (sometimes referred to as "contracting out") is a practice where a company transfers portions of work (for example, processes or production) to outside suppliers rather than completing it internally. Generally, outsourcing contracts out (or subcontracts) activities with the goal of reducing costs and freeing up personnel and resources for other activities.

> **Example:**
>
> By outsourcing its customer support service function to an external vendor, a manufacturing company is able to reduce operating expenses and use some of the cost savings to increase its marketing and sales budgets.

When a company outsources, it does not necessarily mean that a process or product is outsourced abroad, although it may be. In that regard, outsourcing is actually an umbrella term for several types of external work arrangements. Offshoring, onshoring, and near-shoring all are different forms of outsourcing. The key difference among these three is the location of the outsourcing.

Offshoring

As the name implies, **offshoring** is the practice of relocating processes or production to another country. Common reasons for offshoring include:

- Lower costs (for example, lower wages, less expensive facilities).
- Closer proximity to necessary production resources.
- More favorable economic climate for corporate taxation.
- Financial incentives (for example, direct cash payments, low-interest loans).

Historically, offshoring has largely involved movement from developed countries to distant developing countries.

> **Example:**
>
> A United Kingdom financial services company opens a facility in Thailand to perform back-office banking transactions for its U.K. operations. The move results in

significant cost savings from lower regional labor and facilities costs and various financial incentives.

Offshoring typically involves relocating an operational process or service that is relatively self-contained. Considering the scenario above, the U.K. business might determine its requirements for banking transactions locally and then hand these over to the Thai operations.

In *Managing the Global Workforce,* Paula Caligiuri, David Lepak, and Jaime Bonache propose other reasons (beyond those noted above) for offshoring:

- **Access to talent.** As developing countries have increased investment in education and training, they are becoming sources of scientific and technological expertise and innovation.
- **Round-the-clock shifts.** Having offshore shifts operating 24 hours a day can improve efficiency and reduce costs of operations. This can enable enterprises to deliver 24-hour customer service, such as call center access.
- **Follow the sun.** By taking advantage of time zone differences, work can proceed on a given project without interruption. As one group's workday ends, the project is handed off to an offshore group in another time zone. This can decrease design

and development time, allowing products to come to market sooner.

The motivations for offshoring—and, consequently, where it is taking place and which firms are adopting it as a global strategy—are changing as a result of globalization forces. For example, the cost-saving dynamic from developed to developing countries is changing.

- Wages in India and China are rising steadily, which can reduce cost-saving benefits but might result in a growing market for products and services.
- Countries such as Vietnam, Indonesia, and the Philippines have kept wages low, but they lack efficiencies, scale, and supply chain—which incurs its own costs.
- The costs of shipping goods back by sea have risen sharply, and the weeks spent in transit add further costs.
- Robotics and other automation innovations have reduced labor's share of total production costs.
- Offshoring can lead to political fallout in developed countries, as jobs are "shipped overseas" at the expense of home-country workers.

In short, calculating the cost savings of offshoring has become more complex.

Offshoring Risks and Challenges

For all the potential benefits of offshoring, there are also multiple risks and challenges. Besides the potential political fallout mentioned above, additional risks and challenges associated with offshoring include:

- Cultural differences.
- Distance issues (for example, different time zones and getting remote teams to work together).
- High turnover rates.
- Problems in quality control.
- Technical degrees that do not reliably indicate actual technical skills.
- Language issues.
- Intellectual property loss.
- Impaired productivity due to political instability.
- Loss of reputation from unethical behavior or practices of local management.

Onshoring

True to its name, **onshoring** refers to the relocation of business processes or production to a lower-cost location inside the same country as the business. Sometimes called “home-shoring,” onshoring can also include the situation where businesses allow employees to work from home. Beyond the potential for lower

operations costs, onshoring offers the added benefits of having local employees and avoiding many of the problems associated with distant offshoring scenarios.

> **Example:**
>
> An organization chooses to onshore activities that require deep process knowledge, direct customer interaction, the need to be close to customers, and the ability to communicate fluently in the same language.

Near-Shoring

Near-shoring refers to a company contracting a part of its business processes or production to an external company located in a country that is relatively close (for example, within its own region). For example, U.K. businesses might near-shore to Eastern Europe, or U.S. businesses might near-shore to Mexico or Canada.

Considerations in near-shoring are that neighboring countries are often bound by similar financial and legal constraints or trade agreements that provide social and economic stability within a region. Countries that are closer in proximity are more likely to have shared cultural values and a similar mindset. And, the time difference is less and the cost to travel is reduced (compared to offshoring).

Remote Teams

As globalization's influence on business and work continues to expand and evolve, organizations have become more reliant on geographically dispersed teams in order to better compete and succeed. Doing so allows organizations to draw on diverse experiences, perspectives, and knowledge that can spur innovation and improve business outcomes. HR professionals must be familiar with the interconnected challenges presented by remote teams and incorporate their specific requirements into plans and strategies. These challenges can include:

- **Communication.** Dispersed teams present a number of challenges when it comes to planning communications—most commonly, languages, technological constraints, and time zones. When communications challenges are not properly planned for and addressed, team discourse and interactions can easily deteriorate.

- **Engagement.** Remote team members can feel disconnected from the work and the wider team. It is essential that policies are established to bridge the physical distance. Remote teams must feel that they are connected to the organization and its leaders and that their concerns and feedback are not only heard but valued and reach the right audience.

- **Building trust.** Trust is essential to the proper and effective functioning of any team, but it can be difficult to build trust between geographically scattered teams. In addition to causing fatigue, excessive levels of communication may hamper trust building if the remote team gets the sense that headquarters feels the need to manage them more closely than their on-site peers.

- **Alignment.** Team members need to be on the same page with regard to understanding their individual and organizational goals, their roles within the team, the resources available to them, and the organization's expectations in relation to personal interactions. The ability to maintain team alignment is closely linked with successful communications, as language differences or other disconnects can exacerbate misalignment.

HR professionals with the Global Mindset competency will be able to adjust their behaviors to suit other cultures and create solutions to help bridge any differences. Strategies that can be used in order to address these challenges include:

- **Communications reviews.** It is important to ensure that communications with remote teams are effective and provide value. Periodically, communications plans should be reviewed to ensure that they are encouraging the desired engagement

from others. For example, are all team members able to contribute appropriately? Should you incorporate follow-ups with team members whose first language is different to ensure that there's been no miscommunication? Similarly, review how often and which media you are using. Are videoconferences the best tool, or are emails sufficient for check-ins? Is your remote team getting videoconference fatigue? Are they feeling micromanaged from afar? Getting these right will help maintain engagement and trust.

- **Cross-cultural communication and diversity training.** By employing cross-cultural communication and diversity training, an organization can minimize the adverse effects of cultural and linguistic differences. Providing this training can also help to prepare leaders for site visits.

- **Site visits.** One should not underestimate the two-way value of traveling to visit remote teams. When a leader travels to see a remote team, it can improve team engagement and connection, build trust, and ensure that the team remains in alignment with the organization's goals. It can also improve headquarters' understanding of the remote team's work conditions, dynamics, personalities, and practices and of the local customs and culture, and it can generate reflective knowledge, in which the

visitor gains insight into how they themselves are seen by others. When team members get to know each other, collaboration becomes more effective, smoother, and easier. Careful planning must be done to provide the best return on investment.

HR's Role in Moving Work Across Borders

Whatever the current global climate may be, any organization considering moving work needs a clear sense of what it hopes to accomplish, what it needs from the venture, and what risks the venture entails. There are no cost-saving guarantees for any strategy, especially if it is poorly planned or executed.

Example:

A U.S. company moves a segment of its manufacturing to Malaysia. The product will be exported back to the U.S. While some costs associated with production decrease, there are other expenses that potentially mitigate the savings, such as increased management costs, travel costs, and additional rework expenses due to misunderstandings or quality control problems.

Because so many of the factors for choosing one location over another relate to workforce and talent issues, HR plays a critical role by performing due diligence to support the decision to move work.

Exhibit 9 highlights key areas for HR research during the due diligence period. While all of these considerations apply to offshoring, not all of them may be relevant in onshoring or near-shoring scenarios.

Exhibit 9: HR Due Diligence for Moving Work

Due Diligence Topics for Moving Work	
Cost and quality • Wage structure relative to other options • Tax structure • Real estate • Infrastructure (examples include telecommunications networks, transportation, energy) **Sociopolitical environment** • Government receptivity, amount of regulation • Ethical environment of political and business communities • Quality of life • Accessibility	**Risk levels** • Political and labor unrest • Natural disasters • IT security • Personal and property security, intellectual property rights • Economic stability, including fluctuations in currency exchange value • Regulatory stability **Talent pool** • Language and cultural differences • Size of labor force with required skills • Size of offshore sector and share of exports • Availability of vendors for specific services, such as IT

Overall, outsourcing has proven to be a great business model for reducing operating costs, boosting profit margins, and so forth. Which type of outsourcing works best depends on the organization’s

goals, business processes, risk management strategies, and other factors.

However, it is always harder to manage remote operations. The option chosen will determine the types of issues that will need to be addressed. Issues related to moving work across borders include immigration, global job classifications, business travel, and the use of geographic centers of excellence.

Immigration

HR professionals must familiarize themselves with immigration requirements and restrictions in order to support business in a global environment. This is true not only for moving work overseas but also for bringing foreign talent to the home country, sending team members for site visits, and hiring international contractors.

Immigration policy is often altered by political leadership shifts, which can make it a volatile policy area prone to sudden changes. For example, regular national elections in countries such as the United States and the United Kingdom have resulted in stark, oscillating changes to their immigration laws in recent decades. These changes may result in additional burdens associated with travel to these countries for some prospective employers, employees, and tourists, depending on their nations of origin and whether the travel is for business or leisure purposes.

Every country’s immigration policies are different, and applying for visas can be costly and time-consuming. There are a few general practices that all HR professionals should follow in order to better navigate any immigration requirements they may face.

- **Stay connected.** HR professionals should ensure that they keep abreast of any news, changes, and developments in immigration and global employment regulations. Understanding the nuances of immigration policy is a major challenge for HR, and it requires dedicated care and attention to stay current with changing rules. Some industry groups offer up-to-date information regarding these issues, and networking and engaging with other professionals can also provide useful information.

- **Track employees.** It is important for all organizations to have a system for tracking their employees’ immigration status and their location. Whether bringing a foreign worker to your home country, sending someone overseas, or contracting work to an international freelancer, HR must keep a database that clearly defines their role, their destination or location, and the parameters of any visas (duration, limitations, etc.) or work regulations.

- **Conduct self-audits.** HR should commit to periodically auditing its own processes and practices and also examining the experience of employees who are working with visas, are overseas, and so forth. While especially important during times when immigration politics are turbulent, it is good practice to ensure that policies, paperwork, and processes are in line with current legislation and best practices. It is far better to have everything in order before an immigration officer orders an audit. In addition, audits can identify improvements or refinements that should be instituted.

- **Consider legal advice.** In some circumstances, immigration law might be opaque. In these cases, it is worthwhile to hire outside counsel to avoid future costs from complications, mistakes, delays, or other pitfalls. If information is not readily available or if a situation is unclear, it is best to seek expert advice in order to avoid problems down the line.

Global Job Classifications

Not all countries use the same terminology for job roles, nor do all organizations across the globe use the same or similar structures and hierarchies. To better facilitate HR functions across a global organization—for example, workforce planning, promotions, crafting candidate profiles—HR professionals will have to become familiar

with global job classifications and implement a job-leveling scale for their organization.

Understanding global job classifications allows HR professionals to more clearly identify the relative value of a job position in the organization, regardless of where the work is done or local conventions. As organizations grow globally, the ability to properly identify and define jobs can help the organization ensure that it is properly structured, eliminate redundancies, increase effectiveness, avoid excess costs, and ease decision making. It can also ensure that hiring, remuneration, and rewards policies are fairly applied across the organization, regardless of branch or job location.

HR can use industry-recognized job classifications or grades, or it might create its own depending on the nature of the work that the organization does. To do so, HR would need to gather information related to expected skill levels, compensation, and responsibility and compare accordingly. As an organization grows, or expands into ever-more territories, it is important for HR to revisit and refine any grading system it uses.

Business Travel

Over time, HR has become more involved in business travel management. With greater use of business travel, HR can play a pivotal role in crafting appealing and effective business travel

policies. Clear travel policies can help organizations mitigate or avoid certain risks inherent in business travel. An appealing travel policy can also be used to attract top talent and make it clear that the organization takes its employees' well-being on the road seriously.

To perform this role, HR should establish a travel risk management plan and a travel orientation procedure.

An organization's travel risk management plan should include all relevant details regarding legal, security, and medical risks related to business travel. Some information will be general and applicable to all (or most) business travel. Plans will also need to include information tailored to the specific destination country. Common components include the following:

- **Communication.** The plan should include procedures for communicating the necessary contents of the plan and procedures to all relevant stakeholders. This includes providing information and documentation before, during, and after the trip and also providing information related to travel policy updates or changes based on legal, medical, or other reasons.

- **Legal considerations.** The plan should include information on the legal considerations related to business travel. Depending

on the destination, this might include what type of visa or work permit is required, what prohibitions and restrictions there are on business travelers, and what work might result in taxation or legal scrutiny (for example, can deals be finalized by business travelers or are they limited to meetings and negotiations).

- **Duty of care.** The plan should include details relating to duty-of-care provisions. Organizations have a responsibility to look after their employees and, if applicable, the family members who accompany them on assignments. This duty begins before the travel takes place and can be incorporated into the orientation procedures. HR has to ensure that proper care is taken of traveling employees, ensuring that they have access to the resources they need to facilitate comfortable, productive, and safe business trips.

- **Compliance checks.** The plan should include checks to ensure that the traveling employee is adhering to the organization's travel policies, visa obligations, and local laws. Similarly, the organization should ensure that their own procedures are in compliance (for example, paperwork and documents, fees payments).

- **Travel reviews.** The plan should include post-travel reviews to confirm that travel policies and requirements were followed and

also to assess whether the employee was provided with appropriate and relevant resources and information. These reviews can generate valuable feedback that can be used to improve policies and procedures for future travel assignments.

For travel orientation, HR should offer at least a couple of orientation meetings to employees who are about to embark on business travel (short- and long-term). The purpose of the orientation is to prepare the employee for their trip, from both an information and a well-being perspective. During these sessions, the employee will be educated on a number of topics related to their upcoming travel. They should also be given information to help them acquire any resources they need.

- **Logistics.** The employee will need to be informed about any visa and passport requirements for the trip and will possibly need to fill out some paperwork. HR should provide clear travel itineraries and also lodging information for the trip. HR might also give the employee information about useful travel apps that might help them on their journey (such as flight trackers or city guides).

- **Medical.** The employee should be provided with information related to medical and travel insurance coverage, relevant medical information (hospital locations, emergency phone

numbers), and local and organizational contacts if an emergency should arise. For frequent business travelers, there is a growing concern regarding long-term health impacts, and HR might also want to provide information about wellness and health provisions for the trip (access to gyms, healthy food options, etc.).

- **Security.** In some situations, the employee will need to be briefed on the local political situation, environmental considerations (extreme weather, cold or hot climates), and what this might mean for their trip and safety. They should be provided with emergency contact information and embassy details (for international travel).

- **Expectations.** HR should make it clear to employees how they are expected to comport themselves on their trip. It is becoming increasingly common for business trips to have the option of personal travel added. Many organizations accommodate this request, but it remains essential that employees understand that their business responsibilities must be fulfilled appropriately and that their conduct can reflect on their employer.

Centers of Excellence

Given the complexities of a globalized business environment, organizations can benefit from establishing geographic centers of

excellence (COEs). A COE is a team made up of individuals with specialized skills, expertise, and knowledge. They are tasked with developing strategic services and capabilities. They do this by providing leadership, disseminating their specialized knowledge across the organization, and gathering information and feedback to improve processes and capabilities.

An organization can have multiple COEs, and specific departments can also contain multiple COEs. Depending on the organization's needs and strategies, HR may have COEs dedicated to:

- Managing and improving policies and procedures related to management of compensation (payroll, salary planning, incentives, etc.).
- Managing and improving employee personal and financial welfare (for example, leaves of absence, vacation allowance, health services, income protection, and retirement planning).
- Managing and improving labor relations to ensure that all employees are treated fairly and respectfully (for example, ensuring that policies comply with local, national, and international laws and regulations).
- Managing and improving employee development, training, engagement, and retention policies and procedures.

During the course of their work and support of other departments and individuals in the organization, the COE team would gather information to support continued improvement of the organization’s processes and policies. For example, it would collect information about reusable assets, ways to streamline and shorten delivery times, ways to standardize processes, and identify ways to improve efficiency.

Managing Global Assignments

Proficiency indicators related to this section include:

- Administers and supports HR activities associated with a global and mobile workforce.
- Manages and supports the organization's immigration and mobility program in accordance with regulatory or compliance requirements.
- Manages the day-to-day activities associated with international (i.e., expatriate) assignments.
- Designs and oversees programs for international (i.e., expatriate) assignments that support the organizational strategy and workforce.
- Establishes and oversees the organization's immigration and mobility policy and program in accordance with regulatory or compliance requirements.

Key concepts related to this section include:

- Best practices for international assignments (examples include performance expectations and evaluations, health and safety, compensation adjustments, socialization, assessing employee and family readiness, training on culture and resources,

language training, education travel grants, rental subsidies, transition plans, repatriation).

- Immigration and mobility (examples include laws, visa processes and requirements, sponsorship expenses).

Managing Global Assignments

According to a survey of CEOs and HR senior managers conducted by the workforce solutions provider Right Management, many global assignments hold great potential for loss—an enormous loss of opportunity and invested resources. Some of those failures are certainly due to missteps during the assignment process: flawed candidate selection criteria, poor training and preparation for the assignment, inadequate support during the assignment, or a repatriation/redeployment process that didn't allow the assignee or the organization to fully benefit from the global experience.

Competency Connection

The global mobility department of a large corporation usually manages between six and ten international transfers a month to their headquarters. Due to business reorganization, one of the corporate functions currently based in another country will now be relocated to headquarters. The relocation involves the transfer of more than 80 mid-level executives; they are expected to move to headquarters within the next three months.

These executives are highly experienced in industry-specific skills not readily available on the market. A successful transfer experience is crucial and brings a lot of visibility both to the project and this HR

department. The relocation project will have unique communication requirements and greatly exceed the capacity of current approaches and processes. The global mobility manager, IT (information technology), and marketing are all part of the project team to help ensure a smooth transition.

In regular operations, any questions received from international transferees are handled individually. The global mobility manager quickly realizes that the department will not be able to handle a much larger volume of requests with the same level of speed and quality. Working with IT and marketing, several new initiatives are designed for this project:

- A common e-mail ID to address questions related to the project
- A mini-site with logo and information about the project (in multiple languages)
- A frequently-asked-questions (FAQs) section to address questions received via the common e-mail ID
- A rolling schedule of regular conference calls with tax, health care, and benefits advisors

Through this project, the global mobility manager applies the Communication competency to develop technology solutions that address the needs of a large volume of permanent international transfers and provide them with timely and relevant information.

Using the Consultation competency, the manager creates a channel to receive their questions and concerns and maintains the level of quality and support expected of the department.

Approaches to Global Assignments

According to Stroh, Black, Mendenhall, and Gregersen, organizations approach global assignments from either a strategic-systematic or tactical-reactive perspective, as shown in Exhibit 10.

Exhibit 10: Approaches to Global Assignments

Strategic-Systematic	Tactical-Reactive
Approach global assignments as long-term investments.	Approach global assignments as short-term expenses.
Develop future executives with essential global perspectives and experiences to formulate and implement competitive strategies.	Focus on a quick-fix approach to a short-term problem in a foreign operation.
Increase the effectiveness of critical coordination and control functions between and among the home office and foreign operations.	Randomly and haphazardly perform some functions of assignments and focus attention as problems arise.
Effectively disseminate information, technology, and values throughout the worldwide organization.	Fail to systematically integrate the worldwide organization in terms of values, technology, products, and brand.

As the exhibit implies, approaching global assignments tactically or reactively rather than strategically means that, at the least, the

organization foregoes the benefits of talent development and retention, building of cross-cultural fluency in its future leaders, and growth in institutional knowledge and knowledge sharing. A purely tactical approach may also lead to a higher rate of failure in global assignments.

To a significant degree, the nature of an organization's business strategy determines its approach to global assignments. Organizations that have, in Christopher Bartlett and Sumantra Ghoshal's terminology, a more multidomestic or international strategy may:

- Choose average and good performers as assignees.
- Send their assignees to another country to manage a project or get a particular job done.

In contrast, organizations with a global strategy (Bartlett and Ghoshal's transnational enterprise):

- Use a wide variety of global assignment types.
- Choose high-potential managers and top executives as assignees.
- View assignments as leadership, career, and organizational development opportunities.
- Make assignments for many reasons other than situational project management or remedial intervention to fix a problem.

Organizations that are entering the global marketplace for the first time may find it helpful to establish a staffing policy, such as staffing locally wherever possible and promoting from within the organization, before making assignee decisions or staffing a new operation. The presence of a core staffing policy can simplify the local staffing and global assignment decision-making process.

Global Assignment Considerations

Types of Global Assignments

Not so very long ago, any mention of global assignments would have conjured up a single, well-defined image: the “expat.” An expatriate, or expat, was an employee from an organization’s home country assigned to relocate to an international jurisdiction for an extended period of time, generally two or more years. The organization was an MNE, its home country was almost certainly a developed nation, and the assignment was their idea, not the expat’s (who, in accepting the assignment, may well have expected considerable “perks” for his or her troubles). By the traditional definition, a European citizen assigned to work in another EU country would be considered an expat, while someone who had self-selected to live and relocate in another country would not.

That notion of an expat has since lost its original meaning due to the degree and proliferation of globalization itself. The term “expatriate” is derived from the Latin “ex” (meaning “out”) and “patria” (“homeland”). But in today’s globalized marketplace, a Mexican employee of a Japanese multinational organization who was previously based in the Netherlands may now be assigned (or may request assignment) to the organization’s Canadian subsidiary.

Key Content

An employee who is being reassigned to an international jurisdiction is now generally referred to as an international assignee, or IA (while “expat” now generally refers to anyone who is not a citizen of the country in which they reside and doesn’t intend to become a permanent resident).

Another key aspect of the traditional image of the expat has changed—the sense of isolation. The Internet, smartphones, tablets, Skype, Twitter, and related communications platforms and technologies have radically altered the international assignment experience. Contact with colleagues, family, and friends while

abroad can now be constant and instantaneous. Maintaining a clear picture of how the world's events look and are being interpreted back home is now easy. That doesn't eliminate the "foreignness" of the international assignment (or shouldn't—if overused or misused, virtual connections can create a cocoon that separates the assignee from the host culture), but it can change the comfort level. This is especially true for younger generations of workers who, tablet and smartphone in hand, feel "at home" (and, equally, "at office") wherever they go.

The changing shape of globalization has likewise meant a move away from the traditional, long-term expatriate assignment toward newer, more flexible uses of global talent. Briscoe, Schuler, and Tarique identify a dizzying array of international employee situations. Not all are strategic (some may not even be wise), but they reflect the full range of real-world possibilities. These include the assignment types shown in Exhibit 11.

Exhibit 11: Types of Global Assignments

Assignment Type	Description
Globalists	Spend their entire careers in international assignments, moving from one locale to another
Local hires	Hired locally in subsidiary countries (and are also known as HCs, host-country nationals)
Short-term assignees	On assignment for less than a year but more than a few weeks, often without moving the family

Assignment Type	Description
International assignees	Traditional expatriates on full relocation assignments lasting from one to three years
Commuters	Travel across a country border for work regularly
Just-in-time expatriates	Ad hoc or contract workers hired for a single assignment

Managing Allegiances

Just as organizations use global assignments for a wide variety of business reasons, the individuals who accept or seek out these positions do so for a variety of personal, career, and other reasons. Regardless of an employee's reason for accepting an assignment, these situations add another dimension to the individual's experience and another category of responsibilities. They inevitably create some tension and conflict between the individual's allegiance to the home-country/headquarters location and to the local operation and situation in the host country. The degree of tension can be affected by a variety of factors, including the length of the assignment, the assignee's country of origin and age, and the number and types of previous assignments. To use language developed by Black, Gregersen, and Mendenhall, allegiances can range from a "homebound" refusal to assimilate into the local culture to a "go native" full embrace of local culture and work modes.

Understanding the level and type of allegiance of a potential assignee may help the organization:

- Identify and recruit the individual who will be most successful in a particular type of global assignment.
- Acquaint the assignee with the ways their allegiance may be challenged and the stresses they may encounter.
- Anticipate repatriation and support any unique needs the assignee may have.

Global Assignment Guidelines

As organizations plan for and manage global assignments, there are several things they can do to ensure that the assignment will be successful for both the individual and the organization. Key steps are described in Exhibit 12.

Exhibit 12: Guidelines to Enhance Global Assignment Success

Step	Activities/Considerations
View assignments as a process, not an activity.	• Consider assignments within the broader context of the organization's overall business strategy and leadership development activities. • Make sure that the assignment process is clearly aligned with other organizational initiatives.

Step	Activities/Considerations
Recognize and consider all dimensions of the assignment experience.	• Consider family, logistical, legal, cultural, organizational, and other issues in addition to the immediate concerns of the employee. • Identify potential risks to the assignee and the organization—for example, health or security risks associated with specific assignments. • Make sure that all criteria (not just a candidate's functional competence and communication skills) are considered during the selection process.
Conduct thorough and professional assessments of candidates.	• Confirm that the selection process is based on the correct criteria. • Involve the right people in the selection process. • Plan ahead and allow adequate time for selection.
Establish and maintain realistic expectations.	• Avoid turning the selection process into a selling or marketing campaign. • Communicate both the benefits and the challenges of the assignment. • Encourage the candidate to talk to repatriated assignees.
Provide training.	• Provide cross-cultural training for the whole family. • Provide language training; it is usually an essential requirement.
Provide appropriate health and safety support.	• Make sure that assignees receive necessary vaccinations. • Make plans for in-country security, health-care coverage, and emergency evacuation if needed. • Establish a communication system that allows the organization to locate assignees at all times and confirm their status. Assignees should also have the means for emergency contact.
Provide well-planned, ongoing training and support.	• Anticipate potential assignee challenges and prepare contingency plans. • Make sure that the assignee doesn't feel abandoned during the assignment.

Step	Activities/Considerations
Plan, prepare for, and support repatriation with the same care as expatriation.	• Develop plans to ensure retention of the repatriate; repatriates who leave represent a loss of the organization's investment in their development. • Recognize that the greatest contribution to both the organization and the employee may occur when the employee returns home.
Address problems quickly, thoroughly, and responsively.	• Recognize that problems will occur. • Look for the reason a problem occurred after responding to it.

According to Michael Schell and Charlene Solomon, managers making global assignments need to be prepared to answer candidate questions and engage effectively in the selection process. Exhibit 13 lists Schell and Solomon's guidelines for required management knowledge.

Exhibit 13: Schell and Solomon's Management Knowledge Guidelines

Management Knowledge Guidelines	
Managers should know as much as possible about:	
• The country or countries to which they are sending assignees. • Essential developmental assignments and experiences. • The specific job function and assignment objectives and what effects the assignment location will have on these factors.	• The process of cross-cultural adjustment to anticipate the feelings the assignee may experience. • Cultural dimensions and the effect these dimensions have on the way different cultures look at life. • Potential problem areas associated with the assignment.

Exhibit 14 provides a checklist for effective international assignment management.

Exhibit 14: Checklist for Effective Assignment Management

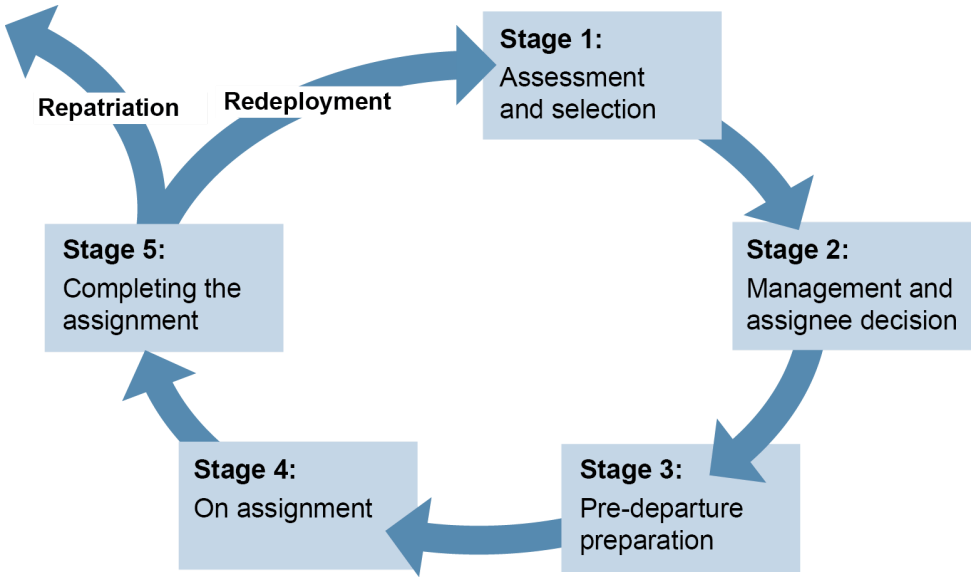
Effective International Assignment Management

Effective International Assignment Management	
• Use additional selection criteria (beyond fluency in the host language and technical skills). Evaluate assignment candidates as well on key traits such as flexibility and adaptability. • Make cultural adaptability training for assignee and spouse part of the selection process. • Mandate cross-cultural training for assignees and their families to reduce the risk of failed assignments, to manage expectations, and to facilitate adjustment and performance. • Ensure that the international assignment policy is clear and specific. • Begin repatriation planning and succession management before the assignee leaves the home country and continue it at least one full year before the end of the assignment. • Maintain a point of contact for assignees while on assignment. • Provide repatriation integration training for the assignee and family. • Use experientially derived pre- and on-arrival international assignment orientation programs for all inbound employees who are visiting headquarters as well as for all outbound employees visiting international operations.	• Create policies, counseling, and management systems that span the process from pre-departure planning through on-site management to completion and repatriation. • During the international assignment, develop and implement ongoing programs that foster and retain intercultural competencies and global knowledge management practices. • Begin post-assignment debriefing before the assignee returns from the assignment and immediately upon return. Use debriefing information to establish a database of relevant learning. • Link social responsibility and ethics. Develop programs that foster ethical conduct and support of the local community. Tie ethical values directly to accountability in practice. • Comply with applicable labor standards, laws, and regulations that affect the business in different parts of the world, including national and extraterritorial laws.

Global Assignment Process

Most organizations follow a similar, sequential, multistep process in selecting, preparing, deploying, managing, and repatriating assignees, at least for assignments that are strategic or are intended to last several months or years. While the process appears chronological and straightforward, there are a number of business, strategic, cultural, financial, and other contextual factors that influence each stage. The stages of the process are shown in Exhibit 15 and discussed in detail below.

Exhibit 15: Global Assignment Process



Stage 1: Assessment and Selection

The assessment and selection of assignees is one of the most important determinants of success. A primary purpose of the assessment and selection process is to ensure that the organization

has the right people in the right places at the right times. Exhibit 16 lists the key activities involved in this stage.

Exhibit 16: Global Assignee Assessment and Selection

Global Assignee Assessment and Selection	
Develop the selection criteria.	• Develop specific selection criteria for the assignment. • Create a potential global assignee talent pool.
Involve the right people.	• Identify and contact candidates from the pool. • Involve the candidates' spouses, significant others, and family members, as appropriate and legally permissible. • Contact and schedule home- and host-country managers to participate in the assessment. • Coordinate vendors and consultants who will be involved in the selection process.
Choose the best selection methods and tools.	• Develop multiple data-gathering instruments. • Conduct interviews and ensure that surveys are completed.
Complete the assessment/make a recommendation.	• Analyze data. • Schedule subsequent rounds of interviews and assessment sessions, as required. • Make the final recommendation and selection.

Stage 2: Management and Assignee Decision

Key Content

Once the candidate has been selected, the organization has the information it needs to engage in due diligence

regarding the costs, benefits, logistics, and other aspects of the global assignment. Likewise, the candidate must evaluate the assignment offer to be sure he or she is making a sound career and personal decision.

Activities occurring during the decision-making point include:

- **Analysis of the costs and benefits of the assignment.** Global assignments, like other major organizational investments, must produce specific and quantifiable benefits to justify their funding and execution. Detailed analysis of the return on investment in assignments is a growing trend and an increasing concern in global organizations.

- **Preparation of the assignment plan.** The global assignment plan guides the assignment process and clarifies both the organization's and the assignee's expectations of the assignment situation. The global letter of assignment is a key document that evolves from the assignment plan. Typically, the letter of assignment is a memorandum of understanding (MoU) stipulating the business aspects of the assignment as well as compensation, benefits, and local work rules. Depending on

regulations in the host country, other legal requirements may need to be satisfied by the letter of assignment.

- **Candidate acceptance or rejection of the assignment offer.** Just as the organization follows a process in assessing the potential costs and benefits of the global assignment, the candidate should also be given access to people and information needed to make a sound personal and career decision. Aspects the candidate should consider include:
  - Long-term career advantages.
  - Adequate financial incentives.
  - Opportunities for growth and learning.
  - Family support and opportunities to balance interruption of children's education and spouse's career.
  - Desirability of the location.

Stage 3: Pre-Departure Preparation

By the completion of this stage, the assignee and his or her family should have the practical knowledge and day-to-day survival skills they will need during the first months in the host country.

Because of the complexity of global assignments, organizations often use specialized third-party vendors to coordinate and manage key aspects of the deployment process. Organizations that don't use

the services of third-party vendors should create a pre-departure checklist to anticipate and address all the key issues to be resolved before the assignee leaves the home country. Three aspects of pre-departure preparation—visas/work permits, security briefings, and cross-cultural counseling—deserve special mention.

- **Visas and work permits.** Different countries have different visa and work permit (employment authorization) regulations and requirements and associated costs. Short-term assignments may be easier to arrange than periods over 90 days. An individual cannot enter most countries to look for a job; the job must already exist and the work authorization is usually contingent on the employer's ability to demonstrate that comparable skills do not exist in the local workforce. Time is a critical factor in two senses—first, the organization must plan for how long it will take to obtain the necessary documents; second, the organization must be aware of any time restrictions (expiration dates) on the visa and/or permit. All these considerations are in the hands of the embassy or consulate office of the host country. Ensuring that there is compliance with all requirements is up to the organization, as is the responsibility to cover any sponsorship expenses that might be incurred.

- **Security briefings.** Briefings of this type are a requirement, especially for international assignments in volatile parts of the world. There are two important aspects of a security briefing: (1) personal and family safety abroad and (2) business aspects of security, including physical and intangible threats to the organization's employees, assets, and intellectual property.

- **Cross-cultural counseling.** Conducted both before and during the global assignment, cross-cultural counseling can increase the likelihood of the assignment's success. Components of a comprehensive cross-cultural counseling and preparation process include:
    - A preliminary situation and needs assessment.
    - A country overview and information on everyday life.
    - A business overview.
    - Personal cultural awareness activities.
    - Discussion of family and international relocation issues.
    - Country-specific case studies.
    - A customized and detailed support and settling-in program.

Stage 4: On Assignment

Assignee adaptation to the new location may take a year or more and often includes several distinct phases: honeymoon, culture shock, adjustment, and mastery.

- **Honeymoon.** Everything is new and exciting, and everyone is pleased that they made the decision to come abroad. Usually, there is ample support from the home and host countries during the early stages of the assignment.

- **Culture shock.** Novelty and enjoyment turn, in varying degrees, to disillusionment and dissatisfaction, as the challenges of living and working abroad become clear. Support structures recede, and the assignee and family must increasingly fend for themselves.

- **Adjustment.** Working and living in the host country gets easier and more familiar. Assignees are unlocking the code, learning the norms and patterns of host-country behavior and how to get things done. This does not occur naturally but takes interest and motivation.

- **Mastery.** After several years of adjustment and continual learning, the mastery stage is entered. Oberg termed this the “biculturalism” stage. Assignees are able to participate fully and comfortably in the host culture.

Most assignees actually experience this adjustment process twice: once going abroad to their initial assignment and then when they

return home or go to another country. Reverse culture shock can be just as challenging and unsettling as the initial cultural adjustment.

Exhibit 17 lists ideas for HR support during an assignment that can ease the adjustment process.

Exhibit 17: Checklist for HR Support During an International Assignment

HR Support During an International Assignment	
• Assist assignees in obtaining a host-country tax ID number. • Assist assignees in obtaining a driver's license. • Coordinate assistance with bank accounts and credit cards in the host country. • Perform host-country orientation. • Review and approve host-country housing leases and issue security deposits. • Update allowances and deductions as conditions change in the host country (for example, rent subsidies, educational and other travel grants).	• Process and track required tax payments. • Collect compensation and tax data that is needed for home-country reports. • Coordinate emergency leaves and visits to the home country. • Communicate regularly with the assignee's home-country mentor(s). • Begin active repatriation efforts at least six months before the assignment ends. • Process visa and work permit renewals and extensions.

Stage 5: Completing the Assignment

While completing the assignment may be one of the most important aspects of the assignment process, it is frequently overlooked. There are two aspects to completion: repatriation and redeployment.

Repatriation involves reintegrating the employee back into the home country after an international assignment. It includes adjustment to the new job and readjustment to the home culture and conditions (including any potential reverse culture shock).

Redeployment does not always involve repatriation. An assignee's next assignment can be back in the home country, in a different global location, or in a new location or new position in the current host country.

Repatriated employees have a critical role to play in global organizations. Their international experiences enable them to contribute invaluable knowledge to the organization's global mindset and understanding of the world market as well as serve as role models and potential mentors for future assignees.

If not repatriated effectively, assignees may go through an adjustment cycle that is very similar to the one they experienced upon their initial arrival in the host country. Organizations may make the process more difficult by failing to provide:

- Adequate notice that the assignment is ending.
- A clear repatriation plan.
- Assurance that the skills and experience the assignee acquired during the assignment will be used effectively in his or her new assignment.

- Repatriation support services (which may range from mentoring and counseling to logistical support and compensation and benefit adjustments).

Risk Management

Risk Management is the identification, assessment and prioritization of risks, and the application of resources to minimize, monitor and control the probability and impact of those risks accordingly.

Proficiency Indicators:

Proficiency indicators for **all HR professionals** include:

- Administers and supports HR programs, practices, and policies that identify and/or mitigate workplace risk.
- Audits risk management activities and plans.
- Communicates critical information about risks and risk mitigation to employees at all levels.
- Conducts due diligence investigations to evaluate risks and ensure legal and regulatory compliance.
- Conducts workplace safety- and health-related investigations.
- Implements crisis management, contingency and business continuity plans for the HR function and the organization.
- Incorporates anticipated level of risk into business cases.
- Maintains and ensures accurate reporting of internationally accepted workplace health and safety standards.
- Monitors political, economic, social, technological, legal, and environmental (PESTLE) factors and their influence on the organization.

Proficiency indicators for **advanced HR professionals** include:

- Communicates critical information about risks and risk mitigation to senior-level employees and external stakeholders.

- Develops crisis management, contingency, and business continuity plans for the HR function and the organization.
- Develops, implements, and oversees a comprehensive enterprise risk management strategy.
- Develops, implements, and oversees formal and routinized processes for monitoring the organization’s internal and external environments to identify potential risks.
- Ensures risk management activities and plans are audited and the results are used to improve risk mitigation strategies.
- Establishes strategies to address workplace retaliation and violence.
- Evaluates the anticipated level of risk associated with strategic opportunities.
- Examines potential threats to the organization and guides leadership accordingly.
- Leads after-action debriefs following significant workplace incidents.
- Monitors and evaluates labor market, industry, and global trends for their impact on the organization.
- Oversees workplace safety- and health-related investigations and reporting.

Key Concepts:

- Approaches to a drug-free workplace (examples include testing, treatment of substance abuse).
- Approaches to qualitative and quantitative risk assessment (examples include single loss expectancy, annualized loss expectancy).
- Business recovery and continuity-of-operations planning (examples include business continuity and disaster recovery plan, evacuation procedures and simulations).
- Emergency and disaster (examples include communicable disease, natural disaster, severe weather, terrorism, man-made disaster) preparation and response planning (examples include communication mechanisms, evacuation plans).
- Enterprise risk management processes and best practices (examples include understand context, identify risks, analyze risks, prioritize risks) and risk treatments (examples include avoidance, reduction, sharing, retention).
- Legal and regulatory compliance auditing and investigation techniques (examples include audit or investigation plan, corrective actions).
- Quality assurance techniques and methods (examples include after-action analysis, industry-specific standards).
- Risk sources (examples include project failures, insufficient resources) and types (examples include hazard, financial, operational, strategic).

- Safety and security concerns (examples include workplace violence, active shooter, theft, fraud, corporate espionage, sabotage, kidnapping and ransom, insider threat, data breach) and prevention.
- Workplace/occupational injury and illness prevention (examples include identification of hazards, safety training), investigations and accommodations.

Risk Management

Risk is an ever-present issue that every organization faces, regardless of size or industry. Risks may be small and pose minimal threat to the organization, its assets, customers, and employees, or they may have such a significant impact that they threaten the organization's very existence. How an organization identifies risk, prepares to address risk, and responds to risk can help determine how much of an impact an incident has on the organization.

Because risk always exists to some extent, it is important to analyze key organizational traits and tailor the risk management strategy based on those traits. Creating and implementing a risk management plan and evaluating the effectiveness of that plan can work to continuously reduce the effect of incidents.

Risk management planning must be driven by organizational leadership, as it necessarily involves analysis of issues that span the entire organization. Proper support, emphasis, and resource allocation from leaders is necessary for the proper development and implementation of an effective risk management plan.

HR professionals play a key part in the development of risk management plans. They help organize, analyze, and lead the development of the plans and can help deploy the resources needed

to respond to incidents of all kinds. In order to fulfill that key role, HR professionals need to properly understand the processes behind risk management. HR also can help reinforce the risk management culture through the hiring and onboarding process and by making risk management part of job descriptions and performance management systems.

Risk and Risk Management

Proficiency indicators related to this section include:

- Communicates critical information about risks and risk mitigation to employees at all levels.
- Conducts due diligence investigations to evaluate risks and ensure legal and regulatory compliance.
- Incorporates anticipated level of risk into business cases.
- Maintains and ensures accurate reporting of internationally accepted workplace health and safety standards.
- Monitors political, economic, social, technological, legal, and environmental (PESTLE) factors and their influence on the organization.
- Develops, implements, and oversees a comprehensive enterprise risk management strategy.
- Develops, implements, and oversees formal and routinized processes for monitoring the organization’s internal and external environments to identify potential risks.
- Monitors and evaluates labor market, industry, and global trends for their impact on the organization.

Key concepts related to this section include:

- Enterprise risk management processes and best practices (examples include understand context, identify risks, analyze risks, prioritize risks) and risk treatments (examples include avoidance, reduction, sharing, retention).
- Risk sources (examples include project failures, insufficient resources) and types (examples include hazard, financial, operational, strategic).
- Workplace/occupational injury and illness prevention (examples include identification of hazards, safety training), investigations and accommodations.

Risk and Risk Management

Risk describes a broad set of factors, originating from both internal and external sources, that may impact business operations. Understanding what risk is, how it is categorized, and how to approach managing it is important to the continued stability and success of an organization in a globally connected economy.

Competency Connection

The head of credit sales at a mid-sized bank has proposed a new compensation system for his commercial sales team. The system would emphasize a bonus linked to the number of new clients the team acquires. Given his mandate from the board to aggressively increase revenue and market share, the CEO has expressed his preliminary approval for the plan.

The head of HR is not comfortable with the proposed system. Under the plan, if salespeople do not achieve their targets, they will still earn their full regular salary. She feels that while the bonus system is aligned with the goals of the business, it is not balanced in terms of risk taking. The downside risk of acquiring clients who are unable to pay their debts is being borne by the bank, while the bonus will incentivize the sales agents to acquire any new client regardless of

ability to pay off the debts and without any impact to the agents' basic pay should they be unsuccessful.

The head of HR requests a private meeting with the CEO. During this meeting, she explains that one of the potential consequences of the bonus plan is that the bank will acquire clients whose creditworthiness is questionable. She uses the historical example of what happened just prior to the financial crisis of 2008, when credit default swaps were being used to misallocate the risks associated with mortgages, which, in turn, resulted in the risk-reward balance between the lender and the borrower being broken.

The CEO is somewhat surprised to see that his head of HR understands the business of banking and risk management so well. After more thoughtful consideration, the CEO ultimately approves a bonus system but one in which the salespeople can still opt to remain on their regular salaries. If, however, a salesperson does opt to participate in the bonus plan, guaranteed salary will be reduced by 50%, there will be a six-month lag in the payment of the bonus, and, if any client defaults, any remaining bonus payment will be forfeited.

The head of HR has demonstrated Business Acumen by understanding the organization's business model and its implications in terms of human behavior. She has also demonstrated familiarity

with the risk management concept of moral hazard—that alignment and balance (not just alignment) between an organization's goals and associated risks is a necessary requirement for a sustainable business model.

Defining Risk and Risk Management

In a survey conducted by the Economist Intelligence Unit, responses indicated that leaders overwhelmingly recognized the effect of risk on their organizations' strategic success and survival. The ability to discern risks, especially emerging risks, was critical, as was the mission to support better senior management decisions.

At the same time, these leaders indicated that their organizations were most adept at managing risks associated with regulatory compliance and that risk awareness was high after a catastrophe and invariably fell off as time passed. In other words, despite knowing how important a strategic perspective on risk is, organizations often fall back on the bad habits of responding to risk in purely defensive and temporary ways.

To be effective, risk management must have a broader focus, including risks that affect strategic goals and those that affect daily operations. Risk management must also be part of the permanent mindset of every member of the organization—not just leaders and

managers and not just during crises. As Tom Mumford, a leader of the engineering firm KBR, noted, “We’re all risk managers now.”

In 2009 the International Organization for Standardization (ISO) released Standard 31000, “Risk Management: Principles and Guidelines.” ISO 31000 presented definitions related to risk, principles for organizations to follow in making themselves more resilient and capable of managing risk, and a risk management process.

Key Content

ISO defines **risk** simply as “the effect of uncertainty on objectives.” Although risk is commonly seen as something negative, strictly speaking it is neither positive nor negative. It is potential—what could happen. This wording was deliberately chosen by ISO. It underscores the fact that uncertainty can bring good surprises (opportunities) and bad surprises (threats). It can also bring change, which may be good or bad depending on what the organization makes of it. This broader meaning of the word “risk” challenges traditional perceptions of risk as solely negative, and changing these perceptions

in the organization may therefore take time and persistence.

An organization that is skillful at managing risk in a socially responsible and ethical manner can benefit from risk taking. Willingness to take risks is key to the success of entrepreneurs and the introduction of disruptive technologies that redefine industries. Author Nassim Nicholas Taleb has coined the term “antifragility”—the ability to not just withstand high-impact events or shocks but to improve and benefit from them.

Risks should be understood as having immediate, short-term, and long-term effects. The goal then is to anticipate, prioritize, and manage as many risks as is reasonably possible. For example, there may be an upside risk of a sales advertisement that is more effective than anticipated. The short-term effect is positive, but the long-range effects are more complex. The success could lead to greater brand awareness and continued increase in sales. The increase in sales could lead to increased pressure to produce goods, resulting in strains on the workforce. However, new sources of labor could be identified, which could improve workforce stability

in the long run. The increase in production might also strain the supply chain that provides materials for the goods. As a result, a less reliable supplier may make it through the due diligence process…or new and attractive supply partners may be discovered.

In sum, an uncertain event should be considered in terms of a broad range of possible outcomes, unfolding over time and in different configurations and having a correspondingly broad range of potential effects.

ISO defines **risk management** as “coordinated activities to direct and control an organization with regard to risk.” Risk management strategies are designed to change the probability of a risk event occurring and/or the degree of its impact on the organization’s objectives.

Categories of Risk

Thinking about categorizing risks increases awareness of the overall characteristics of risk.

ISO has hesitated to describe specific categories or classifications of risk on the grounds that organizations are different in their goals and operations and consequently have to deal with different types of

uncertainty. Thinking about categorizing risks, however, increases our awareness of the overall characteristics of risk.

Known Unknowns and Unknown Unknowns

At a basic level, it may be useful to categorize risk from the perspective of the amount and kinds of knowledge in hand when evaluating it. In that regard, risk can be categorized into “known knowns,” “known unknowns,” and “unknown unknowns”:

- Known knowns are events that are to be expected and so involve little uncertainty.
- Known unknowns are uncertainties that we know exist but we don’t know much about their probability or impact.
- Unknown unknowns are risks that we don’t know exist. They are the events that “blindside” an organization (or individuals or entire cultures). Nassim Taleb’s “black swan” theory is about unknown unknowns. “Black swans” are unforeseen “outlier” events that are extremely rare, have a major impact, and, when viewed in hindsight, are reasonably predictable (for example, the results of abrupt changes in technology or sudden sociopolitical shifts).

Some people have suggested that there are also unknown knowns: risks we mistakenly think we understand.

Looking at risk in this way emphasizes the need for recognition of the limits of what is knowable. When an organization can fully consider all categories of risk, it can more proactively manage risk. When an organization accepts that it cannot entirely know the future, it increases its vigilance and its capacity to respond to “black swans.” This response may take the form of educational campaigns, reserve funds, insurance, or contingency plans that accept unknown possibilities.

Kaplan and Mikes’s Categories

In a *Harvard Business Review* article, Robert Kaplan and Anette Mikes discuss three categories of risk. The categories illustrate some of the basic characteristics of risk: how it is perceived (to be avoided as a negative or accepted as a potential positive) and the degree to which it can be managed (whether it can be prevented or guaranteed or simply managed to increase or decrease its effect).

Kaplan and Mikes’s categories include:

- **Internal and preventable.** These risks come from within the organization and could include violations of ethics and failures in routine processes.
- **Strategy.** There are times when an organization is willing to take on a certain amount of risk when it commits to a strategy—

for example, uncertainty as to whether loans can be repaid, employees will be fully productive, projects might fail, or resource shortages might occur. This willingness to accept risk is based on assessment of potential benefits that can be reaped from a successfully executed strategy.

- **External.** These sources of uncertainty are outside the organization and beyond its control. They would include changes in the economy or laws and regulations, disruptive technologies, and availability of trained employees.

Enterprise Risk

There is no universally accepted method for categorizing organizational risks. One model, which has wide-ranging applicability and utility, separates risks into four general categories, sometimes known as risk quadrants: strategic, operational, financial, and hazard.

- Strategic—risks that affect the organization's ability to achieve its objectives
- Operational—risks that affect the myriad ways in which the organization creates value
- Financial—risks that affect the accuracy and timeliness of information about the organization's financial performance and condition

- Hazard—risks that have the potential to cause physical harm to property or people (for example, an illness or injury) in the immediate and long term

Each of the categories can include numerous subcategories of sources of risk. This is shown in Exhibit 18, which places the risks in the context of HR responsibilities. Each organization must identify the particular risks to which it is subject and then deepen its understanding of those risks.

Exhibit 18: Risk Categories in the HR Context

Risk Categories	Sources of Risk	HR Responsibilities	HR Process Areas
Strategic	• Investment • Innovation • Competitive behavior • Consumer behavior • Partners • Employee engagement and diversity	• Workforce management • Talent management • Employee engagement • Management of HR function • Continuity of HR function	• Recruitment • Succession planning • Training and development • Employee communication • Reward systems • Complaint resolution • Contingency planning

Risk Categories	Sources of Risk	HR Responsibilities	HR Process Areas
Operational	• Sustainability • Supply chain • Data privacy • Process efficiency and effectiveness • Insufficient resources	• Performance management • Leadership development • Training and development • Job design	• Workplace safety • Global assignments • Employee relations • Benefits administration • Contingency planning
Financial	• Growth of assets • Misappropriation of assets	• Measuring and reporting workforce data	• Technology • Data privacy • Analytics and decision support
Hazard	• Natural, environmental, and elemental causes • Injury and illness • Health and safety • Employees, partners, contractors, suppliers	• Communication of safety procedures • Hazard assessments, job hazard analyses, HR audits • Duty of care	• Communication with employees • Contingency planning • Workplace safety

Benefits of and Barriers to Handling Risk

Risk management can benefit an organization in a number of interrelated ways when resources are effectively deployed to balance risk and support organizational goals.

- Embedding certain risk management strategies into the culture of the organization—for example, ethics, wellness, safety, or process improvement—will positively impact customer satisfaction, reputation, and employee engagement. An organization that is effective at risk management will acquire a good reputation among customers and employees. When an organization is clearly focused on risk management, it will be better able to attract top talent.

- Strong risk management strategies will enable HR to identify and avoid potential financial risks such as embezzlement or resource disruptions, for example, by identifying secondary sources of resources should a primary supplier become unable to deliver.

- Organizations that implement rigorous risk management plans and strategies can enhance their attractiveness to prospective employees and customers and can become Certified B Corporations—recognized as meeting the highest level of social responsibility and sustainability and prioritizing the well-being of employees, communities, and the environment.

- Compliance goes hand in hand with risk management. An organization with a strong risk management strategy will find it easier to remain in compliance with rules, regulations, and laws.

Organizations that are adept at risk management grow more resilient to emerging risks, risks that may not have been identified and prepared for—a growing consideration in a highly technological marketplace.

There is also the opportunity that an organization can become so expert at risk management that its risk management activities become a revenue stream. The chemical company DuPont, for example, took its own experience in workplace safety programs and created Operational Risk Management Consulting. This subsidiary has since delivered safety training and advisory services to millions of non-DuPont employees worldwide.

The barriers to risk management are primarily structural, cognitive, and cultural.

- **Structural.** Organizations that are structured in a silo fashion tend to respond to risk in an operational rather than strategic manner. They overlook dependencies within the organization that can create risks and/or interfere with proactive risk management. There are few channels for communication about risk and monitoring of practices that span the entire organization. One of the world’s leading manufacturers of iconic play materials evolved from a silo approach to an integrated ERM approach. Early on, operational risks were handled by

planning and production. Employee health and safety were attained by following the minimum ISO certification standards. “Hazards” were outsourced to insurers. IT was responsible for data security, finance for optimizing treasury management, and legal for copyright and contract management. Managing strategic risks required looking at threats and opportunities more holistically. The company subsequently implemented an organization-wide risk management strategy.

- **Cognitive.** Managing risk effectively also requires imagination and openness to change. One of the reasons why compliance has traditionally consumed so much attention in risk management may be the attraction of its relative clarity: Risks have been clearly identified and responses fully defined. It is a realm of “if-then” scenarios, in which one posts certain warnings, provides certain safety equipment, and files certain reports with defined information at defined intervals. It takes more imagination to look beyond compliance to the realm of “what-if” scenarios—a less-certain world containing other sources of risk, especially emerging risks. Those responding to risk must also be willing to try new approaches to managing risk.
- **Cultural.** The cultural barriers ultimately involve what types of mindsets are sought, instilled, and rewarded. Organizations must clearly communicate to their members just what the

organization's position and appetite are regarding risk. They must educate anyone in a position of making a decision that involves uncertainty—and that ultimately can mean everyone in the organization—about the discipline of risk management. They must create risk awareness and risk intelligence throughout the organization. An organization must also be aware of how the diverse cultural backgrounds of its workforce shape the beliefs and attitudes each member brings to the organization—including those regarding risk. Differences in areas such as culture-based uncertainty avoidance and whether cultures value clarity and consistency or embrace ambiguity can greatly alter how risk is perceived. Efforts to create a risk-aware corporate culture must take such varied cultural attitudes into account.

ISO Risk Management Approach

In its Standard 31000, ISO has articulated 11 principles for risk management, shown in Exhibit 19, that allow an organization to assess its ability to manage risk and its level of risk management maturity.

Exhibit 19: ISO 31000 Principles

An effective risk management program should:

An effective risk management program should:	
Create and protect value. Be an integral part of all organizational processes. Be part of decision making. Explicitly address uncertainty. Be systematic, structured, and timely. Be based on the best available information.	Fit an organization's risk and control environment. Take into account human and cultural factors. Be transparent and inclusive. Be dynamic, iterative, and responsive to change. Facilitate continual improvement of the organization.

ISO also has described an organizational framework that supports the creation of a risk-aware and risk-intelligent culture. The framework includes:

- **Management commitment** to risk management and clear direction that risk management is part of the organization's strategy and culture. This necessitates management action consistent with this commitment: applying an appropriate appetite for risk, managing risks in a way that protects and enhances stakeholder interests, and rewarding individuals in a way that is consistent with risk management goals. For example, rewards for senior management should be tied to strategic objectives that a board has approved. Management commitment will be essential to securing appropriate support and resources for risk management activities.

- **Design of a framework for managing risk** that includes the organization’s governance layer of explicit policies and processes designed to fulfill those policies. It also includes the organization’s ethics and values, the examples of the organization’s leaders, and the culture created by the pattern of decisions and behaviors of everyone in the organization.

- **Implementing risk management** to determine the management approach for specific risks. This part of the framework includes a risk management process.

- **Periodic monitoring and review of the framework** to make sure that it is delivering on the goals of risk management. This could include determining whether processes are being implemented throughout the organization as required and whether the organization’s members are behaving consistently with its risk-aware culture.

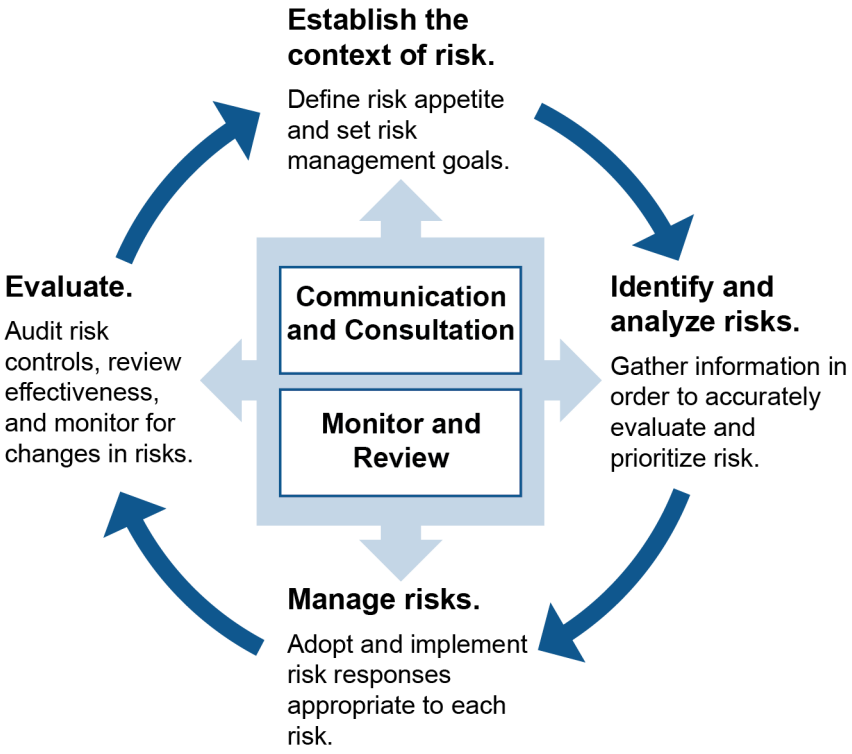
- **Continual improvement of the framework,** which could involve realigning the framework to a new organizational strategy for risk management, making the framework more responsive to emerging risks, increasing awareness of and experience with new management approaches, and improving auditing tactics.

Risk Management Process

The risk management process includes establishing the context of risk, identifying and analyzing risks, managing risks, and evaluation.

Exhibit 20 offers an example of a risk management process. It includes two ongoing activities: “Communication and Consultation” and “Monitor and Review.”

Exhibit 20: Risk Management Process



The ongoing nature of communication and consultation underscores the need to include internal and external stakeholders at all stages of the risk management process. Their input and perspective help

make risk identification and analysis more complete and balanced and help make sure that controls are designed to work in their intended environments. This creates ownership in control plans and makes the risk management process more sustainable. Ongoing monitoring and reviewing help make sure that risk management strategies are aligned with overall strategy, are following defined policies and processes, and are effectively and efficiently meeting the goals established for the management of each identified risk.

Understanding the Organizational Risk Context

Proficiency indicators related to this section include:

- Administers and supports HR programs, practices, and policies that identify and/or mitigate workplace risk.
- Communicates critical information about risks and risk mitigation to employees at all levels.
- Conducts due diligence investigations to evaluate risks and ensure legal and regulatory compliance.
- Incorporates anticipated level of risk into business cases.
- Develops, implements, and oversees a comprehensive enterprise risk management strategy.
- Ensures risk management activities and plans are audited and the results are used to improve risk mitigation strategies.
- Evaluates the anticipated level of risk associated with strategic opportunities.
- Examines potential threats to the organization and guides leadership accordingly.

Key concepts related to this section include:

- Approaches to qualitative and quantitative risk assessment (examples include single loss expectancy, annualized loss

expectancy).

Understanding the Organizational Risk Context

When evaluating risk, understanding the organization's current standing is key to understanding what changes, if any, need to be made. This includes understanding the willingness to face risk, how well the organization is positioned to handle risk, and how effective the organization's current policies are at dealing with risk.

Competency Connection

An HR professional had just been hired as employee relations manager when his employer, a mid-sized regional financial institution, decided to outsource all their facilities operations in four locations. The vendor who would assume this function had committed to hiring all the existing employees at each location.

The HR professional met with the chief administrative officer (CAO)—the number-two leadership position in the multibillion-dollar company—about the corporate strategy and participated in several meetings with the vendor. As a result of this outsourcing initiative, about 30 long-time employees (many with more than 20 years of service) would no longer be employed with the company but would have the option of keeping essentially the same job working for the

new vendor. It seemed a win-win move to the CAO: No one would be fired—technically—and the company's savings would be very significant.

The HR professional met separately with the CAO to explain some financial risks for the business. Although it seemed as if people were not losing their jobs, they were in fact being RIFed (reduced in force). The company had an unpublished but longstanding policy of providing severance pay based on years of service for any employee who was involuntarily terminated/RIFed. The HR professional calculated the total cost to provide these benefits to the outsourced staff as about $360,000. Although the benefits package offered by the vendor was comparable, there were slight differences in retirement benefits and health insurance.

The CAO said he had not contemplated paying severance because all employees would be offered a job with the vendor at the same rate of pay. They would remain working in the same location and essentially have very similar duties. He did not think severance was necessary, and it was obvious that this cost was not factored into the outsourcing plan he had created. The HR professional expressed his belief that abandoning the established severance practice presented financial, reputation, and ethical risks to the company. While there was no written policy, there was well-established

practice. The image of the company held by remaining employees and the public would suffer. And it was not the right thing to do.

The CAO considered the advice the HR professional had offered. In meeting with the facilities department to announce the change, the CAO told the group that, even though they would all be offered jobs with the vendor, they would be receiving the customary severance benefits. The employees cheered and thanked the CAO, who privately thanked his HR colleague. A few months later, the HR professional met one of these employees, who said, “Thanks! My manager told us how you had looked out for us all.”

The HR professional provided valuable advice and judgment to the organization, calling on different Behavioral Competencies: Analytical Aptitude to analyze the financial aspects of the situation, Ethical Practice to identify the right path, Business Acumen to identify potential risks and the organization’s risk appetite, and Leadership & Navigation to understand the CAO’s personal values and goals.

Organization’s Risk Appetite and Risk Tolerance

During the first phase of the risk management process, the organization tries to gain a sense of how prominent a role risk plays in the organization, where most of the risk resides, and what are the typical sources of this risk.

Organizations may use different tools to assess the market and the surrounding environment to prevent risks. SWOT analysis, for example, is often used to assess strategic capabilities in comparison to threats and opportunities. PESTLE analysis searches for environmental forces organized under specific categories—political, economic, social, technological, legal, and environmental—to better understand organizational threats and opportunities.

For global organizations, PESTLE data is necessary for developing a global organizational and functional strategy. The analysis in a global context is a bit more challenging than that for a domestic context because it requires local expertise (or at least an awareness of the local environment).

Example:

A nongovernmental organization (NGO) that specializes in helping and protecting marginalized target groups (such as ethnic minorities, the poor, and the needy) uses PESTLE to assess risks before expanding operations across its borders to another country. The following PESTLE factors are identified for consideration.

- **Political.** Tax policy, employment laws, environmental regulations, trade restrictions, tariffs, political stability, and where the local government may not want goods or services to be provided.
- **Economic.** Interest rates, exchange rates, inflation, wages, working hours, and cost of living.
- **Social.** Cultural aspects, health and safety consciousness, population growth rates, and various demographics.
- **Technological.** Ecological and environmental factors, available products and services, and whether the NGO's current technologies will work in the new locations or require changes and innovation to be compatible.
- **Legal.** Laws that may impact the NGO's operations and potentially differ across in-country locations.
- **Environmental.** Climate changes and seasonal or terrain variations that might affect the NGO's service delivery methods.

In risk management, internal and external reviews of risk sources should also consider risks that are cross-functional. For example, consider a case in which HR for a university brings together all staff

for a workshop to establish the role risk plays in their organization. They begin by listing the major stakeholders and their expectations:

- The administration is most concerned with exceeding its annual payroll and optimizing management of cash reserves. They want data about wage and benefit expenses reported accurately and quickly. This is a challenge, given the wide range of job classes and benefits.

- The faculty is concerned about erosion of their benefits, particularly stipends for research (including assistants) and travel. Research is revenue for the university, and cuts here can threaten future revenue. Inability to perform high-quality research hurts the future employment prospects of all levels of faculty. The main risk here is losing talented faculty to competing institutions.

- Students and their parents are concerned about the quality of the faculty. They want the majority of the classes to be taught by tenured professors, not adjuncts or assistants. Those professors should come from prestigious institutions. The main risks here involve satisfying those paying the tuition bills and attracting talented faculty.

- Facility management has to make sure that a wide variety of venues—from lecture halls to student dormitories and cafeterias to science labs—are kept up to very specific standards of cleanliness and appearance. Increasingly they need highly skilled technicians to support information and control systems.

- Security has been under pressure because of several recent attacks on students and burglaries. Some of the attacks were sexual and involved other students.

- The government has been pressuring the university to cut tuition costs for students, offer more scholarships to disadvantaged students, and increase diversity…but not through any form of preferential treatment.

- The community would like more access to university resources to offset the considerable inconveniences caused by increased traffic and noise.

The HR group then considers other external sources of risk, for example, terrorism on campus and weather interruptions.

The experience shapes the group's perception of risk. They had been expecting discussions of payroll systems and health and safety, but HR risk is obviously a more complicated issue at the university.

Even a quick review of these observations raises some interesting questions. First, should the administration be more aware of risks other than budget? Its reputation with its key payers—funding governments, parents, students, alumni—could be damaged or enhanced by its ability to manage other risks, such as talent retention, student security, and campus appearance. Second, many of these risks are cross-disciplinary in nature. Budget affects faculty, who affect students. Security affects students and community, who affect funding. How do you manage risks that are so intertwined?

After getting a sense of where threats and opportunities exist inside and outside the organization, leaders need to set a risk position for each of the risk categories they have defined. The **risk position** can be defined as the organization's desired gain or acceptable loss in value. (Keep in mind that much of the terminology about this aspect of risk management comes from the financial and insurance industries. The terms there have very technical meanings that we are generalizing here.)

The risk position the organization chooses will be influenced by its **risk appetite** or **risk tolerance ,** the amount of uncertainty the organization is willing to pursue or to accept to attain its risk management goals. According to COSO, risk appetite is a high-level characterization of acceptable risk—for example, "We will not risk

having open managerial positions due to poor recruitment.” Risk tolerance sets a more defined range above and below a target risk position: “We will take necessary steps to make sure that management positions are filled within 30 to 45 days.”

In the next phase of risk management, HR leaders at the university will take a closer look at each of these areas, what creates risk, what is currently being done to address risk, and what else could or should be done.

Strength of the Organization’s Governance and Effectiveness of Current Controls

Risk appetite and tolerance are in turn affected by other factors, including:

- **The organization’s strategic goals** and the degree to which risk will help achieve those goals (for example, engaging with a new financial services firm that may be able to provide a better return on short-term reserve funds) or interfere with achieving those goals (for example, the effect of on-campus crime statistics on prospective students and their families). One of the benefits of being involved in early organizational strategy

sessions is that HR leaders can hear concerns raised by different leaders within the organization and add an HR perspective.

- **The organization's characteristic attitude toward risk,** heavily influenced by leadership and culture. Some organizations are risk-averse; they will avoid choices in which the gains are too low or the costs too high. Others are risk-seeking, willing to hazard considerable sums with little guarantee of success. To get a better sense of their organizations' attitudes toward risk, HR professionals should include risk awareness and attitude as a topic to explore as they network within the organization, expanding and deepening contacts. They may need to apply their Leadership & Navigation and Consultation competencies to help their organizations see the need for reevaluating their attitudes toward risk.

- **The organization's resources or risk capacity.** Organizations with limited resources may be more risk-averse. A university that is financially well-endowed may be more willing to enter into competition for internationally known faculty than a university with smaller means. HR leaders can discuss these issues with senior management responsible for monitoring and

controlling organizational assets, such as a chief financial officer.

- **Externally imposed requirements** such as required insurance and risk management strategies (for example, certifications for information systems, fire prevention designs, cash reserve funds). Some organizations have designated risk management offices that can provide more information about these requirements, as can financial officers, staff legal counsel, facility managers, directors, etc.

- **Loss expectancy.** There are qualitative and quantitative approaches to assessing organizational risks. Loss expectancy is an example of a quantitative assessment approach. Such quantitative analysis is about assigning monetary values to risk components. Loss expectancy can be described as single or annualized.

  Single loss expectancy (SLE) is the expected monetary loss every time a risk occurs. It involves the asset value (AV) and an exposure factor (EF) and is expressed by the following formula:

  $$SLE = AV \times EF$$

  Asset value may vary with inflation, market changes, and so forth. Introducing preventive measures may reduce an exposure

factor.

Annualized loss expectancy (ALE) is the expected monetary loss for an asset due to a risk over a one-year period. It involves SLE and an annualized rate of occurrence (ARO) and is represented by the following formula:

$$ALE = SLE \times ARO$$

A goal of risk management is to deliver optimal objectives at a reasonable cost. Depending upon an organization's risk tolerance and risk appetite, an organization may consider a mitigation measure even though it may cost more than expected losses. For example, an organization may consider implementing a security measure that costs $10,000 per year to be worthwhile even though it is more than the expected losses due to the threat.

Key Content

It is important that all of these criteria are aligned. The organization should invest in managing the correct risks, the ones that have strategic impact. The risk appetite and tolerance should be

appropriate for the organization’s resources and legal requirements.

When the organization’s risk attitude and the positions it seeks are not aligned with these other factors, it is the responsibility of those who have greater understanding of these risks to educate decision makers about issues. Three common examples of misaligned risks are moral hazard, the principal-agent problem, and conflict of interest.

Moral hazard exists when one party engages in risky behavior knowing that it is protected against the risk because another party will incur any resulting loss. Insurance, for example, can have the unintended consequence of creating moral hazard by incentivizing people to act more recklessly than they would have had they not had insurance. The financial crises of 2008 and 2009 were caused in large part by individual high-risk behavior that exposed institutions to enormous losses.

Other examples of moral hazard include:

- A manager under-reports workplace accidents to earn an incentive.

- Employees overuse an organization’s health benefits, causing an increase in the plan’s premiums the following year.
- A CEO receives a no-fault golden parachute when forced to resign due to poor company performance.
- A retail manager overestimates an inventory count to understate the cost of goods sold, increasing the book value of income for that period.
- A member country of an economic union borrows beyond its ability to repay the loan, knowing it will receive support from the larger organization.

The **principal-agent problem** (or agency dilemma) is an economic concept often associated with moral hazard in employment. The problem arises when an agent (such as an employee) makes decisions or takes actions on behalf of a principal (an employer or owner) but has personal incentives that may not align with those of the principal.

Generally, this is dealt with by providing incentives (sometimes referred to as agency costs) that will help align principal and agent interests. This may range from commissions, to performance bonuses or stock options, to employee ownership arrangements. Or there may be moral incentives, as when an organization asks its employees to adhere to sustainability standards that may require

extra time and effort. Even in the most communal, family-oriented, socially responsible organizations, it can’t always be assumed that the incentives of employees and employer are fully and predictably aligned.

Conflict of interest , in which a person or organization has the potential to be influenced by two opposing sets of incentives, is exemplified in both moral hazard and the principal-agent dilemma.

Examples of potential conflicts of interest include:

- An employee selects a vendor company owned by a personal friend.
- An employee is directly supervised by his or her spouse.
- An outside consulting company is simultaneously retained by two competing organizations.
- A politician receives a valuable gift before a government contract is awarded to a company in her district.
- An owner/executive of a publicly traded company seeks to take his company private, in the process increasing the value of his personal holdings.

The interpretation of conflicts of interest can and does vary significantly depending on the jurisdiction. As such, it is always wise to check with qualified legal counsel before concluding that a particular circumstance legally constitutes a conflict of interest.

Effectiveness of Current Risk Controls

Risk management strategies are designed to change the probability of a risk event occurring and/or the degree of its impact on the organization's objectives. An action taken to manage a risk is referred to as a **risk control.**

Key Content

While establishing the organizational risk context, it is important to evaluate the effectiveness of current risk controls. As you look at identified risks, first ask, "Are there risk controls in place?" If there are, then ask, "Does the data show that the controls are effective?"

Here are some examples of how risk control evaluation might take place:

- HR has a process for defining workforce needs that requires function heads to sign off on estimates. This was an attempt to control the risk of inaccurate information being used in the workforce management plan. HR sees that it is still having a problem with inaccurate estimates, so the current control is not working. The process must be revised.

- Safety training is delivered to prevent back injuries, but the rate of injuries remains unchanged. Because the control has not had an effect, another method must be explored.

- HR has a process for verifying information on an employment application, but there have been two highly visible failures in which applicants did not have the required educational credentials. Though the controls may have been broadly effective in this situation, additional adjustments must be made to ensure that other outliers do not continue to slip through.

Identifying and Analyzing Risk

Proficiency indicators related to this section include:

- Administers and supports HR programs, practices, and policies that identify and/or mitigate workplace risk.
- Conducts due diligence investigations to evaluate risks and ensure legal and regulatory compliance.
- Conducts workplace safety- and health-related investigations.
- Maintains and ensures accurate reporting of internationally accepted workplace health and safety standards.
- Communicates critical information about risks and risk mitigation to senior-level employees and external stakeholders.
- Develops, implements, and oversees a comprehensive enterprise risk management strategy.
- Develops, implements, and oversees formal and routinized processes for monitoring the organization’s internal and external environments to identify potential risks.
- Evaluates the anticipated level of risk associated with strategic opportunities.
- Examines potential threats to the organization and guides leadership accordingly.

- Monitors and evaluates labor market, industry, and global trends for their impact on the organization.
- Oversees workplace safety- and health-related investigations and reporting.

Key concepts related to this section include:

- Enterprise risk management processes and best practices (examples include understand context, identify risks, analyze risks, prioritize risks) and risk treatments (examples include avoidance, reduction, sharing, retention).

Identifying and Analyzing Risk

What threats will an organization choose to protect itself from, and what opportunities will it risk resources to capture? To answer this, the organization must first identify all the internal and external risks that affect its strategies and operations, in all of its locations and in all segments of its operations. The risk identification and analysis stage begins with gathering information from a variety of sources to make sure that the organization is considering all aspects and perspectives of its strategy and operations. The information is then analyzed to understand each risk more fully. Based on this analysis, the organization can optimize its risk management plans by focusing its resources on significant risks and tracking risks in a risk register. It can also develop key risk indicators, signals that a threat or an opportunity may be materializing.

Competency Connection

Employee safety is an organization-wide issue, and HR must work with multiple internal stakeholders to identify gaps and coordinate responses. As this example shows, it requires both HR Expertise and Relationship Management—providing customer service to these internal partners and collaborating with them to address issues.

An organization’s senior leadership asked HR to review its safety policies and practices and assess the overall effectiveness of workplace safety. At that point, the responsibilities to protect employer property and keep employees safe were spread across several business units. Some of the units had direct responsibilities related to safety concerns and issues; others had tangential tasks and accountabilities. Multiple individuals were involved in the organization’s workplace safety initiatives: senior leadership and human resources as well as safety, benefits, and workers’ compensation professionals. Line and staff managers and supervisors were also involved.

The human resource practitioner (HRP) overseeing the review recognized that the constituents might have competing (and conflicting) concerns and interests. The HRP methodically and diplomatically coordinated and expedited the internal review of the current working conditions. Findings and recommendations identified areas in which workplace safety was adequate and areas where safety could be improved; those findings and recommendations were communicated to all stakeholders.

The HRP’s actions demonstrated various capabilities: Analytical Aptitude by reviewing the safety policies and practices across the organization, Leadership & Navigation by coordinating the input from

multiple stakeholders, and Consultation and Ethical Practice by managing all the interactions to achieve the overarching goal of a safe workplace for all employees.

Identifying Risks

The goal for this phase of risk management is represented in the acronym MECE, which stands for “mutually exclusive and comprehensively exhaustive.” In other words, the organization wants to be confident that it has identified all plausible risks for all strategic and operational aspects of its business, but it wants to avoid duplication or overlapping in the identification. Duplicate risks may mean wasted resources and burdensome reporting that could discourage compliance. Overlapping risks could lead to incomplete management of a risk, conflicts among the different owners of the risk, and loss of organizational control over the management of the risk. Overlapping risks affect an organization across multiple risk categories. For example, a data breach affects compliance with data privacy laws, reputation with stakeholders, and financial integrity. Efforts to manage these complex risks require careful coordination among relevant risk owners.

Risk Identification Approaches

A variety of approaches can be used to identify potential risks. Let's illustrate these approaches through an example involving the key HR responsibility of providing duty of care to employees.

An employer's duty of care is a difficult term to define succinctly. In its broadest sense, **duty of care** means that organizations should take all steps that are reasonably possible to ensure the health, safety, and well-being of employees and protect them from foreseeable injury. An employer's duty of care spans the entire employment relationship—from recruitment through employment to termination and, in some cases, beyond (for example, retirement). In some cultures and assignee situations, employer duty of care also extends to the employee's family. Duty of care can extend outside the primary workplace for global assignees and telecommuters. Duty of care therefore presents a solemn and challenging responsibility for HR.

Consider an HR function in an organization that has, in the past, responded to the duty-of-care responsibility in an uncoordinated, compliance-oriented manner. The major concern has been compliance with local workplace safety standards and processes, in which HR's processes have focused only on making sure that local operations performed the minimum necessary steps or actions.

However, a new chief human resources officer (CHRO) sees duty of care as having strategic significance. It affects the employer brand, costs (through insurance rates), and relationships with local governments and communities. So the organization and HR commit to developing a deeper understanding of the uncertainties that affect this responsibility to safeguard employees.

It will be important for this organization to develop a comprehensive and multi-perspective view of risk since its risks vary regionally and by business sector. How can our organization improve its understanding of this broad a spectrum of risk?

- **Consulting experts and information sources.** In our example, the organization begins by consulting with experts and reviewing documentation. Insurance claims are examined to identify causes for injuries. Insurers are interviewed for their perspective on the types of risks they have seen in this industry and in the geographic areas in which global assignees work. Manuals for equipment are reviewed to identify hazards. A **hazard** is defined as the potential for harm, often associated with a condition or activity that, if left uncontrolled, can result in injury or illness. Hazards have the potential for immediate and sometimes serious harm to employees.

HR personnel reach out to colleagues and peers in similar fields. They contact their own government offices (embassies and consulates) and business-related offices (chambers of commerce, business associations, executive clubs, etc.) and even journalists in countries to which assignees are sent to retrieve information related to health issues, crimes, kidnapping, and so on.

- **Focus groups and individual interviews.** HR organizes a series of focus groups at different sites (for example, different locations and types of operations) and with different groups of employees (for example, clerical and administrative, logistics, or food service workers; managers and supervisors in different settings). The focus groups are structured group interviews in which the participants (selected to represent a good sample of tenure with the organization) are guided through brainstorming, sorting, and consensus building about the types of risks they encounter. Interviews are conducted with key individuals. The results of the focus groups serve as stimulation for these one-on-one discussions.

- **Surveys.** In those cases where focus groups and interviews are not feasible, and to provide a deeper statistical context for the

data gathered thus far, HR distributes surveys that are organized to support data analysis.

- **Process analysis.** HR has identified a number of its own processes as being especially critical, given the organization's values and strategic priorities. For these processes, they conduct process analysis. Processes are flowcharted and analyzed to identify requirements at critical points. These requirements may represent risk.

- **Direct observation.** Vulnerabilities can be observed by walking through a facility as an employee or visitor might. For example, a local manufacturing site can be checked for its vulnerability to and controls against fire: the presence of fire suppression and detection systems and emergency evacuation routes. Workplaces may show evidence of clutter or leaks that could cause falls. Storage of heavy objects at high levels could cause injuries. Unsecured access to a workplace could allow assailants to enter.

Analyzing Risks

Each risk must be analyzed to answer certain questions about the extent of the organization's vulnerability to a threat or exposure to an

opportunity. The information gathered will be helpful in deciding how to manage the risk.

In order to properly analyze risk, it is important to know how likely a risk event is to occur, how it will affect the organization, how quickly the event is likely to emerge, if there are controls currently in place to manage the risk and if they are effective, and the probable root cause of the risk.

Risk Analysis Tools

One of the basic tools in risk analysis is the risk equation, an attempt to quantify the amount of uncertainty a risk represents. In general, risk level is described by the following equation:

Risk level = Probability of occurrence x Magnitude of impact

Risk level can be quantified through risk scorecards or visualized in a risk matrix. Risk level will be an essential consideration for decision makers as they plan risk management budgets.

Risk Scorecard

A **risk scorecard** is a tool used to gather individual assessments of various characteristics of risk (for example, frequency of occurrence; degree of impact, loss, or gain for the organization; degree of efficacy of current controls). Risks identified as relevant to the

organization are listed in a template. Individual risks may be weighted more heavily according to their strategic importance. Each risk is scored and adjusted by its weight. When scores are aggregated, the result indicates how the organization perceives specific risks. This may lead directly to consideration of management tactics or to further analysis.

Exhibit 21 is based on an online survey that asked HR to assign a numeric value to certain aspects of different risk events. HR was to consider:

- How likely a risk was to occur—event probability.
- How quickly a risk would materialize if it occurred—speed of onset.
- How well the organization is currently prepared for a risk—existing mitigation.
- The possible effects if the risk event occurs—severity of impact.

Exhibit 21: Risk Scorecard

Function and Location: HR, Country X					
Event/Threat	**A: Event Probability**	**B: Speed of Onset**	**C: Existing Mitigation**	**D: Severity of Impact**	**Threat Ranking Index**
	1 = Unlikely 2 = Possible 3 = Probable	1 = Very slow 2 = Gradual 3 = Sudden	1 = Strong 2 = Average 3 = Weak/none	1 = Little 2 = Considerable 3 = Severe	Multiply ratings for each event/ threat. (A x B x C x D)

Water supply interruption exceeding 4 hours	1	3	3	2	**18**
Chemical spills	1	3	2	1	**6**
Power outage exceeding 4 hours	2	3	2	2	**24**
Hurricanes	3	2	2	2	**24**
Loss of database exceeding 4 hours	2	3	2	2	**24**
Winter event preventing employees from coming to work	3	2	1	1	**6**
Sudden loss of key personnel	2	3	3	3	**54**

In this example, the score is an index, determined by multiplying individual scores. This particular location seems particularly vulnerable to the loss of key talent and, to a somewhat lesser degree, weather-related interruptions to power and access to the office. Its risk management efforts will focus on these events.

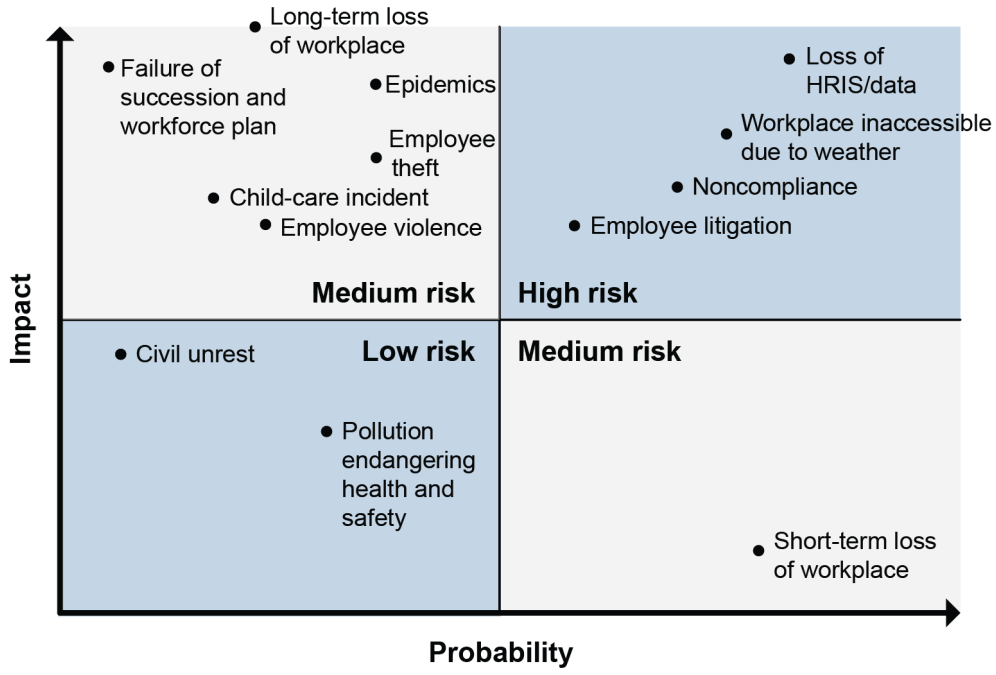
Risk Matrix

Risk level is often expressed visually in a risk matrix, a simple grid in which the horizontal axis represents the probability that an event will occur and the vertical axis relates to the severity of the impact on the organization or function if the event occurs. For example, if an

HR function has multiple training facilities and the buildings in which they are located are fairly modern and free of activities that might cause fires, inability to use a training facility due to a fire might be rated as low in both impact and probability. However, for an organization with a centralized database of employee records and weakly controlled access to the information system, loss of data integrity would have a great impact and a greater probability of occurrence.

Exhibit 22 is an example of a risk matrix completed for a hypothetical company in a mature and stable political/economic context.

Exhibit 22: Risk Matrix



Risks can be prioritized using the risk matrix tool. Organizations may choose to focus their resources on the more certain and higher-impact threats or opportunities. In that case they will look most closely at controls for events in the upper right quadrant of Exhibit 22. The events in the lower left quadrant merit a “wait and see” approach.

Specific risks and their probability and impact will vary by organization, industry, and location.

The downside of a risk matrix is that it does not reflect the degree to which the organization or function is currently protected against the threat.

The matrix can be useful, however, as a sorting tool in a risk analysis workshop. An event’s position on the matrix suggests certain actions.

It is important to note that the risk scorecard and risk matrix examples shown here focus on downside risks, but these tools can also be applied to analyzing upside risks or opportunities. They are often used to select investments.

We should also note that those engaged in constructively analyzing risk should be prepared for resistance by others in the organization who disagree about the existence of a risk or the degree to which

the organization is protected against a risk. To achieve a reliable risk analysis, one must be honest about all possible shortcomings, skeptical about claims, and courageous in challenging assumptions.

Evaluating Risks

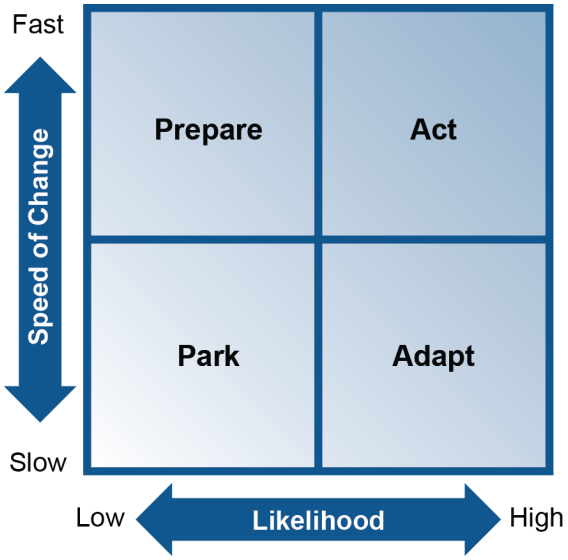
In this step of the risk management process, organizations prioritize the risks they have identified, based on the results of analysis.

Key Content

In some cases, risks with a large potential impact may be subjected to further analysis before evaluation. For example, scenarios may be created for events at different levels of severity or opportunity—different levels of success with a new executive recruiter and what that will mean to the organization's ability to execute its strategic plans, loss of productivity caused by storms of different magnitudes. This aspect of risk analysis can be highly technical.

In addition to risk matrices, organizations can use the PAPA (prepare, act, park, adapt) model for risk prioritization. An example is shown in Exhibit 23.

Exhibit 23: PAPA Model



This model uses two axes: The vertical axis considers the speed of change and the horizontal access the degree of likelihood. The matrix can be used for both threats and opportunities. The quadrants represent recommended organizational actions.

- **Prepare** events are not likely to happen but will materialize quickly if they do occur. That means contingency plans must be in place and early indicators defined. We will discuss the concept of key risk indicators shortly. For example, HR may be aware that occasionally seasonal storms are capable of

inflicting severe damage in the organization’s localities. It invests in developing contingencies for data backup and remote access, the ability of key HR personnel to work remotely on critical processes, and methods for communicating with all employees quickly.

- **Act** events are both highly probable and fast-moving. These threats and opportunities require immediate responses in terms of enhancing the chances for opportunities and decreasing the chances of a threat occurring or creating significant damage. For example, workplace accidents are an unfortunately common occurrence in the mining industry. HR makes sure that response equipment is in place, all personnel are trained in responding to accidents (for example, quickly stabilizing the scene and preventing access to unauthorized personnel, delivering emergency treatment, communicating with key personnel), and HR personnel are trained in handling all compliance issues related to documenting and reporting workplace injuries.

- **Park** events are slow-moving and unlikely. They merit monitoring for changes in their characteristics but not investment in mitigation or contingencies. For example, HR determines that bullying is not an issue in its workplaces for

reasons of culture and the type of work being performed. They see no imminent change in those conditions, so they do not prioritize this risk. They do make sure that an open-door policy is in place to allow reporting of situations that might signal a change in this state.

- **Adapt** events are actually slowly materializing trends that may affect the organization significantly. For example, HR notes that an increasing number of employees with various types and levels of disabilities are being hired. The organization would benefit from a plan to change physical space and processes to allow these employees to work more productively. This is not an urgent need, but it can be tackled incrementally over the next three-year planning period.

Key Risk Indicators

Key risk indicators (KRIs) are important metrics or predictors that provide an early warning signal of an organization's increased or increasing risk exposure. These signals could call for a change in the way risks are prioritized for management or in the management actions themselves.

KRIs are strategically aligned with key initiatives or strategic objectives, and they are developed by considering the root causes

of risks and intermediate events that may signal changes. They will help an organization manage risk only if the organization monitors the alerts. Ignoring alerts from the KRIs makes them ineffective and opens the organization up to unnecessary risk.

Identifying KRIs puts an organization in front of the risk it is trying to manage. It makes the risk more visible and provides more time to develop and implement an effective control.

Risk Register

The risk register lists information about and responsibility for managing specific risks. This information increases the transparency and accountability in an organization's risk management process. It can be developed incrementally as part of the risk management process.

Templates for risk registers are widely available online. They generally include the following categories of information:

- Risk category
- Risk event
- Risk classification
- KRIs
- Risk management controls
- Risk owner(s)

- Reporting requirements

Managing Risk

Proficiency indicators related to this section include:

- Administers and supports HR programs, practices, and policies that identify and/or mitigate workplace risk.
- Conducts due diligence investigations to evaluate risks and ensure legal and regulatory compliance.
- Conducts workplace safety- and health-related investigations.
- Implements crisis management, contingency and business continuity plans for the HR function and the organization.
- Communicates critical information about risks and risk mitigation to senior-level employees and external stakeholders.
- Develops crisis management, contingency, and business continuity plans for the HR function and the organization.
- Develops, implements, and oversees a comprehensive enterprise risk management strategy.
- Develops, implements, and oversees formal and routinized processes for monitoring the organization’s internal and external environments to identify potential risks.
- Establishes strategies to address workplace retaliation and violence.

- Oversees workplace safety- and health-related investigations and reporting.

Key concepts related to this section include:

- Approaches to a drug-free workplace (examples include testing, treatment of substance abuse).
- Business recovery and continuity-of-operations planning (examples include business continuity and disaster recovery plan, evacuation procedures and simulations).
- Emergency and disaster (examples include communicable disease, natural disaster, severe weather, terrorism, man-made disaster) preparation and response planning (examples include communication mechanisms, evacuation plans).
- Enterprise risk management processes and best practices (examples include understand context, identify risks, analyze risks, prioritize risks) and risk treatments (examples include avoidance, reduction, sharing, retention).
- Safety and security concerns (examples include workplace violence, active shooter, theft, fraud, corporate espionage, sabotage, kidnapping and ransom, insider threat, data breach) and prevention.
- Workplace/occupational injury and illness prevention (examples include identification of hazards, safety training), investigations and accommodations.

Managing Risk

Once an organization understands the risks it faces, it can move to respond to those risks. Depending on the expected outcome of the risks, the way an organization will respond will vary. Implementing plans to respond to risk, including emergency situations, is key to ensuring that an organization will be able to adequately handle any risk event.

Competency Connection

Risk management activities often focus on maximizing economic gain and minimizing economic loss. When a situation involves an employer's duty of care, however, the primary motive is ethical. Managing risks to employee safety and well-being can yield ethical benefits, as seen in this example.

A firm was faced with the difficult task of evacuating all of its employees from Libya when civil unrest and war broke out in 2011. They learned from their experience and initiated a new comprehensive emergency response plan that included using a duty-of-care checklist benchmarked against best practices.

The head of HR had read a book called *Antifragile* by Nassim Taleb and was determined to put some of Taleb's ideas into practice. The

firm would adapt to existing risks by relying more on forward-looking preparation and less on backward-looking audits and duplicating resources in case of emergencies.

The most difficult part of this plan was communicating to all employees that safety and security can be optimized only when everyone in the organization knows and acts as if it is a primary duty and a personal responsibility. Conveying this message would be difficult, since in many parts of the world—often the regions where it is most needed—the concept of a duty of care is not legally recognized.

Using the Communication competency, HR started with a comprehensive and organization-wide awareness campaign. Instead of safety and security audits and staff safety videos, HR implemented regularly scheduled on-site safety and security drills using a wide variety of different scenarios. Next they allocated to all employees specific duties in case of an emergency, even if that duty was as basic as crowd control or monitoring the other staff. Lastly, they integrated their evacuation plan with local stakeholders to ensure that the logistics channel required was also connected as a key stakeholder in its execution.

The organization and HR moved beyond a reactive approach to risk management to one in which securing their employees’ safety and

security became an ethical obligation. They introduced best practices and exceeded legal requirements. In the end, their program was so successful that when a second evacuation of staff was required in Libya in 2014, other organizations in the area reached out to this firm for assistance in evacuating their own staff.

Risk Management Tactics

Because risk events can have either positive or negative outcomes, there are parallel tactics for managing upside (opportunity) and downside (threat) risks, as shown in Exhibit 24.

Exhibit 24: Upside and Downside Risk Management Tactics

Upside Risk Management Tactics	Approach	Downside Risk Management Tactics
Optimize	Eliminate uncertainty.	Avoid
Share	Redefine ownership.	Transfer
Enhance	Employ levers to increase or decrease effect.	Mitigate
Ignore	Take no action.	Accept

Other similar verbiage can be used to describe risk management tactics. For example, avoidance, reduction, sharing, and retention are also classic terms an organization may use to describe its risk treatments:

- **Avoidance.** The decision not to become involved in or action to withdraw from a risk situation.
- **Reduction.** The actions taken to lessen the probability, negative consequence, or both associated with a risk.
- **Sharing.** Sharing with another party the burden of loss or benefit of gain for a risk. Risk sharing can be done through insurance or other agreements. It can create new risks or modify existing risks. Relocation of the source of risk is not risk sharing. In some situations, legal, mandatory, or statutory rights can limit, prohibit, or mandate the sharing of certain risks.
- **Retention.** The acceptance of the burden of loss or benefit of gain for a risk.

Subsequent content here refers to the upside (optimize, share, enhance, ignore) and downside (avoid, transfer, mitigate, accept) tactics listed in Exhibit 24. HR practitioners should be aware of the terms their organization uses.

Developing risk responses requires investment of resources and time, so most organizations develop responses only for those risk events that have been prioritized. In choosing a specific risk management approach, the organization must weigh the costs of

doing nothing against the costs of the response and the level of confidence that the response will attain risk management goals.

As the response is developed, the risk register should be updated to include the response mechanism that has been selected and the individual or group with ownership of implementation.

Eliminate Uncertainty

By eliminating uncertainty, the organization or function takes steps to guarantee that positive risk events will happen and negative ones will not happen. These steps must be thoroughly researched and analyzed to establish that desired absolute degree of certainty.

Consider the following examples.

Optimize

HR is developing a global assignment policy. To make the assignment program as attractive as possible and attract the greatest number of qualified candidates, HR includes a guaranteed income provision.

Avoid

HR is screening applications and pauses over a problematic one. The individual has the required skills and is immediately available. However, employment history shows periods of brief employment and unexplained gaps in employment. The early departures

and gaps could have legitimate reasons, but they could also signify difficulty in adapting to work environments. HR decides to demote the application to secondary consideration after other “group A” applicants are screened.

Redefine Ownership

Ownership in this case refers to responsibility for financial costs and operations. Sharing means that another party will be brought in to help maximize the upside potential of an uncertain event. Firms frequently engage in strategic alliances and joint ventures to manage higher levels of uncertainty in some strategic initiatives, such as developing a new product or expanding into another country. Transferring means that a third party, frequently an insurer, will bear financial losses, obligations, or, possibly, liabilities in exchange for a fee. A common form of transferring risk for HR professionals is professional liability or errors and omissions (E&O) insurance.

HR practitioners should be aware, however, that ownership is never completely transferred for negative events. Organizations will suffer from loss of consumer confidence even though they may have been protected from liability damages after consumer complaints. Insurance to compensate employees or their families for workplace accidents does not erase the possibility that the employee

relationship could be seriously weakened by a pattern of such injuries. Outsourcing a hazardous process to another firm that proceeds to expose its own workers does not relieve the firm of its ethical responsibilities.

Here are examples of this risk management strategy in action:

Share

A retailer is expecting a very brisk holiday season, and HR has hired temporary workers to increase staff levels. If the season proves to be even more successful than management anticipated, insufficient staffing could mean empty shelves, angry customers, and lost sales. So HR arranges with a staffing agency for contingent workers who will be available as needed, although at a higher rate than the temporary workers are being paid.

Transfer

A firm that regularly assigns employees to areas in which kidnapping is more probable will obtain kidnapping and ransom insurance coverage. This insurance usually includes the services of experts who assume responsibility for negotiations for the employee's release.

Increase or Decrease Effect

The risk management tactics of enhancing and mitigating seek to change the amount of risk through certain "levers."

Enhancing involves increasing the probability that an opportunity will materialize. A manufacturer, for example, may be entitled to receive extra payment on a contract if it delivers an order early. It analyzes its options and sees that the incentive award is larger than the overtime needed to meet the early delivery date. So the manufacturer increases the probability that it will meet the early date by authorizing overtime on production lines.

Mitigating aims at reducing the probability that a risk will occur or decreasing the negative impact it will have. Prevention is a form of mitigation. Forbidding entry to an area to anyone without a security badge reduces the chance that unauthorized individuals or personnel can steal proprietary information or damage firm assets. Fire sprinkler systems decrease the danger of harm to employees and the amount of damage to firm assets.

Key Content

One should note here that enhancement and mitigation efforts can be expensive. They should be thoroughly tested under realistic conditions and modified if necessary before they are implemented. Organizations must also carefully examine:

- Whether the cost exceeds the tangible and intangible benefits of the opportunity or the cost of the avoided or diminished threat.
- The degree of success for the enhancement/mitigation plan.
- If the plan creates another layer of opportunity or risk, termed “secondary risk,” that must be managed as well. For example, say that HR implements mandatory background checking to reduce hiring risks. However, the screening takes a considerable amount of time and creates a secondary risk that the delay will decrease the chances that the firm will be able to hire its top choices. HR will have to identify vendors who can guarantee fast screening times.

There are numerous HR examples of enhancing and mitigating.

Enhance

HR positions career paths to include certain training/education requirements for each job description. HR believes that by requiring that all new supervisors complete training in communication and supervisory

skills, the organization is more likely to increase employee engagement.

Mitigate

HR believes that a proactive response to certain threats is necessary to protect productivity, employee engagement, and stakeholder (government and communities) interests. It develops policies and programs in a number of areas:

- Workplace safety committees are implemented to provide more accurate assessment of hazards and practical prevention and mitigation techniques. Committees direct training and conduct incident investigations.
- All employees are educated in detecting signs of possible violent behavior and in how to respond when violence occurs. Counseling programs are available to support employees who are victims of workplace or domestic violence or intimidation and to initiate interventions if possible.
- In an endeavor to maintain a drug-free workplace, an organization ensures that its substance abuse testing and treatment policies and procedures are compliant with applicable regulations. The company also promotes a zero tolerance drug policy and rigorously enforces policy provisions after a reasonable suspicion of illegal drug use has been verified.

- A city's HR department makes sure that emergency response teams are trained in protocols designed to reduce the chances that they will be infected by victims they are treating or that they transmit infections. Compliance with these protocols is monitored and is part of job requirements and performance expectations.
- Global assignees are required to check in daily to confirm their location and condition and to keep a phone equipped with GPS on them at all times.

Take No Action

By taking no action, an organization decides to ignore or pass up possible opportunities or to accept the occurrence of a threat. These risk management strategies are used when the possibility of increased opportunity or threat is unlikely, when the gains and losses do not merit the investment of mitigation efforts, or when no further action can be seen as having any effect. This latter instance is referred to as **residual risk ,** the amount of uncertainty that remains after all risk management efforts have been exhausted.

Ignoring an opportunity means that an organization will be very happy with whatever luck it receives but will not act to guarantee or enhance the outcome. Accepting a threat means that the organization will not invest time or money in mitigating or transferring risk, nor will it avoid the risk. This does not mean that

the organization proceeds merrily and blissfully about its business. The organization may continue to monitor for the risk or may create contingency funds to cover the costs of responding to the risk if it occurs.

Accept

HR develops a program that it believes will help the organization achieve its diversity goals through innovative recruiting and mentoring for new employees. If it exceeds these goals, that will be great news, but HR will be satisfied with having met its goals.

Ignore

HR and management decide that the threat of terrorism at its headquarters is unlikely, given the nature and location of the business. In addition, the effects of a terrorist attack would be handled satisfactorily by other emergency response plans. So HR does not issue a specific protocol or require training related to terrorism in this context.

Implementing the Risk Management Plan

Once the risk management strategy has been chosen, implementation is handled as in any project or change. Ownership of

the implementation of the strategy must be designated to someone with the organizational expertise, communication skills, credibility, and managerial support to execute the plan. This responsibility is indicated in the risk register, along with a description of the risk management strategy, the metrics that will be used to evaluate its effectiveness, and responsibility for monitoring the risk. Monitoring can reveal change in a risk's character that might require reanalysis and a change in management approach—either an increase or decrease in efforts to manage its effects.

Defining Risk Management Performance Objectives

At implementation, the need for support at senior levels of the organization is very apparent, because implementing the risk management plan will require budget and resources. That support will be easier to secure if the risk owner can demonstrate the effectiveness of the risk management strategies by reporting performance against specific, measurable, and significant targets. Some risks may be so critical to the organization's strategy that the metrics related to risk management performance will be reported in real time on a management dashboard.

As with all performance measurement, HR's risk management performance targets should:

- **Be strategically focused.** Certain risks may have been prioritized as potentially interfering with the organization's and HR's ability to meet their strategic objectives. Measurement should focus on performance that directly affects achieving the strategic goal. For example, the organization may be particularly dependent on strong leadership that can provide consistent direction. HR can help manage the risk of loss of leadership through various risk management strategies that are included in HR's succession planning and executive compensation processes. Performance metrics may focus on identifying key positions and successors for each position and on conducting regular executive compensation surveys and revising the organization's compensation strategy as needed.

- **Combine activities and results.** Metrics related to activities show efficiency, while metrics related to results show effectiveness. For a company committed to worker safety, the number of workplace inspections conducted by HR demonstrates HR's efficiency in deploying this prevention strategy. The number of workplace accidents occurring within a period demonstrates the strategy's effectiveness.

- **Combine lagging and leading metrics.** Lagging metrics look backward at what has been accomplished, while leading

metrics measure performance that will affect results in the future. For example, an organization may have determined that one of its key risks involves its ability to hire a specific type of engineer. Lagging risk management performance objectives might be a tolerable vacancy rate or period to hire. A leading performance objective might involve creating relationships with institutions offering degrees in this area that can generate ongoing sources of quality candidates.

In addition to managing risk in its specific responsibilities, HR in some organizations may be responsible for managing risks posed by the organization's governance—its culture, policies, and processes. Performance targets here might include:

- **Modifying risks related to noncompliance.** This might involve measuring:
  - Efforts to educate the organization about laws and regulations.
  - Implementation of a whistleblowing policy and system.
  - Incidence of noncompliance reports.
  - Incidence and levels of fines.

- **Instilling risk management principles in the organization's members and processes.** This might involve measuring:
  - Workshops delivered to boards, leadership, and managers.

    - Development of procedures for implementing risk review in all projects.
    - Compliance with the organization’s risk management policy (for example, the percentage of project plans that include a risk management section).

Integration

Implementation will also involve individuals and groups throughout the organization. This must be an integrated enterprise effort.

After discussing and analyzing stakeholder needs and perspectives, the risk management team will have a better idea of the requirements for the solution and its constraints. For example:

- HR may work with IT to determine what methods for increasing the security of HR data records are effective and feasible. To what degree will backup records be current and easily accessible to authorized personnel? Will backup processes proposed in the plan conflict with IT standards? Will the use of cloud storage create other security issues that must be mitigated?
- HR may need to work with facility management to secure temporary workspace and equipment for HR personnel if facilities are lost or inaccessible.

- The organization’s security officer can collaborate on creation of workable programs to respond to incidents of workplace violence: creating policies for entering the workplace, installing cameras and checkpoints, and creating lockable safe rooms.

Communication

Effective implementation also involves communicating what is essentially a request that employees change their behavior or perceptions. In this sense, implementing a risk management plan requires that employees understand the need for new practices (for example, why they will be required to take their laptops and work home when an infectious health threat has been detected, why anonymous reporting of bullying and potentially violent behavior is being requested).

Employees must understand exactly what they are being asked to do. This may require manuals, training workshops or presentations, or signage. HR must make sure that this communication is effective for all employees within their specific cultures.

Communication channels must be enhanced. There must be means for employees to report, without fear of reprisal, when risk management policies and processes are not being followed or when they are being implemented ineffectively. And there must, of course,

be effectual responses to this feedback. An employee who reports that fire doors are being locked should feel confident that the employee responsible will be appropriately disciplined for this action.

Emergency Preparedness and Business Continuity

Sustainable organizations prepare and practice responses to emergencies of different types and plans for how they can return to acceptable operation levels in critical functions as quickly as possible. By doing this, they fulfill their duty of care to employees, supporting employees' productivity and the well-being of employees and their families. They also fulfill responsibilities to economic stakeholders by taking steps to recover quickly and to keep the organization afloat while it recovers.

Emergency preparedness and business continuity require:

- Preparedness for foreseen and unforeseen events. This includes risk identification and development of contingency plans for emergencies of long or short duration. A **contingency plan** is a protocol that an organization implements when an identified risk event occurs.
- Response capability to secure employee health and safety and continue productivity. This may involve developing plans,

implementing policies, securing necessary equipment, and practicing response plans. For example, to continue operations in the event of labor disruptions, HR may implement management cross-training in critical functions and contract with providers of temporary workers (if the use of temporary workers is a legal response to the situation). HR functions can also structure their systems and processes to reallocate work to other parts of their network.

An organization’s preparedness may be challenged in very different ways. Consider the following events:

- In 2013, the manager of a medical supply plant outside Beijing was held hostage by 100 employees demanding compensation that would equal generous severance packages for recently laid-off workers at the plant.
- During the 2011 earthquake in Japan, a commercial bank was faced with the task of locating employees at 100 branches to make sure that they and their families were safe.
- In June 2009, the swine flu epidemic struck a U.K. subsidiary of a business communications enterprise. By the end of July, 10% of employees were infected and had to be sent home.
- In 2008, demonstrators occupied two commercial airports in Thailand, stranding tourists and business travelers for over ten days.

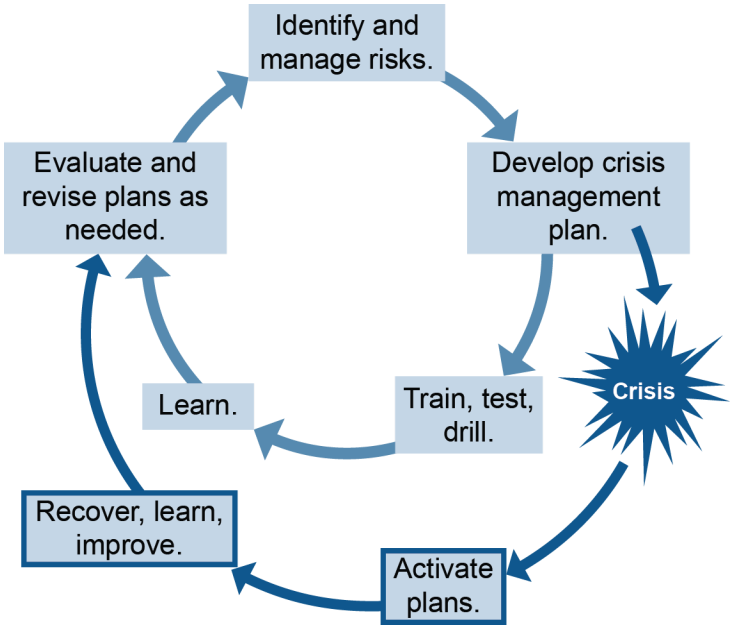
Organizations can face a discouraging variety of threats and possible crises. Many may be completely novel or extremely rare events that are difficult to prepare for. Experts in crisis management, which includes both emergency preparedness and business continuity, point out that by developing a crisis management mentality, organizations can become more adept at handling all types of crises, foreseen and unforeseen.

Because of its extensive knowledge about the location and needs of employees and its communication and training roles, HR is usually a core member of an organization’s crisis management team. Practitioners should be familiar with the process of crisis management and the role HR can play at each step.

Crisis Management Planning and Readiness Process

The model shown in Exhibit 25 applies the traditional plan, do, check, adjust cycle to managing crises. It emphasizes the need to test plans and to learn from tests and actual crises. Let’s focus on the role HR can play in each phase.

Exhibit 25: Crisis Management and Readiness Process



Crisis management seeks to identify risks that can result in sudden and extensive harm to facilities and/or the workforce and therefore in significant interruption and risk to the business. HR plays a valuable role at this stage by making sure that plans address the vulnerabilities of employees at different locations and the unique vulnerabilities of short- and long-term assignees. HR can also bring awareness of cultural issues to the development of crisis management plans—religious and social structures that can provide support, extended family structures that may complicate communication and evacuation, and infrastructure limitations. HR can identify frequent areas of assignment and business travel.

Consider the following example based on a case study from the Willamette University “Global Human Resource Management in Action” series.

> An American multinational banking and financial services corporation operates around the world and has more than a quarter million employees globally. In a typical year, those employees take over 100,000 business trips. To prevent crises, this employer must be able to identify high-risk areas and forms of travel and communicate quickly with traveling employees to warn them, change their travel plans, or check on their safety.

A contingency plan must be developed with specific goals in mind, including immediate security for employees, company assets, and all stakeholders; compliance with local laws and regulations; documentation and reporting as required; and follow-up. The plans should be specific in designating roles and time frames, and they must be supported with training and opportunities for practice.

In some cases, local authorities require response plans to be in place; they then review and approve the plans’ adequacy. For certain risks, however—for example, kidnapping—employers should keep plans confidential.

Contingency plans generally address multiple areas in which HR may be involved:

- **Policies.** HR can help define and communicate employee policies aimed at avoiding or mitigating risks—for example, requirements that traveling employees check in on arrival or departure or on a daily schedule. HR can incorporate crisis management roles into position descriptions, performance management systems, and travel systems.

- **Evacuation and relocation.** HR can maintain current and detailed employee rosters so employees' locations can be confirmed after an evacuation. HR should also help design and disseminate information about evacuation plans where necessary. It is important to ensure that considerations for employees with disabilities are incorporated into and reflected by evacuation and emergency plans, for example, instituting a buddy system to provide any extra assistance, installing Braille or audible instructions for evacuation routes, or creating areas of refuge to facilitate assistance. As with all stakeholders, these employees should be consulted to ensure that appropriate procedures and measures are established. Plans should also incorporate procedures for visitors during crises (for example, assigning the host employee as a designated helper).

- **Communication.** HR can use employee contact information (as allowed by privacy laws) to program automated outgoing and incoming communication systems. These systems can send status messages and instructions to employees during crises and log employee responses. For example, a Japanese bank used a text messaging system to track its employees after the Japan tsunami and earthquake. HR can also work with assignees and travelers to provide them with phones that will function in the necessary regions. HR may be a liaison between the organization and employees' families and the media.

- **Training.** Employees must receive training in policies, their roles in the event of a crisis, and the use of special equipment. For example, in the case of workplace violence, employees must be trained about security issues (such as not letting an unauthorized visitor pass through a secure door), ways to prevent violence (such as identifying signs of abuse or the potential for violence), and what to do in the event of violence (such as triggering an alarm and going to a designated safe room until an all-clear announcement is made).

- **Continuity.** Along with other functions, HR can identify essential HR processes that will be necessary to continue or return quickly to an operational level, such as paying employees

and vendors or reimbursing expenses. Data such as employee records and contracts must be preserved. HR may also help identify temporary replacements from within the organization or secure replacement/temporary staff and arrange for their training and payroll.

Plans require a significant investment in resources—not for the purpose of gain but simply for preventing loss. Therefore, it is best to secure support at the highest level within the organization. The person assigned the planning task should command respect and support and be able to assemble and run an effective team.

Plans can be reviewed in stages:

- A preliminary review by senior staff will help ensure that all contributing areas complete their planning assignments in a quality fashion within the specified time frame.
- Interdepartmental reviews can identify potential bottlenecks and areas in which coordination is critical.
- Simulations and drills can be run in test areas.
- If feasible, areas with a high potential for failure or whose failure poses a high level of risk to the enterprise can be shut down to test the plan.

Crisis management planning software is available to help step organizations through the process, and the entire process may be

outsourced to vendors specializing in this area.

There is also a wealth of resources to assist a firm in its efforts. The embassies, consular offices, and commerce departments of many countries publish information of this nature. Local and international organizations (examples include the Disaster Preparedness European Humanitarian Aid Office, or DIPECHO, in the EU, the U.S. Federal Emergency Management Agency, or FEMA, the International Red Crescent and Red Cross, and the World Health Organization) provide valuable information about preparing for and recovering from a wide range of natural and human disasters.

Plans should be tested in their entirety or by components in order to assess their effectiveness and organizational preparedness levels. The best way to help employees learn the appropriate responses to certain crisis situations—from office fires to active shooters or cyberattacks—is through practice via simulations, for example, by conducting evacuation drills. Sprinkler or alarm systems can be tested as can automated calling systems. Simulated cyberattacks can test an organization’s ability to respond and recover from, for example, a denial-of-service attack. Organizations can also practice contingency plans in response to a simulated data leak. Participants can talk through how they would act if different types of crises occurred. When multiple functions are involved in a plan, a

workshop simulation can be conducted. Leaders and executives should not be left out of these drills and simulations; all stakeholders must be included and aware of their responsibilities in a time of crisis.

Employees playing a specific role in a plan should be coached to observe how the event unfolds when a crisis occurs and the plan is invoked. They can report how employees and technology or infrastructure performed and common areas of stress and confusion.

Knowledge from testing and actual crises can be used to strengthen future responses. During the Japanese earthquake, the commercial bank mentioned in the earlier example discovered that their texting solution to contacting and locating employees and their families was subject to the failure of the cell phone system itself. The bank also noted that employees were not always careful about updating mobile numbers and e-mail addresses.

It is difficult to develop plans for an event that is catastrophic in its effects—not just logistically but emotionally. A crisis may mean the loss of leaders and employees. The resulting confusion and depression can affect the rate at which the organization recovers and its chances for recovery. All enterprise operations may be halted, and revenue that could be used for rebuilding the

organization may be lost. Supply chains and systems may have to be rebuilt.

However, there can be no rebuilding and recovery without contingency planning.

Managing Workplace Risk

Any organizational strategies to handle risk must include specific risks that occur within the workplace itself. Risk to employee health and safety is a key area, including insider threats, illness and injury (including that arising from global assignments), drug use, and man-made disasters.

Insider Threats

This risk category includes five potential insider threats: physical security, cyber threats, espionage, sabotage, and theft/fraud. Insider threats can involve employees, suppliers, vendors, or anyone else closely connected to the organization.

Physical security risk includes workplace violence, which, according to the Occupational Safety and Health Administration, affects approximately two million American workers annually. Workplace violence might result from conflict between employees, between

employees and customers, and between employees and non-customers (family members, friends, other associates).

Key Content

Organizations must be proactive with regard to workplace violence. There should be a written policy outlining the organizational stance toward workplace violence and outlining response procedures designed to prevent possible threats from escalating. Designating a response team, employing security personnel, and developing resources for employees are additional steps that can assist in the prevention of workplace violence. Conducting drills, including active shooter drills, can ensure that employees know how to react if an instance of workplace violence occurs.

Cyber threats (threats to information technology systems and structures and sensitive organizational data) are often seen as an issue that concerns only IT departments. However, HR should work with IT to develop policies and procedures to both prevent and respond to attacks. Prevention starts with drafting policies to prevent

breaches, which may involve specific rules regulating technology use within the organization. These policies, as well as other IT-recommended procedures and use tips, should be included in the employee handbook. HR should also mandate IT training for all employees to ensure that the workforce stays up to date on evolving threats and best practices to avoid breaches.

Threats motivated by espionage, sabotage, fraud, and theft can manifest in similar ways as cyber threats and physical threats.

Espionage most likely aims to acquire valuable information and data that can be used by or sold to competitors. Sabotage aims at hindering an organization's ability to function properly by either damaging or destroying equipment, harming employees, disrupting IT capabilities (for example, by initiating a denial-of-service attack on a company's website), or damaging the organization's reputation.

The threat of fraud and theft is considerable. Fraud and theft can target physical property (machinery, cash, technology), financial data, or proprietary information. The most obvious form of theft is when an employee or other individual steals property or cash from an organization. (The U.S. Department of Commerce has estimated that $50 billion is lost to employee theft each year.) Other forms of theft/fraud can be harder to identify, for example, fraudulent disbursement schemes, through which an employee might submit

fraudulent or padded expense reimbursement requests. To mitigate the risk of these types of risks, HR should ensure that proper accounting measures and other safeguards are in place, for example, more-frequent records reviews and checks.

Another concern is the risk of employees stealing time—that is, being actively disengaged while on company time and not applying themselves appropriately to their work. This can happen either as a result of disengagement, because the employees are unaware of how their skills can benefit themselves and the organization as a whole, or it can result from disinterest. It is estimated to cost about $7 trillion in lost global productivity. To address this risk, HR should audit the organization’s performance management system to ensure that expectations are clear, that employees can be held accountable, and that managers are trained to identify and address this issue. When the causes of disengagement are addressed, employee engagement can rise, which in turn will raise performance and productivity.

HR should ensure that considerations aimed at combating these threats are incorporated into threat assessments and contingency plans.

HR should also be involved in the creation and implementation of both rapid response plans and business continuity plans. The

response plan may include procedures for interviews of employees involved in breaches as well as actionable steps to begin the process of containing a threat, understanding any legal responsibilities arising from a breach, and the best way to address the breach publicly if necessary. A business continuity plan will guides steps to engage backup systems and notify employees of the issues and any changes to their duties as systems are restored. Both the rapid response plan and the business continuity plan must be regularly updated to ensure that they remain effective.

Illness and Injury

Infectious diseases may spread between employees or between employees and customers. Depending on the laws of the country, employers may be legally liable for anyone infected in the workplace. According to an article from SHRM on handling communicable diseases in the workplace, five basic actions should be taken when there is a potential communicable disease risk in the workplace:

- Notification and verification of disease risk
- Understanding the disease and resources
- Identifying the scope of the risk
- Determining employer risk
- Handling internal and HR compliance matters

The organization may have requirements to report certain diseases to applicable governmental authorities.

Environmental health hazards may result in sickness or injury to employees or customers. These include a wide range of factors, which are grouped into three basic types in Exhibit 26.

Exhibit 26: Environmental Health Hazards

Environmental Health Hazards	
Physical	Heat, noise, vibration, air conditioning, radiation, ventilation, smoking, sanitary conditions, drinking water, workplace design
Chemical	Dust, fumes, gases, toxic materials, toxic chemicals, carcinogens, smoke
Biological	Bacteria, fungi, insects

In cases of illness or injury in the workplace, HR might have to handle public relations and employee relations issues—and may have to deal with the families of those affected as well. How the company handles these issues can greatly impact the public and workforce perception of how the organization has responded, which can impact organizational branding efforts and employee morale. HR also has a duty to the organization to assist in training and planning efforts to cope with potential workforce impacts associated with illness and injury risks and to communicate with organizational leadership to ensure that the correct actions are being taken both publicly and within the organizational structure.

Drug Use

Symptoms and risks posed by drug use—the use or abuse of illegal drugs, alcohol, or prescription drugs—may appear regardless of whether the use occurred before, during, or after work. Early signs of drug use include:

- Careless work habits.
- Absenteeism.
- Aggressive behavior.
- Drop in performance level.
- Increased incidents.
- Repeated tardiness.
- Emotional outbursts.
- Introverted or manic personality.
- Impaired memory or illogical thinking.
- Difficulty getting along with coworkers.
- Suspicious, secretive, and isolated behavior.

These symptoms may also pose risks to the organization. Loss of productivity, which can have an effect on other employees, is a major risk associated with drug use. Incidents caused by drug use may result in damage to organizational property and injury to or illness of other employees.

Training and education on substance abuse are important to mitigating the risks it poses to the workplace. Teaching managers and workers to spot behaviors that may be indicative of abuse and teaching managers how to effectively react to suspected abuse are important areas that training should focus on.

Writing organizational policies regarding performance, discipline, and rehabilitation can empower managers to act more rapidly and confidently in response to suspected drug abuse issues. These policies need to be shared with employees through meetings, training, and the employee handbook.

Key Content

Before engaging in any drug testing, it is important to verify that organizational policies and procedures comply with all applicable federal laws and regulations and state laws. Varying jurisdictions may have laws that impact testing procedures following an incident at work or during pre-employment testing and other workplace screenings. Laws may specify acceptable recourse following a positive test. For example, some jurisdictions will mandate that an employee has the option of participating in a rehabilitation program following his or

her first positive test, barring the organization from dismissing the employee as a result.

“Man-Made Disasters”

The phrase “man-made disasters” is likely to conjure up accidents or natural disasters that are in some way worsened by the impact of humans—for example, a hurricane damaging an oil pipeline, which results in an environmental catastrophe. However, there are certain human behaviors within an organization that can have dire implications for organizational and risk management. HR professionals need to be able to identify these behaviors in order to plan for them and establish processes that can prevent them from becoming embedded in the organization's culture.

- **“Group think.”** When a group of individuals accepts a viewpoint or conclusion based on the perceived consensus of that group, regardless of whether the members of the group do in fact agree with the viewpoint. This typically leads to inefficient and ineffective decision making. In an organizational setting, it can manifest as employees offering proposals based on their perceptions of a leader’s preferences/beliefs or strategy to achieve a goal. To avoid group think, HR and leaders should

prioritize gathering facts (information and data) before soliciting opinions and preferences; this will help to ensure that proposals accurately reflect reality.

- **Normalization of deviance.** A form of group think in which an organization's culture becomes so inured to incorrect or improper behavior that it no longer feels wrong. Alternatively, it may be a case of an organization accepting a problem to the extent that it is no longer perceived to be a problem. Sociologist Diane Vaughn coined the term when examining NASA administrators' actions that led to the Challenger space shuttle explosion in 1986, after the fault that caused the explosion was observed and yet dismissed. HR should pay attention to any warning signs (including gossip) that come to their attention; ensure that organizational standards, values, and ethics are adhered to and taken seriously; and that instances of deviance are properly addressed and remedied.

- **Risk incubation.** Allowing an identified risk to go unaddressed. This can happen for a number of reasons, including improper prioritization, ignorance, or denial. If an organization moves too slowly on identified risks, there is a greater chance of the risks manifesting or near misses occurring. It is important that HR stresses the importance of planning for and prioritizing risks

before they materialize. HR can examine similar past crises and risks, especially near misses, in order to learn how to better prepare for the future. Identifying the causes for extended incubation in the past can help HR ensure that safeguards or processes are put in place to avoid repeating past mistakes.

These behaviors (and others) can often be the result of poor leadership, and HR should be aware of the effect this can have on an organization. It is often the case that employees will choose to leave an organization because of poor leadership rather than any animus toward the organization itself. Poor leadership can exist at any level within the organization, from the C-suite to team leaders, and can severely damage employee engagement and productivity. HR should pay attention to warning signs, such as high turnover rates in a particular division or overall or reports of bullying, favoritism, or other complaints based on behavior.

Evaluating Risk Management Effectiveness

Proficiency indicators related to this section include:

- Audits risk management activities and plans.
- Develops, implements, and oversees a comprehensive enterprise risk management strategy.
- Ensures risk management activities and plans are audited and the results are used to improve risk mitigation strategies.
- Leads after-action debriefs following significant workplace incidents.

Key concepts related to this section include:

- Legal and regulatory compliance auditing and investigation techniques (examples include audit or investigation plan, corrective actions).
- Quality assurance techniques and methods (examples include after-action analysis, industry-specific standards).

Evaluating Risk Management Effectiveness

In order to ensure that it is able to respond to risks, the organization must constantly evaluate how effective its risk management policies are. After-action reports, compliance evaluation, and continuous improvement strategies are all crucial tools that will enable the organization to correctly plan for risk as risk evolves.

Competency Connection

A senior-level HR professional with ethics and corporate social responsibility expertise was hired to help an airline company deal with a major public relations catastrophe.

A flight was fully booked and mostly boarded, but the company needed to “bump” six passengers so that it could position a flight crew in the right city at the right time. The airline is legally allowed to do this. The lead attendant read the names of the three passengers who would have to deplane. One passenger refused. The pilot called security, and the passenger was dragged off the plane. Video of the incident spread quickly through social media.

The situation presented a genuine economic and ethical dilemma for the airline. Not seating the flight crew would mean delaying another

entire planeload of passengers. Bumping the passengers was allowed, but they had paid for a ticket. Despite policies, weren't they entitled to the service they had paid for? Would the repercussions of the incident with the airline's prospective customers and regulators outweigh the financial costs of delaying another flight?

The HR professional conducted debriefs with the crew involved in the incident in order to better understand the conditions and the reasons behind their choices that day. She compared this situation with reports from interviews with other flight crews who had faced similar situations but avoided confrontation.

The HR professional advised airline management that they needed a clear policy on the criteria for bumping and they needed to communicate that with the public in an active and impactful way. They also needed to review their current policies on reimbursing passengers who had been bumped, changing the amounts and perhaps the process of enticing passengers willing to be bumped by increasing reimbursements until the desired number of seats had been freed. Crew and gate leads needed training on how to negotiate with passengers—and how to manage angry passengers—and they needed more flexibility in these negotiations. More than anything, they needed a message from management that encouraged them to be empathetic with passengers.

This was a difficult situation, but the HR professional was able to apply several Behavioral Competencies: Ethical Practice, Consultation (knowledge of the organization's business, culture, structure, and needs), Business Acumen (legal, regulatory, economic, and market factors), Analytical Aptitude (gathering and analyzing evidence), and Communication (an appreciation for the complexity of the message and the audience).

Evaluating Effectiveness of Risk Management Policies and Processes

The last phase of the risk management process involves providing oversight. This is required for both individual risk management plans and the entire risk management framework. Evaluation aims at:

- Increasing transparency and accountability by measuring and reporting risk management results.
- Making sure of compliance with requirements.
- Assessing the effectiveness of individual risk management strategies.
- Assessing the effectiveness of the organization's risk management framework—its values, policies and processes, and culture.

- Continually improving risk management by investigating incidents and identifying opportunities for improving both strategies and framework.

Specific risk management programs should be evaluated after every major incident and at regular, agreed intervals—for example, annually. Results should be compared against objectives for managing risk and reported to management, who may choose to intervene to change investment in the strategy. Plans that require employee readiness and response or specific equipment should be reassessed regularly as well. New-hire safety training supports health and safety risk management programs, and periodic updates on regulations decrease vulnerability to compliance risks.

After-Action Debriefs and Incident Investigations

The term “after-action debrief” comes from the discipline of emergency management. It is usually applied to meetings to examine the effectiveness of a risk response strategy, such as workplace evacuations, in-place lockdowns for security reasons, a workplace injury or act of violence, or temporary relocation of operations. Incident investigations are generally seen as more limited in scope—for example, an angry dispute that becomes physical and requires intervention, a workplace injury, or an

employee’s violation of the organization’s policies. Their scope may be different, but the approaches are similar.

Incidents and responses must be documented and reported to external parties, often as a compliance measure in response to regulations, insurance requirements, or legal advice. However, the organization should ensure that the incident is examined, documented, and reported internally as well. HR may be responsible for leading or participating in after-action debriefs and must be skilled in leading group discussion and problem solving. To conduct an investigation, an HR professional must be skilled in interviewing, listening, and observing.

All events—including ones that do not involve compliance or may be false alarms—present an opportunity for learning and improving the risk management strategy. As the economist Paul Romer noted, “A crisis is a terrible thing to waste.” This sentiment is echoed by Nassim Taleb’s observation that “each major accident in the airline industry actually makes the industry safer because of the systems in place to learn from any mistakes.”

The debrief can be an educational opportunity for everyone attending. There is a good argument to be made, therefore, that the principles of the debrief should be applied whenever a risk

management plan has been invoked. The debrief team asks question such as:

- What happened, why did it happen, and what were the results of the event?
- What did we do in response?
- Did we follow the plan?
- What were the results relative to the requirements for managing this risk?
- What unexpected events (beneficial or harmful) occurred? What do they suggest about our current plan or process?
- How well did we communicate with each other, with external agencies, and with employees?
- What could we have done differently to improve our handling of this risk?

An effective debriefing requires that staff be trained in their responsibility to observe and remember details even in the midst of challenging conditions and to record their memories as soon as possible.

The debrief or incident investigation may result in recommendations to improve managing a particular risk. The recommendations may be narrow (for example, the addition of a checklist to document compliance) or substantive (for example, realignment of

compensation structures to discourage leaders and employees from taking inappropriate risks or a comprehensive change in the organization's culture). Since the goal is to improve the organization's exposure to risk, the stakes of the outcome of debriefs and investigations are high. Cases for change must be made persuasively and with convincing arguments and data.

Whistleblowing

Whistleblowing , the reporting of an organization's violations of policies and processes by employees, applies directly to risk management. Employee reports can point to risks that have not been identified or adequately managed, such as particular safety or security concerns. They can reveal policies that are not being followed, such as violations of antidiscrimination policies that ensure compliance with the organization's values and local laws. Whistleblowing can draw attention to fraudulent record keeping about implementation and testing of risk management strategies.

HR can help make sure that a communication process is in place that allows direct access to decision makers at higher levels in the organization and protects whistleblowers from retaliation. We should note that in some countries whistleblowers are protected from retaliation by law. Employees should be educated about this process

and supervisors and managers informed about the rights of whistleblowers and actions that could be interpreted as retaliatory.

When internal communication channels and protections are established, whistleblowers will have less reason to take their accusations outside the organization to government agencies or the media.

Evaluating Compliance

Audits may be conducted internally or externally to check that policies for risk management are adequate, in place, being followed, and producing the anticipated results. Audits require having the right person—an unbiased third party—equipped with the right tools, which include risk management expertise, understanding of the organization's business and processes, and awareness of best practices. The team that conducts the audit will compose a report based on the audit results that includes an action plan for the organization's next steps.

The results of an audit can identify the need for preventive and/or corrective actions. Preventive actions are intended to avoid a perceived risk to the organization, such as avoiding a skills gap by providing appropriate training for a new technology or process. Corrective actions address an existing problem, such as employee

discipline or inaccurate written procedures. A recommendation for corrective action should also come with suggestions for how to prevent the problem from recurring in the future.

Since these actions may require additional resources (for example, training or more staff), it is critical that management supports the audit process and commits to implementing recommendations.

HR may lead, initiate, or request audits for compliance reasons and/or to improve processes. For example, a compliance audit of recruitment and hiring practices may examine documentation (for example, advertising, screening data, application checklists, interview guides, selection ratios for minorities) to demonstrate that antidiscrimination and fair employment regulations are being followed. This information may be required by government agencies.

Health and safety audits formally assess the effectiveness of an organization’s management of safety and health risks. They can be highly effective early warnings of accident potential or job health problems. Often, employers can obtain assistance in performing safety inspections from their workers’ compensation carrier, local safety associations, or third-party consultants who are qualified safety and health professionals.

Promoting Quality Assurance and Continuous Improvement in Risk Management

Quality assurance and continuous improvement can be very helpful in sustaining effective strategies to deal with risks. Quality assurance (QA) refers to the actions an organization takes to be sure that it is performing work according to the standards it has set and that it is using specified processes correctly and completely. As it pertains to risk management, QA considers an organization’s proactive, preventive, predictive, and preemptive actions to ensure confidence that evolving risks are controlled. Continuous improvement equates to organizational approaches to improve and maintain the quality of risk management processes.

Key Content

Risk management is not a static process. Risks are inherently dynamic, increasing and decreasing with changes in internal and external environments. Identified risks must be regularly reassessed to see if the risk still exists or has dissipated or whether the level or characteristics of the risk have changed.

In addition, with every change in strategic focus, the alignment of risks with the new or altered strategies should be reexamined. Changes in the structure, size, or culture of the organization—after, for example, a merger or a major cultural change initiative—may create or remove organizational risks. Changes in technology, communication, work habits, and business processes can increase both vulnerabilities and opportunities.

While debriefing and testing can show how performance of a given risk management strategy can be improved, it is also important that leaders step back occasionally and check that the risk management policies still reflect best practices. Individual strategies should be reexamined to see if there are new and more effective (and more cost-effective) approaches available. Changes in technology may mean better ability to detect and deter threats. New approaches to data analysis can support wiser investments in opportunities. New equipment and materials may pose fewer health and safety hazards.

Certain quality standards can apply to multiple industries—for example, standards related to customer service or the protection and security of customer data. Other industries have their own specific safety and conduct standards. For example, both automobile and food manufacturing generate waste. However, there

will be specific standards for disposing of waste products unique to these industries (such as chemicals, metals, or waste biological materials) as well as specific standards related to safety concerns within their facilities (for example, the safe use of machinery, pesticides, or the humane treatment of animals). Similarly, unique threats specific to each industry will have to be accounted for in risk management plans. HR professionals should ensure that they are knowledgeable about the standards that affect their organization's functions and the organizations that regulate them (for example, the IAEA [International Atomic Energy Agency] for nuclear power plants, the FDA [Food and Drug Administration] for food and drug manufacturing, the FAA [Federal Aviation Administration] for aviation safety). HR professionals should also keep up to date on best practices.

It is a good practice for an organization to reevaluate its risk management system on regular basis. A list of risk management considerations that HR should regularly assess is shown below. The list provides general examples and is not intended to be all-inclusive, as many risks are unique to individual organizations.

Examples:

HR activity	Ongoing risk considerations
Talent acquisition	Are employment laws and regulations observed to avoid potential discriminatory

	practices? Is the screening of potential applicants thorough to help ensure the hiring of suitable candidates?
Onboarding and assimilation	Are sufficient orientation and training provided to new hires?
Training and development	Is sufficient training provided to current employees assuming new responsibilities or positions?
Occupational safety and health	Are safe working conditions provided? Is staff adequately trained in safety procedures? Is appropriate safety clothing and equipment provided on the job? Are safety checks (for example, fire drills and emergency evacuations) conducted regularly? Are they compliant with local codes?
Employee conduct	Are job descriptions clearly written? Are orientation and/or training comprehensive and adequate? Is supervision adequate? Is an employee handbook with comprehensive policies and procedures in place? Are employees well-informed and trained in policies and procedures?
Performance management	Is a robust performance management program in place? Are written records of documented performance issues retained? Are antiharassment policies and procedures adequate?
Exiting	Are exit interviews conducted?

employees	Are all access codes, passwords, etc., deactivated? Is organizational property (information and equipment) retrieved from terminated employees?

Risk management is a continuous activity, not something that gets checked off a “to-do” list. Applying quality assurance principles, in conjunction with continuous improvement, helps an organization remain vigilant in its risk management processes.

Corporate Social Responsibility

Corporate Social Responsibility represents the organization's commitment to operate ethically and contribute to economic development while improving the quality of life of the workforce and their families as well as of the local and global community.

Proficiency Indicators:

Proficiency indicators for **all HR professionals** include:

- Acts as a professional role model and a representative of the organization when interacting with the community.
- Coaches managers to achieve an appropriate level of transparency in organizational practices and decisions.
- Helps staff at all levels to understand the societal impact of business decisions and the role of the organization's CSR activities in improving the community.
- Identifies and promotes opportunities for HR and the organization to engage in CSR activities that align with the organization's CSR strategy.
- Identifies opportunities to incorporate environmentally and socially responsible business practices and shares them with leadership.
- Maintains transparency of HR programs, practices, and policies, where appropriate.

Proficiency indicators for **advanced HR professionals** include:

- Aligns CSR activities with the organization's CSR strategy and engage the organization's workforce and the community at large.

- Coordinates with business leaders to develop and implement appropriate levels of corporate self-governance and transparency.
- Coordinates with business leaders to integrate CSR objectives throughout the organization.
- Develops a CSR strategy that reflect the organization’s mission and values.
- Partners with business leaders to develop strategies that encourage and support environmentally and socially responsible business decisions.
- Uses metrics to measure and report how the organization’s CSR programs enhance the employee value proposition, positively impact HR programs, or contribute to the organization’s competitive advantage.

Key Concepts:

- Approaches to community inclusion and engagement (examples include representation on community boards, joint community projects, employee volunteerism).
- HR-related activities that support sustainability (examples include human rights, safety practices, labor standards, performance development, diversity and inclusion, compensation, supply chain management).

- Organizational philosophies and policies (examples include development, integration, shared value).
- Steps to implement CSR strategy (examples include developing a business case, obtaining executive approval, selecting recipients, identifying and analyzing performance indicators, recruiting and organizing participants).

Corporate Social Responsibility

The manner in which an organization conducts itself is increasingly important, as consumers are more able to observe how an organization acts and make decisions based on those observations. Corporate stances on technology, environmental policy, and human rights, among other things, are made public via social media and traditional media. A backlash over perceived negative behavior can damage an organization's brand and may even lead to boycotts of products and services. More significantly to HR, the organization's behavior toward society and the environment can affect its efforts to recruit younger workers, whose interest in their employer's impact on society has been noted by social researchers. This, in turn, affects future plans for developing the organization's talent pool and future leaders.

Fear of public backlash is not the only reason why corporate social responsibility (CSR) is important to HR professionals. Sustainability initiatives are crucial in the face of climate change, and implementing them often relies on involving employees and gaining their support. Compliance with regulations is an ethical, legal, and economic reality, since it can prevent workplace injuries and incidents and help in avoiding expensive litigation and fines. The opportunity to create employee engagement and public goodwill

through philanthropy and volunteerism represents positive outcomes that may be found through CSR efforts.

In order for an organization to find success in its CSR efforts, a unified strategy must be in place. The strategy must be driven from leadership and must become a part of the organizational strategy at all levels. Implementing a CSR program requires considerable input from HR professionals. To execute these strategies, they must understand the principles that drive an organization’s CSR strategies.

Corporate Social Responsibility Today

Proficiency indicators related to this section include:

- Acts as a professional role model and a representative of the organization when interacting with the community.
- Identifies and promotes opportunities for HR and the organization to engage in CSR activities that align with the organization's CSR strategy.
- Identifies opportunities to incorporate environmentally and socially responsible business practices and shares them with leadership.
- Coordinates with business leaders to develop and implement appropriate levels of corporate self-governance and transparency.
- Coordinates with business leaders to integrate CSR objectives throughout the organization.
- Develops a CSR strategy that reflect the organization's mission and values.

Key concepts related to this section include:

- HR-related activities that support sustainability (examples include human rights, safety practices, labor standards,

performance development, diversity and inclusion, compensation, supply chain management).

- Organizational philosophies and policies (examples include development, integration, shared value).

Corporate Social Responsibility Today

Corporate social responsibility is a more proactive approach to the traditional corporate concerns of philanthropy and legal compliance. It is a way of putting the organization's values and goals into action, thereby making CSR a part of the organization's fabric—its structure, its processes, and its culture.

Competency Connection

Achieving corporate social responsibility goals can be difficult in a complex world. Doing the right thing requires the Ethical Practice competency, but Ethical Practice can be supported by Global Mindset. And the eventual solution may take the creative approach of an HR professional skilled in Consultation. Consider this scenario.

The chief human resources officer (CHRO) for a large global clothing manufacturer was visiting each of the company's manufacturing operations. Some of these operations were located in developing economies.

Touring the factory floor, the CHRO noticed that a significant number of the workers were no older than 12. The CHRO mentions this observation to the plant manager and the local HR manager. The

HR manager explains that it is legal for children this young to work full-time in this country and that they are paid the same as older, similarly experienced workers. No laws are being broken. The CHRO believes, though, that the use of child labor violates the company's core values. The HR manager responds that these workers may be children, but they are also heads of households. Most of them are the primary source of income for their families, and without that income the families' living standards would decrease and younger children in the family would not be able to attend school.

The CHRO considers this ethical dilemma and presents it to the organization's leadership, asking management to support a program that would deliver on-site basic and technical education to these child workers every week. Workers would be paid for time attending these classes. The organization was willing to sacrifice some profit to make a difference in the lives of these children and their communities.

Evolution of Corporate Social Responsibility and the Forces Shaping It

Corporate social responsibility (CSR) encompasses the varying ways an organization can create value, looking beyond traditional profit measures of revenue and expenses. Organizations can take actions that impact nonmonetary assets, such as brand reputation or employee morale.

In recent decades CSR has changed in two major ways.

The first is the expansion of the definition of CSR from its traditional areas of concern—notably corporate ethics, governance, philanthropy, and volunteerism—to include the concept of sustainability. This concept requires consideration of a broader range of a decision's or action's effects on a broader field of stakeholders.

The second change is that CSR has moved from the corporate periphery to center stage. As one indicator, consider some key findings of "The Road Ahead: The KPMG Survey of Corporate Responsibility Reporting 2017." Each year, KPMG—one of the "big 4" audit, tax, and advisory services firms—issues its review of the extent and quality of CSR and sustainability reporting. The 2017 report revealed that:

- 80% of companies worldwide issue corporate responsibility/sustainability reports.

- Over 90% of the G250 (the 250 largest businesses globally) issue CSR reports.
- Around 40% of companies now acknowledge the financial risks of climate change in reporting.
- Sustainability reporting has increased in most global regions.
- Organizations are investing more in auditing their CSR efforts.

Another indicator can be found in the views expressed by the SHRM Corporate Social Responsibility and Sustainability Special Expertise Panel in SHRM's 2016 "Future Insights" report. The panel sees CSR as a way to:

- Compete for and retain top talent.
- Produce scalable solutions and data-rich results.
- Increase employer brand.
- Expand global reach and compete in the global marketplace.

In effect, CSR has moved up the maturity curve: from CSR as a tactical approach to "paying back" or doing good or as a compliance activity or defensive maneuver to protect a company's reputation and share value, to CSR as a strategic approach that is fully integrated into an organization's mission and core business strategies.

Today's CSR is more likely to be strategically aligned than isolated. For example:

- Employee volunteer efforts are likely to be more fully integrated with an organization’s particular sustainability goals and issues and become more central to employment branding.
- Ethical oversight of the supply chain is more apt to now also take into consideration providers’ environmental track records in addition to evaluating their employee relations and anticorruption performance.
- Codes of conduct are more apt to state behavioral expectations for employers as well as employees and to offer the organization’s sustainability position as the foundation for all expectations.

As with any strategic initiative, strategically aligning CSR requires considerable planning and effort, including:

- The necessary preparatory research into existing benchmarks, including international frameworks and guidelines and the reported results of companies’ CSR efforts and initiatives.
- A CSR strategic development and implementation process.

Forces Shaping CSR

Paradigm shifts don’t happen in a vacuum. Exhibit 27 gives a brief overview of some of the PESTLE (political, economic, social, technological, legal, and environmental) forces that have shaped CSR efforts—specifically, technology, environmental concerns,

economic pressures, and sociopolitical forces. Some have increased the importance of CSR issues; others have helped determine what those issues are.

Exhibit 27: PESTLE Forces Shaping CSR Efforts

Force	Impact
Technology	• Communications are now global, continuous, and instantaneous. • Advances in data mining and collection have enhanced measurement and understanding of CSR issues. • Privacy and work/life balance issues are more widespread and complex.
Environmental concerns	• Climate change has resulted in more government regulations and requirements. • Sustainability is now central to corporate branding. • There are new innovation opportunities, especially in relation to energy efficiency.
Economic pressures	• Energy efficiencies lower costs, encouraging sustainability. (They can also result in competitive advantage and publicity/reputational boosts.) • CSR has become an important way to attract top talent when salary and benefits packages face constraints. • Economic pressures can, however, limit organizational enthusiasm for CSR efforts.
Sociopolitical forces	• Civil and social rights movements have far greater ability to gain traction, attention, and action. • Changing public attitudes toward certain social issues will shift organizational CSR emphasis and priorities.

Corporate Social Responsibility Maturity Curve

Several sources describe an organization's evolving approaches to CSR as moving upward along a maturity curve: from a purely tactical, reactive approach, to a more strategically integrated position, to, finally, redefining core corporate values and goals based upon CSR (ethics and sustainability) principles.

Essentially, the steps are as follows:

- **Compliance.** This is a defensive posture. Social responsibility is seen as a cost of doing business—a tactical response to regulatory requirements or negative publicity. Efforts may be a means of demonstrating good corporate citizenship, but they rarely align—and often directly conflict—with core corporate strategy.

- **Integration.** CSR is integrated into the regular functioning of the business. These organizations have redesigned their products or services and their processes and procedures to be more responsible and sustainable. They approach CSR as enlightened self-interest.

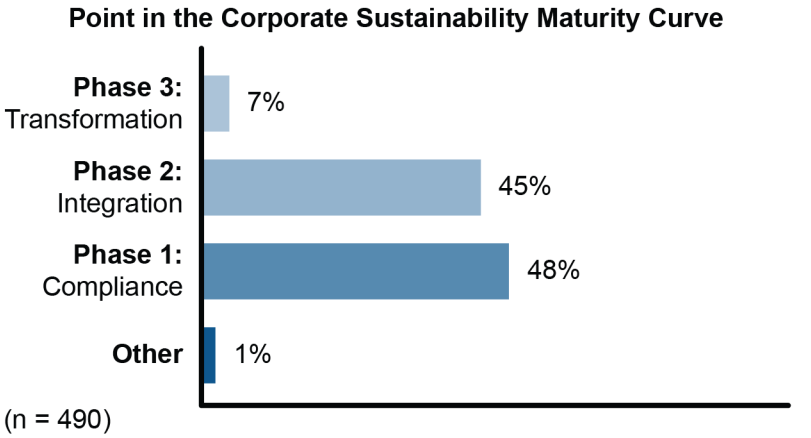
- **Transformation.** These organizations have redefined themselves, their brand, to reflect a commitment to CSR. This becomes part of a strategy to differentiate the organization from its competitors. For example, numerous food producers promote their products by focusing on sustainable practices regarding local sourcing (to lower carbon use in transportation), the use of recycled and/or recyclable packaging, the donation of a portion of profits to community projects, and their B Corp Certification (see below).

Key Content

A critical issue for HR professionals is determining where along the curve their organizations are at present and what next steps are logical and feasible for moving the organizations closer to the next higher phase.

Exhibit 28 shows the results of a SHRM survey of U.S. companies' self-assessments of their current position along the maturity curve.

Exhibit 28: Corporate Positions on Sustainability Maturity Curve



Note: Excludes organizations that answered "not applicable" and those that did not have an approach for defining sustainability.

Source: "Advancing Sustainability: HR's Role Survey Report," SHRM

For organizations striving to achieve the transformation level of the maturity curve, there is an international certification program. By meeting the nonprofit B Lab's detailed measures of social and environmental performance, accountability, and transparency, an organization receives certification as a Benefit Corporation (B Corp). There are currently over 3,500 B Corps, from 70 countries and more than 150 industries. Learn more at [www.bcorporation.net.](http://www.bcorporation.net)

Corporate Social Responsibility and HR

The redefinition of corporate social responsibility creates an opportunity for HR. Employee training and oversight functions have always placed HR at the forefront of CSR efforts. But while CSR had traditionally been considered a tactical and peripheral area—a cost of doing business rather than a value generator—it has now become strategically valuable. And that can mean a more strategically central role for HR.

The SHRM report “Advancing Sustainability: HR’s Role Survey Report,” suggests four key HR opportunity areas:

- **Culture change.** The further down the CSR maturity curve an organization is at present, the larger and more difficult the necessary culture change will be. Increasing stakeholder engagement and becoming more customer-responsive are difficult and critically important—and HR is perfectly positioned to help with these human-related objectives.

- **Corporate strategy.** The more directly involved stakeholders are in the strategic process, the more central HR’s role can become in strategic planning. The more central employee behaviors are to successfully carrying out a CSR strategy, the more central HR’s role in strategic implementation becomes.

- **Organization effectiveness.** CSR requires decisions and changes regarding corporate structure and processes. Is there to be a separate CSR department? Are outside organizations or consultants needed? HR is well-equipped to help match the right structures and processes to the organization's culture and needs.

- **Human capital development.** Creating a CSR strategy redefines how a company sees its mission and goals and how its employees see their jobs. Helping form those visions and helping them align with one another are HR capabilities.

Effect on HR Functions

HR has the opportunity to assume a significant role in shaping CSR efforts—and thereby help shape corporate strategy as well. But the reverse is also true: Because CSR efforts today are both more strategic and more comprehensive, they have a larger effect on traditional HR functions.

"Advancing Sustainability" lists seven areas that will be affected:

- **Employee contract.** The desire for meaningful work in an organization that values sustainability is a trend that HR must, first, actively convey to management and, second, weave into the corporate culture.

- **Recruiting.** Recruiting efforts need to be refocused, incorporating the organization's sustainability profile into its employee value proposition (EVP).

- **Brand.** Many workers, skilled and talented younger workers especially, look beyond salary and benefits. An organization's environmental and social record, the volunteer opportunities the organization provides its workers, their sense that they can "make a difference" or be creative and innovative within an organization—these are all valuable intangibles that greatly enhance an organization's EVP.

- **Engagement.** Employees will need to be given opportunities to act on their interests in promoting the social and environmental responsibility espoused by the organization's mission and values.

- **How people work.** Efforts to reduce an organization's carbon footprint will require openness to new ways of working, and this may involve everything from telecommuting to flextime to new technologies.

- **Accountability and measurement.** CSR will need to be incorporated into key performance indicators. Reporting

mechanisms that create accountability for sustainability performance will need to be implemented.

- **Training and leadership development.** Sustainability will need to be woven into all training and leadership development curricula.

Pursuing a CSR strategy can enhance the organization's EVP and employment branding strategy. An EVP answers the question "Why would a talented person want to work for this organization?" The EVP must be aligned with the organization's strategic plan, vision, mission, and values and create an image that attracts and retains people.

Thus, a CSR strategy enhances and reinforces the organization's employment branding strategy.

Of course, employee attraction and retention and stakeholder outreach are all key HR skills and responsibilities, underscoring how centrally involved HR should be in creating and implementing an organization's CSR/sustainability strategy.

Corporate Social Responsibility, Ethics, and Compliance

Proficiency indicators related to this section include:

- Coaches managers to achieve an appropriate level of transparency in organizational practices and decisions.
- Maintains transparency of HR programs, practices, and policies, where appropriate.
- Coordinates with business leaders to develop and implement appropriate levels of corporate self-governance and transparency.
- Partners with business leaders to develop strategies that encourage and support environmentally and socially responsible business decisions.

Key concepts related to this section include:

- HR-related activities that support sustainability (examples include human rights, safety practices, labor standards, performance development, diversity and inclusion, compensation, supply chain management).

Corporate Social Responsibility, Ethics, and Compliance

It is important to distinguish between being compliant with laws and regulations and behaving in an ethical manner. Educating the organization's members about the importance of ethical decision making helps prepare them for all the situations that may not be proscribed by laws but that may pose risks to the organization—risks of damaging the organization's reputation and its relationships with its stakeholders (including employees).

Competency Connection

An organization was expanding into another country, and it was critical to the organization's expansion strategy that its facility be constructed as quickly as possible. The attitude of the government and the business community in this new country was generally pro-employer. There were some laws about employee rights but little oversight of actual conditions at work sites.

The lack of oversight was an opportunity, according to the organization's labor contractor, to bring the project in ahead of schedule. It meant that the project team—which included high-level

managers from HR, operations, and finance—could set longer hours and disregard some time-consuming safety procedures.

The HR manager pointed out to the other team members that the organization was ethically obligated to take the initiative in this situation. The team had to make sure that workers, whether they were hired directly by the organization or indirectly through contractors, were paid fairly for reasonable work schedules and were provided safe and healthful conditions at the work site. The organization would not condone substandard conditions in its own country and should not here. In addition, this would put the organization's reputation at risk.

The HR manager was persuasive. The other project members acknowledged that the organization's interests in completing the project quickly and inexpensively had to be subordinated to the organization's core values, ethical considerations about basic worker rights, and compliance with local laws—even if they were not enforced. The team turned their attention to how best to communicate this commitment to local labor contractors and how they could monitor the contractors' performance on these issues.

This HR professional showed the Leadership & Navigation competency in confronting the project team with the sober truth of their ethical and compliance obligations and Business Acumen and

Global Mindset in recognizing and managing potential risks to the organization.

Monitoring Ethics in the Workplace

Compliance is defined by the SHRM Foundation in “HRM’s Role in Corporate Social and Environmental Sustainability” as being in accordance with all national, federal, regional, or local laws, regulations, and government authority requirements for all the locations in which the organization operates. This often means fulfilling technical requirements as set forth by law.

Ethics is a set of behavioral guidelines that an organization expects all of its directors, managers, and employees to follow to ensure appropriate moral and ethical business standards. Ethical behavior focuses on acting according to “core ethical beliefs and convictions” about “honesty, respect, fairness, and responsibility.”

Key Content

Compliance and ethics issues often overlap in areas including employment rights, the environment, consumer interests, child welfare, corporate disclosure and transparency, conflict of interest, corruption, bribery,

maintaining business records, discrimination, and so on. These issues span entire organizations and can govern organizational conduct even across jurisdictional lines.

Despite any overlap, it's important to recognize that these two types of issues are concerns for different reasons. Breaches in areas of compliance can create legal issues, such as restrictions on conducting business, fines, or legal proceedings. Breaches in ethical requirements can damage public perceptions of organizations, hurting the brand image that is crucial in competitive markets.

Governance is the system of rules and processes an organization puts in place to ensure its compliance with local and international laws, accounting rules, ethical norms, and environmental and social codes of conduct.

Good governance emanates from the top—the board of directors and executive officers—and continues to make itself felt throughout the organization. An organization with good governance is transparent and accountable. It aims to behave ethically both internally and externally: with the communities in which it operates and with the individuals and organizations with which it collaborates and competes. An organization with poor governance can suffer in a

number of ways: for example, consumer boycotts, shareholder action, and difficulties related to employee recruitment and retention.

Key Content

Good governance is the outcome of a thoughtful assessment of an enterprise's legal, ethical, and civic obligations to the communities it serves and the development of systems that support fulfillment of these obligations.

As organizations engage in business beyond their borders, they and their individual employees face numerous ethical and compliance challenges. Simply put, what is considered unethical and/or illegal in one country may be perfectly acceptable in other parts of the world. In these cases, choosing the right ethical path is especially complex because of differences in cultures, values, business practices, and levels of economic development in countries. A company, therefore, must carefully consider standardization (ethical universalism) versus localization (cultural relativism) issues when developing its code of conduct.

Ethics in the Supply Chain

For the extended organization (one reliant on supplier relationships), ensuring that its suppliers' policies and practices are closely integrated with its own ethical policies has become a critical and complex issue.

For the extended organization (one reliant on supplier relationships), ensuring that its suppliers' policies and practices are closely integrated with its own ethical policies has become a critical and complex issue. While organizations historically have taken little interest in their external suppliers beyond product features, quality, price, and availability, the issue of supply chain behavior is now closely integrated with an organization's policies. This position is not merely defensive (avoiding disruptions in the supply chain because of strikes, negative publicity, or lawsuits); it is good business. Ethical supply chain behavior means better products, more satisfied customers, and more sustainable working communities that support the growth of business.

What is required, then, is securing buy-in across the supply chain of an organization's code of conduct (or at least those provisions that touch directly on a given supplier's actions, which can range from its labor relations conduct to its environmental policies).

A British home improvement, appliance, and electronics retailer includes attention to supply chain behavior in its own corporate social responsibility program. Believing that this focus strengthens both the supply chain and their own brand, the multinational has set policies to:

- Know the provenance of every product it sells—who sells them the product and where the product is made.
- Set and assess workplace standards for suppliers' factories.
- Work with suppliers, governments, and nongovernmental organizations to address challenges within the supply chain.
- Support factories to help them achieve the retailer's standards.

The company has created a code of conduct for factory working conditions based on the conventions of the International Labour Organization. Each operating company and sourcing office then develops its own action plan to implement and monitor the code.

Exhibit 29 shows some specific areas in which organizations find themselves being held accountable for the behaviors of their suppliers.

Exhibit 29: Focus Areas for Supply Chain Ethics

Focus Areas	Key Considerations
Workplace safety	Industries, nations, and international organizations are increasingly willing to work together to codify acceptable standards of business behavior.

Focus Areas	Key Considerations
Child labor	Prohibitions against child labor are codified in several international agreements. However, in emerging economies children’s wages may be a key support for impoverished families.
Sustainability	The focus has shifted dramatically from traditional supply chain metrics to sustainability measures applied across the supply chain.

Organizations may have to work to find the correct ethical approach. For instance, it would be unethical to cut a source of funding for impoverished families by completely banning child labor in a supply chain in developing countries. However, the organization must find a way to protect those children from harm when working. Organizations may also find it difficult to balance the realities of resource depletion, emissions, and waste production against increasing consumer demand for green products.

Sustainability

Proficiency indicators related to this section include:

- Identifies opportunities to incorporate environmentally and socially responsible business practices and shares them with leadership.
- Partners with business leaders to develop strategies that encourage and support environmentally and socially responsible business decisions.

Key concepts related to this section include:

- Approaches to community inclusion and engagement (examples include representation on community boards, joint community projects, employee volunteerism).
- HR-related activities that support sustainability (examples include human rights, safety practices, labor standards, performance development, diversity and inclusion, compensation, supply chain management).

Sustainability

In the broadest sense, sustainability means acting in a way that does not compromise future generations. Sustainability is important to HR professionals in different ways. Many younger employees are attracted to employers with CSR programs; the organization's sustainability goals and programs can be used in recruitment and for retention. The concept of sustainable wages and working conditions is an integral part of the employer-employee relationship.

Competency Connection

HR competencies allow HR leaders to understand the totality of an organization's needs and to contribute to solutions that meet those complex and interwoven needs. In this example, workforce planning and corporate social responsibility strategies were leveraged to achieve the organization's goals.

After carefully reviewing current market conditions and prospective new routes, the commercial vice president of an airline presented a strong business case to the management team for acquiring new planes to satisfy a growing demand in South America. The CEO liked this proposal. However, the vice president of operations doubted that the company could find the required skills in the local labor market.

The HR VP was aware of this issue, having watched this metric deteriorate over time, and was well prepared to discuss the topic. He agreed with operation's diagnosis of current labor market conditions but reported that he had been working on a CSR initiative that addressed the issue.

The initiative involved working closely with local universities and technical schools, leveraging agreements with current partners in the industry, and escalating the current traineeship program. It benefited the community by creating new educational and employment opportunities and aligned with the organization's business objectives by opening its pipeline for new technicians and engineers. The HR VP believed that, if implemented immediately, the program could provide a sufficient number of graduates ready to join the company by the time new routes received approval and the new planes arrived.

He presented the details of the program, the research supporting his assumptions, and the potential strategic partners to the commercial VP, the CEO, and the VP of operations. He explained how the program was strategically aligned with current CSR activities and strategic objectives of the company.

The HR VP demonstrated Leadership & Navigation, Business Acumen, and Analytical Aptitude in his approach to the issue—

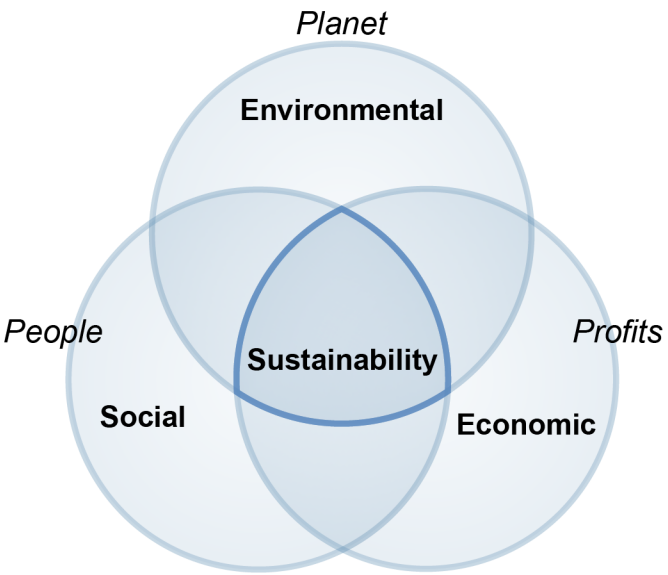
supplementing HR expertise with an in-depth understanding of the business challenge the labor market represented to the future growth of the company. Using the Consultation competency, he generated an innovative solution aligned to the core values and strategic goals of the organization, a solution that would have a positive impact on all stakeholders.

Defining Sustainability

The term **sustainability** originally referred to an ecological goal, the preservation of the environment. Projects undertaken by an organization were considered sustainable to the extent that they minimized the negative impact on the environment by using as few resources as possible and/or relying on renewable resources. The environment was eventually recognized as a system with parts that were deeply connected. Pressure was put on the environment by the actions of businesses and people who were trying to meet their own needs. Sustainability was offered as a systemic solution, a way of mediating competing interests for long-term, shared benefit. A sustainable enterprise takes the long view, aiming at creating a business model, policies, and practices that meet the needs of the present without compromising the ability of future generations to meet their needs.

To be sustainable, an organization's practices must be analyzed in terms of their social, environmental, and economic effects, or, as they are sometimes called, the 3 Ps—people, planet, profits. This concept is shown in Exhibit 30. Environmental concerns include issues such as the use of resources and the release of environmental contaminants. Social concerns involve impacts on health, safety, and well-being. Economic considerations recognize that businesses need to be profitable in order to fulfill their ethical obligations to investors and to continue to employ people.

Exhibit 30: Three Spheres of Sustainability



Sustainability Sweet Spot

Exhibit 30 contains an overlapping area that is known as the sustainability sweet spot—that place where an action can fulfill

expectations in all three categories. It benefits people, the environment, and the organization's budget. In *The Triple Bottom Line,* Andrew Savitz and Karl Weber argue that, properly viewed, sustainability can become an engine of innovation and a means of identifying business opportunities. By focusing on the area of common ground between business interests and public interests, new products, processes, markets, and business models can be identified.

That area will be unique for each organization, based on its particular business focus and market. Savitz and Weber provide examples of "sustainability sweet spot" successes that deliver 3 Ps benefits:

- General Electric's Ecomagination initiative to develop clean technologies. Product successes have included fuel-efficient jet and locomotive engines and wind and natural gas turbines, all sold to customers (notably China) who need to reduce their carbon emissions and fuel consumption costs. Since Ecomagination's launch, GE has "invested $12 billion in R&D and generated more than $160 billion in revenues."

- Pepsico's acquisitions of Tropicana and Quaker Oats, enabling them to introduce healthier snacks and drinks into their product mix. Pepsico has also reduced energy consumption, waste

production, and packaging and has improved water management in its production facilities and supply chain. Such moves benefit Pepsico's customers and suppliers, the communities in which they operate, and the environment while reducing its long-run costs and improving its bottom line.

In short, the sustainability sweet spot offers a new way of considering the very old proposition of "doing well by doing good."

Redefining Sustainability Stakeholders

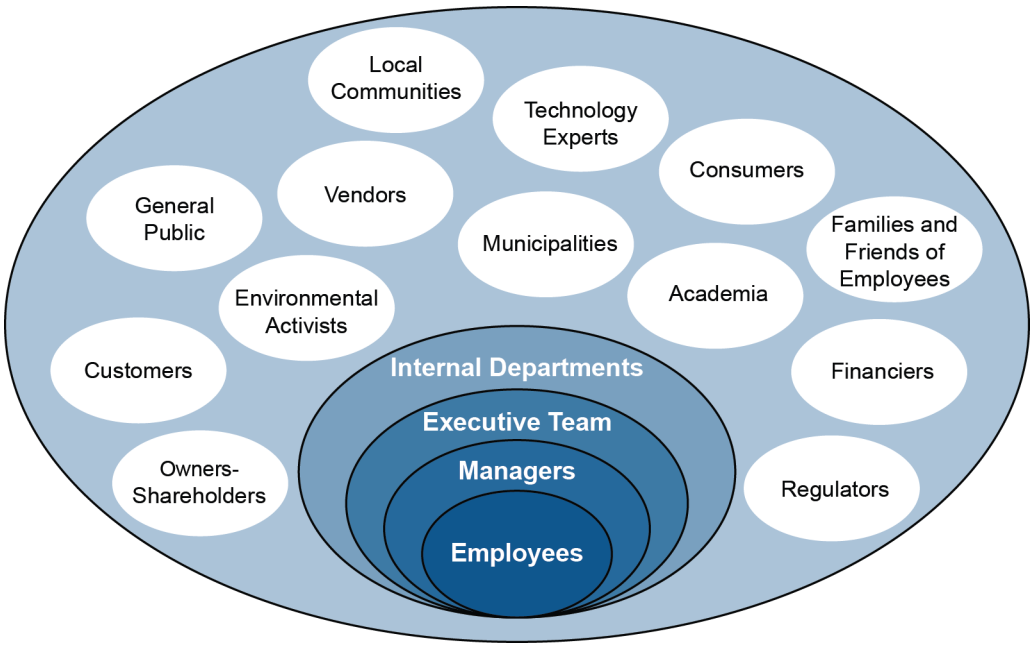
Key Content

Sustainability requires that the organization's value be defined by a broader definition of stakeholders. Stakeholders are all those affected by the organization's social, environmental, and economic impact—shareholders, employees, customers, suppliers, regulators, and local communities.

Sustainability's 3 Ps have expanded the notion of stakeholders from just those with a direct financial stake in the organization to include as well those affecting or affected by an organization's social and environmental value.

Exhibit 31 suggests the range of individuals and organizations that can be internal or external stakeholders, though it is by no means a complete list. Internal stakeholders can, for instance, include ERGs (employee resource groups). External stakeholders can also include media, special interest groups, unions, consultants, or community organizations.

Exhibit 31: Sustainability Stakeholders



Source: “HRM’s Role in Corporate Social and Environmental Sustainability,” SHRM Foundation

Sustainability also expands the ways in which the organization interacts with its stakeholders, who now play a more active role in helping it define and implement everything from individual projects to larger CSR strategy and goals. A sustainable organization actively seeks out internal and external stakeholder input in order to understand stakeholders’ expectations and concerns and to benefit from their ideas and suggestions.

A sustainable organization is also more likely to form alliances and partnerships with outside stakeholder groups, including nongovernmental organizations (NGOs), community organizations, government agencies, and other companies. Such groups provide strengths that complement those of a for-profit corporation:

- Nonprofits offer on-the-ground knowledge of a community, specialized skills, credibility, and an ability to buy down start-up costs.
- Government agencies can leverage public infrastructure, develop policy frameworks, and reduce investment risks.

Here are a couple of examples of organizations who have formed successful alliances:

- Dole Food Company was able to create a sustainable supply chain of small organic farmers in Peru by partnering with 11 local producer organizations. Through them, the small farmers obtained the technological assistance and certification to meet Dole's quality, quantity, and cost requirements.

- Patagonia has been an active and vocal supporter of grassroots environmental efforts, and they launched Patagonia Action Works, which connects grassroots groups in order to maximize their impact and reach. The company has expansive sustainability policies and practices, including making all of its products from sustainable or recycled materials, generating 100% of its U.S. electricity needs from renewable sources, and donating 1% of all sales to the preservation and restoration of the natural environment. The company is also a founding member of the Fair Labor Association and is an active participant in the fair trade movement.

Triple Bottom Line

The concept of a triple bottom line applies the 3 Ps principle of sustainability (people, planet, profits), arguing that the environmental and social costs and benefits generated by an organization should be considered.

A traditional corporate profit and loss (P&L) statement, or balance sheet, measures the costs of all of an organization's projects and activities (for example, the costs of producing, distributing, and selling a product or service) and balances them against the income derived from those activities in order to determine the organization's "bottom line" profit or loss—the organization's value. The concept of a **triple bottom line** applies the 3 Ps principle of sustainability (people, planet, profits), arguing that the environmental and social costs and benefits generated by an organization should be considered as well. By measuring such "hidden" costs, a more accurate and complete account is given of an organization's total value. Exhibit 32 (from *The Triple Bottom Line* by Andrew Savitz) provides a broad-brush view of the kinds of factors that are measurable and HR's role in supporting efforts to improve those factors.

Exhibit 32: Triple Bottom Line Factors and HR's Role

	Typical Measures	HR's Role
Economic	Jobs created Monetary flows Sales, profits, ROI Supplier relations Taxes paid	Change management Communications (internal and external) Corporate and employment branding Diversity, equity, and inclusion policies (including hiring and promotion)
Environmental	Carbon footprint Pollutants emitted Product impacts Recycling and reuse Water and energy use	Employee engagement Employee privacy policies and practices Employee training and development Health care and wellness policies Human rights policies
Social	Community impacts Employee relations Health and safety record Human rights; privacy Product responsibility	Labor relations Organizational capacity development Safety practices Standardization of reporting measures and methods Supply chain management

Source: Adapted from *The Triple Bottom Line,* Savitz

Key Content

The triple bottom line can be viewed as the performance measurement of an organization pursuing a strategy of CSR or sustainability (the terms are sometimes used interchangeably); its goal, then, is to achieve a positive ROI (return on investment) in each of the three areas. It can also serve as an organizing principle for a scorecard or checklist of measures for evaluating whether and/or

how to pursue a given project so as to meet sustainability goals.

Perhaps most important, the triple bottom line has become the foundation for measurement and public reporting of CSR or sustainability performance by multinational corporations. Issuing annual sustainability or CSR reports has become expected of any corporation, especially global ones.

That trend is the result of a convergence of three main factors:

- A change in attitudes about the importance of corporate social responsibility practices
- The growing sophistication of data mining and analytics capabilities, enabling meaningful collection and analysis of social responsibility data
- Standardization of reporting measures and methods

It is important to understand that the universal acceptance of such standardized CSR reporting has enormous implications for the strategic importance of CSR. It allows meaningful, valid comparisons of corporate practices.

This has been noticed, first by governmental regulatory agencies, which are increasingly requiring corporate reporting of CSR measures, but also by corporate marketing departments. CSR has become a powerful tool for corporate branding and product differentiation. A quick look through any of the annual CSR reports—or their corresponding pages on corporate websites—makes it clear that CSR measures are being considered as key components in corporate promotional materials. That strategic role, in turn, signals an opportunity for HR to play a more significant role in shaping and implementing CSR and, through it, corporate strategy.

Another application of triple bottom line principles is the social audit. Whereas CSR annual reporting looks outward—a way for an organization to present itself to investors, regulators, or prospective employees—the social audit is primarily a tool for self-evaluation.

A social audit is a formal review of an organization's social and environmental policies and procedures. A United Nations agency has described it as "a technique to understand, measure, verify, report on and to improve the social performance of the organization." A social audit resembles a financial audit in that the goal is to assess an organization's current status, identify missing or inadequate elements or inefficiencies, and determine steps for improvement. It also resembles a 360-degree performance review in

that it begins by interviewing all of an organization's stakeholders—internal and external—and concludes by publishing all results in a format available to all participants.

Exhibit 33 lists the main areas a social audit examines and the types of questions it seeks to answer in each area.

Exhibit 33: Social Audit Areas of Examination

Audit Areas	Key Questions
Ethics	• Are the organization's policies, practices, and day-to-day activities fair, honest, and transparent? • What are its charitable giving and volunteering efforts?
Staffing	• How does the organization reward, train, and develop its staff? • How does it ensure nondiscriminatory, fair, and equitable treatment of all its workers? • How does it promote diversity and inclusion?
Environment	• What are the organization's policies regarding energy use, waste management and disposal, environmental impact of projects, and damage reduction?
Human rights	• How does it ensure that it does not violate human rights or deal, trade with, or support any organization that violates human rights?
Community	• What are its policies relating to the local community and community involvement? • How well does it uphold agreements made with the community?
Society	• How does the enterprise seek to improve or benefit society? • How does that translate into policies, activities, and procedures?
Compliance	• How does the organization ensure its compliance with statutory and legal requirements (for example, health and safety, employment law, environmental law, criminal law, financial and tax laws)?

The social audit methodology is very similar to the CSR strategy development process (described elsewhere), especially regarding the key role of internal and external stakeholders. Since HR is a primary contact for stakeholders, the HR function is well-positioned to play a central role in defining and implementing CSR strategy.

Redefining the Bottom Line for Sustainability

In a *Harvard Business Review* article, “Creating Shared Value,” Michael Porter and Mark Kramer introduce the concept of “shared value” to resolve what have been viewed as conflicting sets of values—corporate financial goals on the one hand and societal and environmental concerns on the other.

In the traditional win/lose model, taxes and restraints are imposed on corporations to help meet social and ecological needs, thereby reducing corporate value. Shared value instead suggests a win/win approach, “creating economic value in a way that also creates value for society by addressing its needs and challenges.” (Porter and Kramer include environmental concerns in their use of the term “societal value.”)

They offer three ways in which an organization can accomplish this:

- **Reconceiving products and markets.** This begins by asking, “Is our product good for our customers?” Their examples include new efforts to meet the needs of emerging economies and other under-served markets, such as inexpensive mobile phones that enable mobile banking for low-income consumers in emerging markets.

- **Redefining productivity in the value chain.** By examining each player and process in the value chain—reducing waste, minimizing use of resources, and ensuring the health and safety of workers—organizations can both cut costs and benefit society. Examples include:
  - Walmart’s $200 million in savings achieved by reducing packaging and rerouting trucks.
  - Nestle’s switch to a more-supportive relationship with coffee growers, adding costs in the short run but improving productivity and quality.
  - Johnson & Johnson’s improved employee health-care benefits that return $2.71 in increased productivity for every dollar spent.

- **Enabling local cluster development.** Porter and Kramer argue that most companies’ success is dependent on a cluster of other organizations (related businesses, suppliers, schools) and

infrastructure (roads, communication networks, water and energy supply). Shared value results when organizations build and enhance the local cluster and improve the conditions of those operating in it, benefiting the organization and its community.

Key Content

Porter and Kramer contrast corporate shared value (CSV) with corporate social responsibility (CSR) as traditionally defined. They argue that traditional CSR efforts are too often focused on reputation and only tangentially related to the core business, making their costs too hard to justify and maintain in the long run. CSV efforts, on the other hand, are more supportable because they are “integral to a company’s profitability and competitive position.”

Creating a Corporate Social Responsibility Strategy

Proficiency indicators related to this section include:

- Helps staff at all levels to understand the societal impact of business decisions and the role of the organization’s CSR activities in improving the community.
- Identifies opportunities to incorporate environmentally and socially responsible business practices and shares them with leadership.
- Aligns CSR activities with the organization’s CSR strategy and engage the organization’s workforce and the community at large.
- Coordinates with business leaders to develop and implement appropriate levels of corporate self-governance and transparency.
- Coordinates with business leaders to integrate CSR objectives throughout the organization.
- Develops a CSR strategy that reflect the organization’s mission and values.
- Partners with business leaders to develop strategies that encourage and support environmentally and socially

responsible business decisions.

- Uses metrics to measure and report how the organization’s CSR programs enhance the employee value proposition, positively impact HR programs, or contribute to the organization’s competitive advantage.

Key concepts related to this section include:

- Steps to implement CSR strategy (examples include developing a business case, obtaining executive approval, selecting recipients, identifying and analyzing performance indicators, recruiting and organizing participants).

Creating a Corporate Social Responsibility Strategy

Experience has shown that good intentions do not translate into action without a clear plan. The CSR strategy translates the organization's goals into specific objectives and initiatives. There are different resources to help organizations craft CSR objectives and measure their success.

Competency Connection

In a corporate social responsibility initiative, stakeholders can be internal and external. They can hold very divergent goals and communicate in very different ways. Being competent in Relationship Management can help an HR leader interact with all of a project's stakeholders and keep them all focused on the project's goals. Consider the following example.

The commercial vice president, the CEO, and the vice president of operations of an airline approved the acquisition of new planes to expand in response to a growing demand in South America, despite a scarcity of local aeronautical technicians and engineers. Their decision was based on the HR VP's CSR proposal—an educational

initiative involving strategic partnerships with local universities and technical schools and industry partners.

That CSR initiative has now has been running for a year. The HR VP has been working closely with all the stakeholders involved in the initiative:

- The local university has offered a new specialization in aeronautics, for which a scholarship program has been created.
- Technical schools in the area have awarded traineeships to students with the highest grades; machinery and special tools have been donated to equip their engineering shops.
- The VP of operations and the training manager have collaborated to revamp the traineeship program and to identify subject matter experts to act as internal trainers and coaches for the new trainees.
- Industry partners have provided technical consultation and highly specialized professionals to run workshops related to the business.

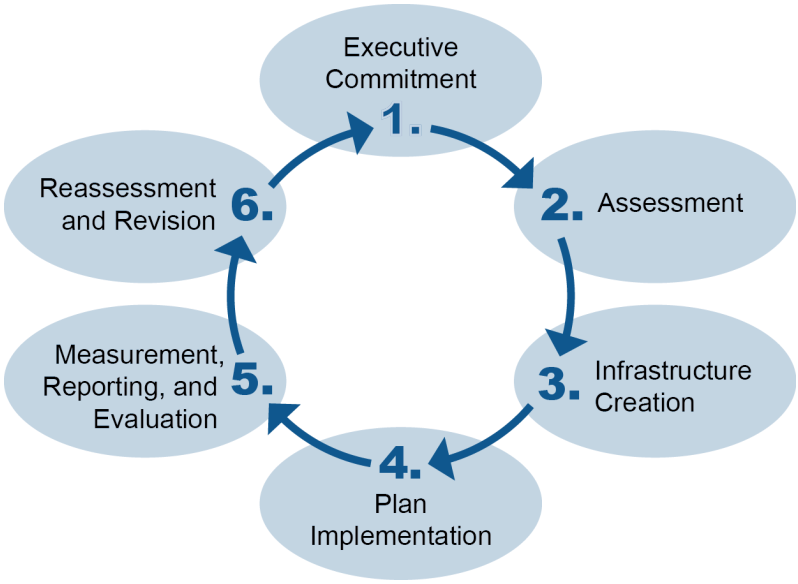
To review the implementation, plan next steps, and identify improvement opportunities, the HR VP has called representatives of all stakeholders to a review meeting at the company’s headquarters and invited the CEO to open the encounter.

The HR VP has demonstrated Leadership & Navigation in the ability to influence and work effectively with all stakeholders in a manner that supports the organization in the long term and benefits all parties involved.

Corporate Social Responsibility Strategic Process

The steps required to implement a CSR strategic process are very similar, if not identical, to the steps required to implement other strategic processes in the organization. The basic steps are shown in Exhibit 34.

Exhibit 34: CSR Strategic Process



This process customizes the basic strategic development process to focus on some unique CSR strategic considerations, but its foundation is the same. The steps may not always be consecutive; some may occur at the same time as others. HR will have a major supportive role in almost all steps.

Step 1. Executive Commitment

Any strategic initiative requires buy-in at the highest level. The key to getting that buy-in is making the business case for CSR—demonstrating that it has business value. As discussed elsewhere, CSR is increasingly viewed today as aligned with—or even having a foundational role in—corporate business strategy by providing such strategic benefits as:

- Improving the organization's ability to attract and retain top talent.
- Enhancing innovation and new product development capabilities through pursuing sustainability sweet spots.
- Cutting costs on operations, transportation, and energy use.
- Increasing brand image value by being presented to the public as an ethical and sustainable organization.
- Reducing sanctions through improved compliance measures.

Step 2. Assessment

The assessment aims to provide a detailed picture of where the organization is at present and—by “framing” that picture within the context of existing CSR guidances, templates, and initiatives already reviewed—also visualize the direction in which the organization can go.

There are two components to the assessment:

- Reviewing systems and procedures within one’s own organization to determine their current state of sustainability
- Gathering input from internal and external stakeholders

Preparatory reviews of existing frameworks, guidelines, and examples of other organizations’ CSR reports should give a clear sense of what areas within one’s organization require examination. The next step is to apply what has been learned to a thorough examination of the organization, including any current systems or processes, global subsidiaries and the particularities of their localities, and the supply chain.

Next, all key stakeholders in the organization should be consulted for their sense of where the organization is at present, how it interacts with their area or group, and what their priorities would be for change. The information gathered can be used in formulating an overall CSR strategy and in developing key components, such as a code of ethics.

As an organization determines where it is with regard to its CSR goals, it should also be assessing potential recipients of donations of time or money if that is a component of the overarching CSR strategy. Organizations should take care when determining which causes, organizations, or people to donate to. Selections should fit with the company mission and ethos and should be evaluated for efficacy and impact. This may be done with the use of a rating system from a third party. Donations of both money and time should be at sustainable levels so that they do not interfere with the success of the organization.

Step 3. Infrastructure Creation

This step involves creating the infrastructure that will be responsible for guiding, overseeing, administering, reviewing, and championing the CSR strategy. HR is positioned strategically and geographically to promote CSR involvement throughout the organization, globally and locally.

Specifically, to support CSR strategy implementation, HR can:

- Help create ethical management and staff through hiring, education, and supply chain management.
- Serve as a connection with the organization’s communities. HR can use its contacts to identify opportunities for social engagement, establish partnerships, promote volunteer

opportunities, and match employee expertise with community needs.

- Examine transgressions for organizational significance (compliance program steps of incentives and discipline, remedial action, evaluation/risk assessment).
- Make sure that employees and suppliers understand ethical requirements and are supported in their efforts to follow the company's code.

Step 4. Plan Implementation

The key tasks in this step are to:

- Set the strategy.
- Set priorities and objectives. These should incorporate a clear sense of how intermediate, tactical steps will lead to long-term objectives. They should also clearly define how results will be measured and who is accountable.
- Implement the action plan created. For some projects, this may involve the recruitment and organization of participants, for example, to participate in a tree-planting or home-building event.

The SHRM Foundation recommends creating a scorecard of HR responsibilities, objectives, priorities, and metrics, together with a clear statement of the business value of meeting each objective.

Step 5. Measurement, Reporting, and Evaluation

Measurement and evaluation should be keyed to the specific objectives set in the fourth step. All objectives should have corresponding metrics.

To maintain the business case for the CSR strategy, there should also be clear procedures in place for providing access to results to marketing and other organization functions that can profitably leverage the data.

Step 6. Reassessment and Revision

Based on the evaluation of results, tactics and strategic goals should then be revised. It is also useful to continue to think in terms of the sustainability maturity curve, continually reassessing where the organization is along the curve and considering what next steps would move the organization further up the curve.

Critical to this step is having an infrastructure and process in place to provide the entire organization with a clear sense of progress achieved, victories won, and next steps needed.

Philanthropy and Volunteerism in Corporate Social Responsibility

Ethical behavior may begin with the directive to “do no harm.” But being ethical also involves striving to do positive good. In traditional CSR, that ethical component had a tendency to remain far-removed from core corporate strategies. However, philanthropic efforts and employee volunteerism can become fully embedded components of a comprehensive CSR strategy—and key HR initiatives. They can be integrated into all HR practices, from recruitment to engagement, and made a more visible and integrated part of leaders’ and employees’ work lives.

Philanthropy

Corporate philanthropy can take many forms—all of which can be strategically aligned with an organization’s CSR and business strategies:

- Organizations can simply make charitable donations to existing causes. The range of social and environmental charitable organizations makes it relatively easy to select causes that align with strategic goals.

- Larger organizations may form foundations to award grants or sponsorships to individuals or organizations. These scholarships can be related to the sponsors’ work—for

example, technology and automobile companies sponsoring scholarships for science, math, engineering, and design.

- Corporations may form strategic partnerships with nonprofit organizations. For example, environmental groups have formed strategic alliances with corporations around the globe aimed at promoting and ensuring sustainable farming and forest management, coastal protection, protecting indigenous peoples' rights and cultures, and more.

- An organization may create and manage its own entity to administer and provide a community, social, or environmental service. As part of its CSR strategic efforts to increase diversity in computer science, Google created and administered a "Made with Code" program. In alliance with other organizations, and working through groups such as Code.org, Girls Who Code, NCWIT, and Black Girls Code, the group provided introductory coding projects designed to engage girls in computer science.

Employee Volunteerism

As with philanthropic donations, direct involvement by employees in volunteer efforts can have considerable strategic benefits. In this case, there are the added benefits of improving employees'

engagement and motivation at work as well as their teamwork capabilities, leadership skills, and interpersonal skills.

In “HRM’s Role in Corporate Social and Environmental Sustainability,” the SHRM Foundation identifies four types of benefits that accrue to the volunteers themselves and to the organization for which they work:

- Individual benefits, which include the recognition employees receive and the skills they gain
- Team benefits, which include teamwork skills and the sense of camaraderie employees gain
- Organizational benefits, which include strengthening of the corporate culture
- Business benefits, which include an enhanced corporate reputation and strengthening of the brand

The SHRM Foundation document also describes a continuum of organizational involvement in employee volunteerism: from individual employee efforts without organizational support; to those efforts that are either supported, sponsored, or planned by the organization; or, finally, those that are fully integrated into the organization’s corporate strategy.

Global vs. Local Philanthropy/Volunteerism

As with other areas of organizational strategy, global organizations must determine whether they will use a global integration approach to strategic philanthropy and volunteerism (based on consistency, standardization, and a common corporate culture) or a local responsiveness approach (adapting to the needs of local markets and allowing subsidiaries to develop unique structures and systems). Exhibit 35 lists some key advantages that each approach provides.

Exhibit 35: Benefits of Standardized and Localized Philanthropy/Volunteerism Programs

Advantages of Globally Integrated Programs	Advantages of Locally Responsive Programs
• Fewer relationships and designees means lower operating costs. • Single focus offers opportunity for greater shared learning. • Dominant relationship with single cause may strengthen organization's brand and lessen appearance that organization is exploiting cause. • Favorite programs of local managers are less likely to be singled out for support. • Single focus may magnify effect of donations. • Risk to the organization from association with multiple, little-known causes is reduced.	• Local managers are better judges of local stakeholder demands. • Local stakeholders (both governments and consumers) may be influenced by local philanthropy. • Organization can create impact most needed by each country. • Competitors are less likely to copy organization's efforts. • Having multiple nonprofit partners diminishes donor fatigue. • Risk is spread out across nonprofit partners.

U.S. Employment Law & Regulations

U.S. Employment Law & Regulations refers to the knowledge and application of all relevant laws and regulations in the United States relating to employment—provisions that set the parameters and limitations for each HR functional area and for organizations overall.

This Functional Area is applicable only to examinees testing within the United States; examinees outside the U.S. will not be tested on this content. All laws and regulations referenced are subject to change.

Proficiency Indicators:

Proficiency indicators for **all HR professionals** include:

- Brokers internal or external legal services for the interpretation of employment laws.
- Coaches employees at all levels in understanding and avoiding illegal and noncompliant HR-related behaviors (examples include illegal terminations or discipline, unfair labor practices).
- Ensures that HR programs, practices, and policies align and comply with laws and regulations.
- Maintains a current working knowledge of relevant domestic and global employment laws.

Proficiency indicators for **advanced HR professionals** include:

- Educates and advises leadership on HR-related legal and regulatory compliance issues.
- Ensures that HR technologies facilitate compliance and reporting requirements (examples include tracking employee accident and safety reports).
- Establishes and monitors criteria for organizational compliance with laws and regulations.
- Maintains a current expert knowledge of relevant domestic and global employment laws.

- Oversees the fulfillment of compliance requirements for HR programs, practices, and policies.

Key Concepts:

- Compensation Examples: Davis-Bacon Act of 1931; Walsh-Healey Public Contracts Act of 1936; Fair Labor Standards Act of 1938 (FLSA; Wage-Hour Bill; Wagner-Connery Wages and Hours Act) and amendments including 2020 overtime rule; Equal Pay Act of 1963 (amending FLSA); McNamara-O'Hara Service Contract Act of 1965; Employee Retirement Income Security Act of 1974 (ERISA); Affordable Care Act's Break Time for Nursing Mothers (2010); Lilly Ledbetter Fair Pay Act of 2009; Ledbetter v. Goodyear Tire & Rubber Co. (2007).
- Employee relations Examples: National Labor Relations Act of 1935 (NLRA; Wagner Act; Wagner-Connery Labor Relations Act); Labor Management Relations Act of 1947 (LMRA; Taft-Hartley Act); Labor-Management Reporting and Disclosure Act of 1959 (LMRDA) and amendments; Electronic Communications Privacy Act of 1986 (ECPA); Worker Adjustment and Retraining Notification Act (WARN) of 1988; Employee Polygraph Protection Act of 1988;NLRB v. Weingarten (1975); Lechmere, Inc. v. NLRB (1992).

- Employment and Authorization to Work Examples: Immigration Reform and Control Act of 1986; Form I-9 and E-Verify; green cards and visa types (e.g., H1-B, F-1); employment at-will; background checks; Fair Credit Reporting Act of 1970 (FCRA); Deferred Action of Childhood Arrivals (DACA) policy
- Equal employment opportunity Examples: Civil Rights Acts of 1964, including Title VII; Executive Order 11246 (1965); Age Discrimination in Employment Act of 1967 (ADEA) and amendments; Equal Employment Opportunity Act of 1972; Rehabilitation Act of 1973, including sections 501 and 503; Vietnam Era Veterans' Readjustment Assistance Act of 1974 (VEVRAA); Uniform Guidelines on Employee Selection Procedures (1978) (29 CFR Part 1607); Pregnancy Discrimination Act of 1978 (PDA); Americans with Disabilities Act of 1990 (ADA) and amendments; Genetic Information Nondiscrimination Act of 2008 (GINA); Executive Order 13672 (2014); Griggs v. Duke Power Co. (1971); Phillips v. Martin Marietta Corp. (1971); McDonnell Douglas Corp. v. Green (1973).
- Job safety and health Examples: Occupational Safety and Health Act of 1970; Drug-Free Workplace Act of 1988; Health Insurance Portability and Accountability Act of 1996 (HIPAA); Guidelines on Sexual Harassment; Workers' Compensation.

- Leave and benefits Examples: Consolidated Omnibus Budget Reconciliation Act (COBRA) of 1985; Family and Medical Leave Act of 1993 (FMLA; expanded 2008, 2010); Uniformed Services Employment and Reemployment Rights Act of 1994 (USERRA); Patient Protection and Affordable Care Act (ACA; “Obamacare”); including rules for breaks and lactation rooms for nursing mothers; Americans with Disabilities Act of 1990 (ADA) and amendments, including leave as a reasonable accommodation; Defense of Marriage Act (DOMA; overruled in 2013); EEOC v. Verizon settlement (2011); National Federation of Independent Business v. Sebelius (2012).
- Miscellaneous protection laws Examples: Drug screening, medical marijuana

U.S. Employment Law & Regulations

It is the responsibility of HR leadership and HR professionals to stay up to date on laws dealing with compliance, discrimination, compensation, leave and benefits, health and safety, labor, and any other applicable areas and to work to ensure that the organization’s policies and procedures conform to the laws. This may mean working regularly with internal or external legal counsel.

HR and the Legislative and Regulatory Environment

Proficiency indicators related to this section include:

- Maintains a current working knowledge of relevant domestic and global employment laws.
- Maintains a current expert knowledge of relevant domestic and global employment laws.

HR and the Legislative and Regulatory Environment

Employment is a highly legislated and regulated part of the economy. While laws establish goals and general frameworks, many laws are actually implemented through regulations that define specific requirements for employers. Compliance requirements follow different levels of government (for example, federal versus municipal).

Competency Connection

Workplace conflicts create complex challenges for legal compliance, and knowledge of laws and regulations may not be enough to help HR professionals untangle statements and emotions and do what is right for the organization. The HR professional in this scenario demonstrated familiarity with the relevant legal issues but also Analytical Aptitude in gathering and analyzing evidence and maintaining a neutral position, Relationship Management in addressing conflicts with employees, and Leadership & Navigation in guiding and collaborating with the HR team and the organization's supervisors.

A supervisor in a residential community mental health center sent a text asking to meet with a staff member prior to his shift. The supervisor wanted to discuss a grievance brought forth by a client. To the supervisor’s surprise, the staff member responded by filing a hostile work environment claim against a coworker.

The supervisor pulled the staff member from the schedule to ensure her safety, but the staff member accused the supervisor of retaliating against her for filing a claim and threatened to contact a lawyer. The supervisor wisely called HR.

The HR director immediately set up a meeting with both the staff member and the supervisor and made it clear that they were facing two separate issues: the hostile work environment claim and the client grievance. The HR director assured the staff member that the organization took hostile work environment claims seriously and would perform its due diligence in investigating the claim. The organization, the director explained to the staff member, also took client grievances very seriously, and this complaint would also be investigated thoroughly.

The HR director placed both the staff member and the coworker accused of creating a hostile work environment on paid administrative leave. With the support of the supervisor, HR conducted a thorough investigation of the harassment claim and the

client grievance, interviewing the parties involved and all possible witnesses and documenting their findings.

It was difficult to find merit in the claim of harassment, but the coworker agreed to move to another area in the agency. HR found that the client grievance did have merit, and the staff member's behavior put the agency at risk of noncompliance with state regulations. The infraction was severe and, according to the agency's code of conduct, was grounds for immediate dismissal. The staff member was terminated.

Sources of Law

Legal protections come from a variety of sources. Statutes are enacted by legislatures, and rules designed to implement and interpret statutes are promulgated by administrative agencies. These materials will focus on sources at the federal level, including the following:

- **The Constitution.** The Constitution is the highest law in the country and the foundation on which all U.S. law has been built.
- **Statutes.** Statutes refer to actions passed by legislative bodies, such as Congress and state legislatures, and by local government units, such as cities and counties.

- **Regulations.** Regulations are proposed, adopted, and enforced by administrative agencies to whom government units have delegated specific rule-making authority. Regulations reflect how laws will be implemented and often have the force of law.

- **Agency guidelines.** Administrative agencies may also issue guidelines that interpret how laws and regulations will be enforced. Such agency guidance includes agency interpretations, policy statements, letters, and advisory materials to supplement or explain regulations and statutes.

- **Executive orders.** An executive order is a directive by the chief executive of a governmental unit (for example, the President of the United States) telling that governmental unit how it will act or interact with members of its community.

- **Common law.** Common law is based on court decisions, rather than statutory law, and is recognized on the federal level and in whole or in part in nearly all states. Those court decisions are often referred to as precedent.

How do all the legal protections intersect and apply to HR? Consider the requirements associated with employing persons with disabilities, including those requirements found in the Americans with Disabilities Act (ADA) of 1990 and the ADA Amendments Act

(ADAAA) of 2008. Congress charged the Equal Employment Opportunity Commission (EEOC) with the responsibility of enforcement of the ADA. The EEOC has issued regulations regarding the ADA and other fairness issues, such as record keeping and complaint-resolution procedures. The EEOC has also issued guidelines to help employers understand how to apply the reasonable accommodation requirement in the workplace.

Other administrative agencies, such as the Occupational Safety and Health Administration (OSHA) and the National Labor Relations Board (NLRB), exercise great influence on how organizations manage their work environments. It is critical that human resource professionals stay current in the activities of these and other agencies to ensure compliance with changing regulations for their organizations.

Organizational Compliance with Laws and Regulations

Proficiency indicators related to this section include:

- Brokers internal or external legal services for the interpretation of employment laws.
- Ensures that HR programs, practices, and policies align and comply with laws and regulations.
- Maintains a current working knowledge of relevant domestic and global employment laws.
- Educates and advises leadership on HR-related legal and regulatory compliance issues.
- Ensures that HR technologies facilitate compliance and reporting requirements (examples include tracking employee accident and safety reports).
- Establishes and monitors criteria for organizational compliance with laws and regulations.
- Maintains a current expert knowledge of relevant domestic and global employment laws.
- Oversees the fulfillment of compliance requirements for HR programs, practices, and policies.

Organizational Compliance with Laws and Regulations

Organizations must ensure that they comply with employment laws and regulations and that they are legally protected and able to respond to employee and regulatory agency claims.

Competency Connection

Especially when legal compliance is at stake, it is imperative that HR practitioners communicate their message clearly and emphatically, as shown in this case.

Downsizing at a faltering company was imminent. During a meeting of the executive management team, the chief operating officer (COO) asked the HR senior vice president (HR SVP) to oversee a reduction in force (RIF) of 60 employees. The COO also inquired if they qualified for a Worker Adjustment and Retraining Notification (WARN) Act exception. The HR SVP told the COO that HR could manage a variety of RIF-related issues (such as potential attendance and morale issues) but that legal counsel must be involved to ensure WARN compliance.

In this exchange, the HR SVP (who was not an attorney and was not functioning in an attorney capacity) recognized that HR could not

render legal advice and diplomatically explained that to the COO and other members of the management team. It was not the answer the team wanted, but the HR SVP explained the potential economic risks to the company of violating the act through a misunderstanding of its requirements. The HR SVP demonstrated Leadership & Navigation, Business Acumen, and Consultation in helping the management team see its interests more clearly.

Impact of the Law

From a legal perspective, there are things every business should have in place to be compliant and to prevent potential liabilities and employee lawsuits. These include but are not limited to items such as:

- Workplace policies, procedures, and training programs.
- Workplace posters.
- New-employee orientation to explain and clarify policies.
- Workers' compensation insurance as required by state law.
- Proper withholding of taxes from employee pay.
- Paychecks delivered in accordance with the law.
- Compliance training that educates employees and managers on how to comply with the law.
- An organizational code of conduct that reflects the organization's values and complies with applicable laws and

communication of the code throughout the organization.

- Provisions to protect employees who report discriminatory employment practices or participate in an investigation of a discriminatory employment practice (for example, an organizational compliance hotline to report such practices).

Managing Compliance Risks

The costs of employment-related litigation are far-reaching. Consider but a few examples of the potential consequences:

- Negative impact on the organization's bottom line
- Poor employee morale
- Decreased employee productivity
- Damage to the employment brand and reputation

HR may pursue any number of options to reduce compliance risk and avoid litigation. Securing the advice and services of appropriate legal counsel (whether internal or external) is one example of a prudent HR practice. Another is employment practices liability insurance.

Implementing Legal Services

Depending on the specific organizational need, legal counsel—internal or external—should be experienced in the relevant area of

employment law required (for example, workplace discrimination warrants legal expertise in handling discrimination claims or workers' compensation decisions necessitate legal counsel versed in the administrative procedures involved in workers' compensation law).

At a base level, HR needs to have a current working knowledge of relevant employment law and the potential implications of noncompliance. HR must also recognize when involvement of legal counsel may be necessary.

Two key ways HR can do this are noted below.

- **Consult with the organization's attorney to prepare for complaints.** With the attorney, HR can review likely scenarios and develop appropriate processes that ensure a prompt, consistent, and legally safe response.
- **Deliver training related to litigation responsibilities.** Improper communication and document handling can have severe repercussions for the organization. Training can suggest ways to preempt litigation by recognizing and responding to employee complaints fairly, promptly, and thoroughly.

Employment Practices Liability Insurance

Employment practices liability insurance (EPLI) is a type of liability insurance covering an organization against claims by employees, former employees, and employment candidates alleging that their legal rights in the employment relationship have been violated.

The purpose of an EPLI policy is to protect a business against the risk of heavy financial losses resulting from employment claims and lawsuits. Essentially, EPLI transfers the risk of losses associated with employment litigation during the entire employment life cycle, from recruiting through termination, to an insurance carrier.

EPLI is typically structured as gap insurance for the company. It covers such things as discrimination, sexual or other forms of unlawful harassment, breach of contract, and wrongful discharge suits, which usually are not covered by general business liability insurance. Directors' and officers' liability insurance just protects the individual and not the company itself. EPLI is most commonly designed to fill this gap in coverage.

HR Compliance Checklists

Key Content

If an organization has legitimate concerns that an HR

audit may reveal organizational noncompliance with employment laws and regulations, the organization should follow strict audit procedures and protocols and consider hiring outside legal counsel to conduct the audit.

HR professionals typically use compliance checklists to prepare for an HR compliance audit. While some organizations and administrative agencies must undergo formal and regularly scheduled audits by an external auditor (such as for regulatory compliance), any business—small or large—can benefit from conducting their own internal compliance audits of functions integral to their operations.

Using a compliance checklist to prepare for an HR compliance audit (internal or external) can effectively help to:

- Keep the organization compliant with employment laws and regulations.
- Prevent potential liabilities and employee lawsuits.
- Ensure that business operations are generating results and supporting the organization’s brand.

Key Content

When using audit checklists or other such tools, you should keep in mind that, during a compliance audit, an administrative agency may be more or less rigorous in its efforts (for example, request fewer documents or request additional documents beyond those on the checklist), depending on the scope of the audit.

Checklists and other resources are a good starting point to help an organization assess basic compliance. But such resources are guides only and not a definitive source to determine if appropriate human resource practices are in place and if the organization is 100%-compliant with laws and regulations.

Attorney-Client Privilege and Discoverability

HR professionals should be aware of the importance and limits of attorney-client privilege. A discussion between a client and an attorney related to securing legal advice is considered “privileged and confidential” and is not subject to the discovery process (in which each party learns the facts about the other side’s case)—within certain limits. Some activities that are performed by HR during

the process of litigation may be covered by the attorney work product privilege where those activities are specifically directed by the attorney. Privilege does not extend in most areas to a discussion for the purpose of committing a crime or civil tort including fraud.

HR Involvement in Litigation Process

In spite of the actions an employer takes to promote positive employment practices, some situations lead to employment-related litigation. HR professionals often work directly with the employer's attorney—attending depositions and gathering information necessary to respond to the plaintiff's allegations and requests from the court or investigating agency, protecting evidence, attending meetings with agencies and plaintiff-employees, and testifying in court. They may also work with attorneys to craft preemptive settlements or implement ordered remedies—which can include (but are not limited to) reinstatement, promotion, remedial training, injunctive relief, or damages.

Employment and Authorization to Work

Proficiency indicators related to this section include:

- Coaches employees at all levels in understanding and avoiding illegal and noncompliant HR-related behaviors (examples include illegal terminations or discipline, unfair labor practices).

Key concepts related to this section include:

- Employment and Authorization to Work Examples: Immigration Reform and Control Act of 1986; Form I-9 and E-Verify; green cards and visa types (e.g., H1-B, F-1); employment at-will; background checks; Fair Credit Reporting Act of 1970 (FCRA); Deferred Action of Childhood Arrivals (DACA) policy

Employment and Authorization to Work

Organizations must ensure that their employees are legally allowed to work in the United States but may be limited in their pursuit of other background information on employees. Applicable laws and regulations include the Immigration Reform and Control Act, those governing visa types/green cards and employment at-will, the Deferred Action of Childhood Arrivals (DACA) policy, and the Fair Credit Reporting Act and Fair and Accurate Credit Transactions Act.

Immigration Reform and Control Act

Key Content

The **Immigration Reform and Control Act (IRCA)** of 1986 is designed to accomplish two somewhat divergent purposes. IRCA prohibits discrimination against job applicants on the basis of national origin or citizenship and, at the same time, establishes penalties for hiring undocumented workers, with certain exceptions.

Employers who hire someone who is not entitled to work in this country face civil and/or criminal penalties.

IRCA is enforced by U.S. Citizenship and Immigration Services (USCIS), a special branch of the Department of Homeland Security (DHS).

The burden of verifying that a new employee is eligible to work in the U.S. falls on the employer. Generally, on the first day of employment, the new hire must fill out Section One of Form I-9, Eligibility Verification Form, which is kept in the employer's files. The employer must complete Section Two no later than the third day the employee is at work. Form I-9 verifies two facts about the employee: identity and right to work in the U.S. While not required, USCIS recommends that the form be kept separate from other employee records.

The employee selects which document(s) he or she wishes to present as part of the I-9 verification process; the employer may not specify which documents must be presented. Employers generally may not accept expired documents. In limited circumstances, a document that is expired on its face may be accepted along with other evidence of work authorization.

E-Verify

E-Verify is an Internet-based verification system operated by the USCIS in partnership with the Social Security Administration. The system allows employers to verify the employment eligibility of their employees regardless of citizenship. E-Verify electronically checks the information provided by the employee on his or her Form I-9 against records contained in Department of Homeland Security and Social Security Administration databases.

While participation in E-Verify is voluntary for most businesses, some companies may be required by state law or federal regulations to use it. Additionally, an executive order requires that federal contractors use E-Verify to check the employment eligibility of employees.

Green Cards and Visa Types

Visas can generally be broken into two groups: immigrant and nonimmigrant.

The underlying theme of U.S. immigration law is to ensure that:

- Those individuals who enter the United States do so lawfully.
- Those individuals who reside and work in the United States, whether permanently or temporarily, do so with the approval

and knowledge of the United States government.

Two categories of visas are available under the immigration laws. They are broadly grouped as immigrant visas and nonimmigrant visas. Immigrant visas are typically referred to as “green cards” and are permanent, while nonimmigrant visas are temporary. Each type of visa has specific employment conditions and requirements. The sometimes complex paperwork for bringing in foreign workers is usually handled by human resources with the assistance of experienced immigration counsel.

Immigrant Visas

There are three key employment-based immigrant visa categories, divided into preference groups based on their importance (which includes considerations such as ability or skill relative to their field and work position) and the number of visas allocated to each group annually.

- First preference—Priority Workers: EB-1. Employers do not need to test the U.S. labor market (or file a labor certification application) to determine that there are no minimally qualified U.S. workers for these jobs.

- Second preference: EB-2. In most cases for this category, employers must test the U.S. labor market through a labor

certification application to determine whether there are minimally qualified U.S. workers for the position. Foreign nationals in this category are required to have a job offer. The job must require at least a master's degree or equivalent.

- Third preference: EB-3. This category is for jobs that require at least a bachelor's degree or skilled worker positions that require at least two years of training or experience. (A small number of EB-3 immigrant visas are available to unskilled workers.) Employers are required to complete the labor certification process for people in the EB-3 category.

Nonimmigrant Visas

Nonimmigrant visas are available to aliens who want to come to the U.S. for a temporary period of time. Some of the nonimmigrant visas that are typically used by organizations are described in Exhibit 36.

Exhibit 36: Common Nonimmigrant Business Visas

Nonimmigrant Visa Categories	Key Provisions
Business Visitor: B-1	Business visitors may be permitted to enter the United States for the purpose of engaging in business activities (including but not limited to attending meetings, seminars, or conferences or negotiating contracts) but may not be gainfully employed by a U.S. organization.

Nonimmigrant Visa Categories	Key Provisions
Specialty Occupation Workers: H-1B	This visa is reserved for professionals (including but not limited to engineers, computer scientists, biotechnologists, university professors, marketers, and health-care professionals) who come to the U.S. for a limited amount of time. The alien must have a baccalaureate degree (a foreign equivalent or equivalent experience may also be acceptable), and the degree must be a usual requirement for the position. H-1B workers must be paid at least the same wage rates as are paid to U.S. workers who perform the same types of work or the prevailing wages in the areas of intended employment. This category is subject to yearly numerical limitations imposed by the USCIS.
Intracompany Transferee: L-1	Aliens who work for a foreign employer and are transferred to the U.S. to work for a parent, subsidiary, or affiliate organization qualify for L-1 visas if they have held a specialized knowledge, management, or executive position during one of the last three years before entering the U.S.
Treaty Investors and Traders: E-1 and E-2	These visas are reserved for aliens in countries with which the U.S. has commerce, navigation, and investment treaties. These aliens come into the U.S. to work for companies based in their home country that are investing or trading in the U.S.
Australian Free Trade/Specialty Occupation Workers: E-3	This category is specific to Australian citizens and applies generally to positions very similar to those covered by the H-1B visa category.
Students: F-1	These visas are reserved for full-time university, college, high school, or elementary students who study at a school approved by the USCIS. Generally, prior to graduation students must not accept employment, except for on-campus employment and employment directly related to their curriculum.

Nonimmigrant Visa Categories	Key Provisions
Exchange Visitors: J-1	J-1 visas apply to aliens in government-approved exchange visitor programs. These visas are managed by the Department of State.
North American Free Trade Agreement (NAFTA): TN	TN visas are available only to citizens of Canada and Mexico whose occupations appear on a NAFTA schedule and who have the necessary education or experience.
O Visas	O visas are temporary visas available for persons of extraordinary ability in the arts, sciences, education, business, or athletics that has been demonstrated by sustained national or international acclaim.
Q Visas	Q visas are used by cultural exchange visitors who come to the U.S. to work temporarily.

H-1B Nonimmigrant Work Visa

Let’s take a closer look at the H-1B visa. As noted above, H-1Bs are temporary work visas by which employers hire and retain highly skilled foreign workers, usually those working in specialty occupations that require theoretical or technical expertise in specialized fields. Individuals cannot apply for an H1-B visa; the U.S. employer must petition for entry of the employee. H-1B petitions are submitted by employers based on their need for a non-U.S.-resident employee in a professional-level position that requires at least a bachelor’s degree or equivalent. The U.S. government only issues a set number of these each year.

H-1B Application Process and Documentation

Sponsoring an H-1B nonimmigrant requires specific application steps and documentation. Approval of a Labor Condition Application (LCA) is an essential preliminary to the H-1B petition itself. While the myriad additional steps and H-1B documentation are beyond the scope of this discussion, the key requirements are:

- To pay the H-1B worker at least the higher of the wage paid to similar workers in the same organization or the “prevailing wage” (as determined by the U.S. Department of Labor) for the occupation in the area in which the worker will be employed.
- To ensure that the recruitment of the H-1B nonimmigrant will not adversely affect the conditions of the employer’s U.S.-resident employees in similar jobs.
- To ensure that there is no strike or lockout occurring at the time the LCA is submitted and that the approved LCA will not be used to support petitions for H-1B aliens to be employed at the site of any subsequent strike or lockout.
- To give the H-1B worker and the bargaining representative of employees in similar occupations a copy of the LCA form. (If there is no bargaining representative, the LCA must be posted in two conspicuous locations for at least ten days in the location in which the H-1B alien will be working.)
- To maintain records of the LCA and the H-1B alien’s employment for inspection by the U.S. Department of Labor.

Before initiating the H-1B application process, organizations considering H-1B employees must make “good-faith” attempts to recruit resident U.S. workers using “procedures that meet industry-wide standards” and “offering compensation at least as great as that offered to the H-1B alien.”

H-1B Period of Stay

H-1B nonimmigrants may be admitted for a period of up to three years. The time period may be extended but generally cannot go beyond a total of six years. If the H-1B employee is sponsored for a green card, his or her stay might be extended beyond six years under certain conditions.

Employers are liable for the reasonable costs of return transportation if the nonimmigrant employee is terminated before the end of the authorized stay. For example, an organization would be required to pay reasonable costs that an employee incurs in moving himself or herself and personal effects back to his or her last foreign residence. An employer is not responsible for the costs of return transportation if the employee voluntarily resigns his or her position.

Deferred Action of Childhood Arrivals (DACA) Policy

The Deferred Action of Childhood Arrivals (DACA) policy allows certain individuals to delay removal from the United States and provides them with work authorization while complying with DACA rules.

In 2012, the Department of Homeland Security announced a program allowing certain people who came to the United States as children to request deferred action with regard to deportation for a period of two years, subject to renewal. This program also provided eligibility for work authorization but stopped short of providing lawful status.

Due to the renewal requirements, organizations must be aware of employees who have been authorized to work under DACA. If an employees' Employment Authorization Document (EAD) expires, an organization can no longer employ the employee in question, unless they have found another way to obtain work authorization. The USCIS will periodically issue new guidance for organizations to follow, such as its move to allow use of an special exception notice for reverification purposes due to the COVID-19 pandemic.

Employment at-Will

In the U.S., unlike other countries, most employees work on an at-will basis. Employment at-will is not a federal law but a principle derived from common law (judgments rendered by various courts). It has, however, been restricted by statutory actions at the state level.

The principle of **employment at-will (EAW)** means that employers have the right at any time, with or without prior notice, to hire, fire, demote, or promote whomever they choose for no reason or any reason. Similarly, employees have the right to quit a job at any time for any reason, with or without prior notice. The concept of employment at-will is usually reinforced in employee handbooks and is included in other employment documents such as offer and acceptance letters as well as performance management documents. This includes documents related to disciplinary matters.

Statutory law and judicial decisions have stepped in to define certain protections for both the employer and the employee. These exemptions are recognized on a state level. The most widely recognized exemptions include the following.

- **Public policy exemptions.** Employees may not be fired without cause if this would violate state or federal laws. Terminations that can be proven to be in violation of a federal antidiscrimination law (such as the Americans with Disabilities Act) would not be protected under the at-will doctrine. For

example, an employee cannot be fired for talking to other employees about work conditions, forming a union, or whistleblowing, which are protected activities.

- **Implied contract exemptions.** Implied (not written) contracts are difficult to prove but can be created through certain employer actions, promises, or statements made by individuals or the organization as a whole. For example, promises in an employee handbook that employees will be fired only for good cause may be interpreted as an implied contract.

- **Covenant of good faith and fair dealing exemption.** This applies in only a few states. It restricts actions that are seen as unjust or malicious.

In general, in the U.S. employment contracts are offered only to high-value employees, such as high-level and key personnel (for example, those involved in creating strategy and products). In these cases, the costs of filling positions might be very high. Contracts may also be used to attract talent with special provisions or to restrict employees' ability to use confidential information.

Fair Credit Reporting Act and Fair and Accurate Credit Transactions Act

Fair Credit Reporting Act

Key Content

The **Fair Credit Reporting Act (FCRA)** of 1970 regulates the collection and use of consumer credit information. The FCRA's purpose is to protect the privacy of background information and to ensure that the information supplied is accurate. FCRA calls for full disclosure of consumer reports (including credit reports, criminal background checks, motor vehicle history, employment verifications, and reference checks) by consumer reporting agencies (CRAs) so that individuals subject to them can dispute the accuracy, wrongful use, or interpretation of the information.

The legal obligations that the FCRA imposes on CRAs did not apply to employers at the law's inception. A 1999 memorandum, however, did extend the compliance requirement to employers who use a third party (CRA) to pull credit consumer reports, run criminal background checks, or conduct detailed background checks on applicants, employees, and independent contractors. This requirement was addressed in the Fair and

Accurate Credit Transactions Act (FACT Act) of 2003, which is discussed below.

Where an employer obtains a consumer report (broadly defined) for employment purposes, the following FCRA provisions generally apply (depending on, among other factors, when in the process the report is requested).

- **Written notice and authorization.** An employer must clearly and conspicuously notify the individual in writing, in a document consisting *solely* of that notice, that a report may be used. The notice cannot be incorporated into an employment application. With limited exceptions, the employer must also get the person's written authorization before asking a CRA for a report. (See the discussion of the FACT Act below.)

- **Pre-adverse action.** If an employer decides not to hire an applicant or to take some other adverse action with regard to a current employee based in whole or in part on the consumer report, the applicant or employee must be provided with a copy of the report and given "a reasonable period of time" to present evidence challenging the information contained in the report.

- **Adverse action procedures.** After the employer has taken adverse action based in whole or in part on the consumer report (as well as any information that the individual submitted in response to the pre-adverse action notice), the employer must give the applicant or employee notice that such action has been taken. FCRA provisions stipulate several inclusion requirements regarding this notification.

- **Certifications to credit bureaus.** Credit bureaus will require employers to certify that they are in compliance with the FCRA and that they will not misuse any information in the report in violation of federal or state laws.

- **Penalties.** Plaintiffs who prove willful noncompliance with the act can recover actual damages (between $100 and $1,000), punitive damages, and costs—including attorneys' fees. Negligent noncompliance subjects an employer to actual damages, costs, and attorneys' fees.

Amendment to FCRA—FACT

Since April 1999, the Federal Trade Commission, which oversees implementation of the FCRA, had taken the position that the FCRA consent and disclosure requirements were triggered when a third party such as a law firm or outside human resources consultant

conducted a workplace misconduct investigation on behalf of an employer. Under this interpretation, an employer was required to obtain the consent of an employee under investigation for alleged misconduct *prior to* the investigation.

Key Content

The **Fair and Accurate Credit Transactions Act (FACT Act)** of 2003 amends the Fair Credit Reporting Act and provides some relief to employers using third parties to conduct workplace investigations. Under the FACT Act, an employer who uses a third party to conduct a workplace investigation no longer needs to follow the consent and disclosure requirements of the FCRA before commencing the investigation if the investigation involves suspected misconduct, a violation of law or regulations, or a violation of any pre-existing written policies of the employer.

The amendment frees employers to hire outside consultants, investigators, or law firms to investigate and report on a variety of workplace issues without first notifying targets of the investigation or

obtaining their consent. However, the employer must subsequently disclose to the employee a “summary construing the nature and substance of the communication upon which any adverse action is based.” The employer need not disclose its source of information in the summary.

The FACT Act also requires employers requesting medical information about an applicant or employee to obtain a *specific* written consent describing in “clear and conspicuous language” the use of the information.

Finally, the FACT Act has issued directives aimed at uncovering and preventing incidents of identity theft or unauthorized use of the information, including specific disposal rules.

The Dodd-Frank Wall Street Reform and Consumer Protection Act amended the FCRA in 2011. Employers who take adverse action against a prospective or current employee or an independent contractor based on information contained in the individual’s consumer report have additional disclosures to make to the affected individual.

Based on the Dodd-Frank amendment, whenever any adverse action is taken against an individual, either partly or wholly because of information contained in a consumer report, the employer must

provide the individual with oral, written, or electronic notice of the adverse action as well as specific credit score information used and the name of the consumer reporting agency or person that furnished the credit score.

Equal Employment Opportunity

Proficiency indicators related to this section include:

- Coaches employees at all levels in understanding and avoiding illegal and noncompliant HR-related behaviors (examples include illegal terminations or discipline, unfair labor practices).

Key concepts related to this section include:

- Equal employment opportunity Examples: Civil Rights Acts of 1964, including Title VII; Executive Order 11246 (1965); Age Discrimination in Employment Act of 1967 (ADEA) and amendments; Equal Employment Opportunity Act of 1972; Rehabilitation Act of 1973, including sections 501 and 503; Vietnam Era Veterans' Readjustment Assistance Act of 1974 (VEVRAA); Uniform Guidelines on Employee Selection Procedures (1978) (29 CFR Part 1607); Pregnancy Discrimination Act of 1978 (PDA); Americans with Disabilities Act of 1990 (ADA) and amendments; Genetic Information Nondiscrimination Act of 2008 (GINA); Executive Order 13672 (2014); Griggs v. Duke Power Co. (1971); Phillips v. Martin Marietta Corp. (1971); McDonnell Douglas Corp. v. Green (1973).

Equal Employment Opportunity

Several core principles underlie the concept of equal employment opportunity (EEO), including protected classes, disparate treatment and disparate impact, and quid pro quo and hostile environment harassment. Key laws include Title VII of the Civil Rights Act of 1964, the Equal Opportunities Act of 1972, the Age Discrimination in Employment Act, the Genetic Information Nondiscrimination Act (GINA) of 2008, and the Americans with Disabilities Act.

Competency Connection

An employee in a mid-sized technology company approached an HR manager and requested a reasonable accommodation in order to bring his psychiatric service dog to work with him. He had medical documentation of generalized anxiety disorder, panic disorder, and chronic depression. The dog was trained to perform tasks that alleviated the symptoms connected to the employee's disabilities. The employee indicated that the symptoms and issues created by his disabilities had begun to greatly affect his ability to perform effectively at work and that having his service dog with him significantly helped to remove those barriers. In addition, the animal relieved the employee's psychological pain.

The HR professional treated the situation just like any other accommodation request. She asked the following questions:

- Does the accommodation create any safety concerns?
- Are there alternatives? For example, are there tasks or work environments that trigger the employee's disorders? If so, could they be eliminated from the work environment?
- Is there appropriate medical documentation to support the need?

Once it was determined that the service dog was permitted as a reasonable accommodation, the HR professional drafted a written agreement with the employee. This document set ground rules for appropriate animal behavior (like remaining leashed and issues with barking) and for the cleanliness of the animal and where it was to relieve itself, and it stated that the employee would bear the costs of any repairs or cleaning. This document also indicated that the accommodation was approved on a "trial" basis and would undergo ongoing evaluation.

When asked by employees why this employee had a "pet" at work, the HR professional simply noted that the employee would be accompanied by the animal and that they were not to interact with the animal. The employee could choose whether to disclose the purpose of the animal. Additionally, the HR professional had to

review any issues that came about from individuals claiming they had pet allergies and couldn't work in the cubicle next to the employee or were afraid of dogs.

The HR professional's knowledge of the Americans with Disabilities Act and reasonable accommodation standards helped her navigate through this situation, but she also applied her HR competencies to the situation. She used Analytical Aptitude to analyze the situation thoroughly. Using her Communication, Ethical Practice, and Relationship Management competencies, she ensured that all communications were appropriate, ethical, and empathetic to the employee's condition and was able to negotiate conditions with the employee making the request and affected coworkers.

The Concept of Equal Employment Opportunity

The basic premise of antidiscrimination legislation over the past five decades is that employers should not make employment decisions on the basis of an applicant's or employee's race, sex (including pregnancy), ethnicity, national origin, citizenship, religion, age, color, military/veteran status, genetic information, Family and Medical Leave entitlement, disability status, sexual orientation, gender identity, gender expression, and other factors. Rather, employment

decisions—including hiring, work assignments, compensation, promotions, progressive discipline and corrective action, and terminations—must be job-related and consistent with business necessity.

Protected Classes

Within the context of equal employment opportunity, the term **protected class** describes people who are covered under a particular federal, state, or local antidiscrimination law. Individuals may be protected based on their actual membership in a protected class, if they are perceived to be a member of a protected class (even if that perception is wrong), or based upon the protected class of a person with whom the individual associates.

Recognizing Discrimination

There are two primary types of discrimination: disparate treatment and disparate impact. Discrimination may also occur when employers perpetuate certain types of past policies or practices.

Disparate treatment discrimination occurs when an applicant or employee is treated differently because of his or her membership in a protected class.

Examples:

- National origin: A manager always screens out applicants who appear to be of Middle Eastern heritage.
- Sex: An employer has different entry requirements for women than for men.
- Race: Caucasian employees who violate organizational policy are not disciplined, but African-American employees who violate the same policy are disciplined.

Disparate impact (or **adverse impact**) results when a policy that appears to be neutral has a discriminatory effect.

Examples:

- An organization has nonessential education requirements for certain jobs that impact minority groups who have been limited in their access to educational opportunities.
- An organization hires only high-school graduates for custodial positions.

Disparate impact is usually unintentional. HR professionals need to look carefully at how job qualification criteria and tests are applied and used to make certain that they do not intentionally or unintentionally have a disparate impact.

Exhibit 37 compares disparate treatment and disparate impact.

Exhibit 37: Disparate Treatment and Disparate Impact

Compared

Disparate Treatment	Disparate Impact
Direct discrimination	Indirect discrimination
Unequal treatment	Unequal consequences or results
Intentional	Usually unintentional
Prejudiced actions	Neutral actions
Different standards	Same standards but different consequences

EEOC Complaint Process

In cases of alleged discrimination, an individual must first file an administrative charge with the Equal Employment Opportunity Commission (EEOC), which is the federal agency responsible for enforcing antidiscrimination laws, or with the state agency responsible for handling such charges.

Key Content

The EEOC has field offices nationwide. Charging parties who believe that they have been discriminated against can file a charge in any field office.

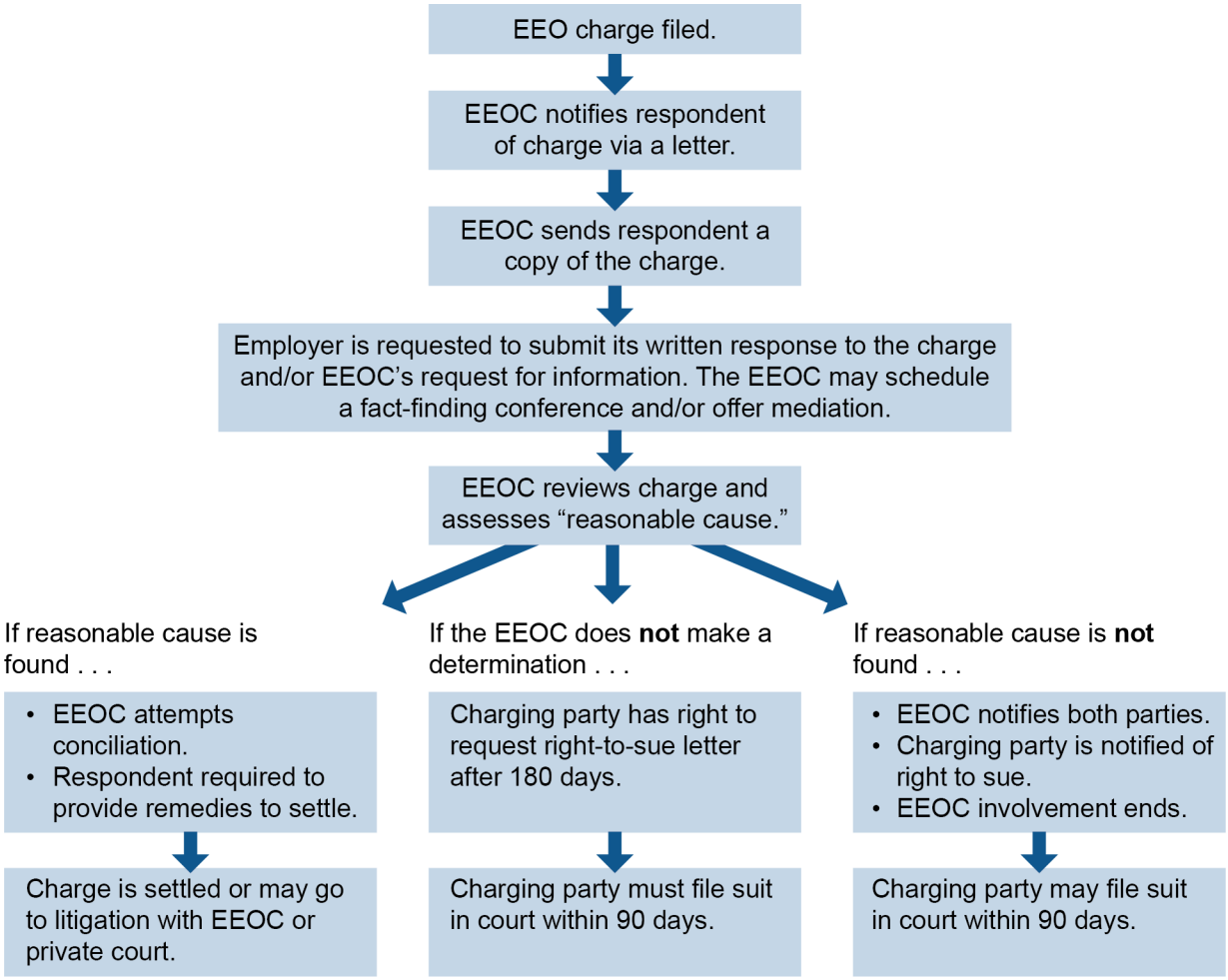
As a general rule, a claim under Title VII of the 1964 Civil Rights Act must be filed within 180 days after the commission of the alleged discriminatory practice. However, an exception to the 180-day rule is provided in states and localities that have their own agencies that process and/or investigate charges of discrimination. In these states and localities (referred to as deferral states), a charge of discrimination may be filed with the EEOC within 300 days of the alleged discriminatory conduct. The state agency must be given the opportunity to investigate and/or close its file prior to the expiration of the 300 days.

To handle the growing number of complaints filed in recent years, the EEOC has instituted a system of prioritizing them. Depending upon the initial priority assessment, the EEOC may ask an employer to initiate a mediation process with the charging party (if this has not already been done) before formally investigating the complaint.

HR professionals should be aware of the process used for complaints to the EEOC since they may be directly involved in gathering information, working with attorneys, and negotiating remedies. The employer has certain rights and obligations, including time frames for action.

The flow of the EEOC process for discrimination charges is shown in Exhibit 38.

Exhibit 38: EEOC Complaint Process



Retaliation

HR should also remind involved managers and supervisors that, under Title VII of the Civil Rights Act, the National Labor Relations Act, the Fair Labor Standards Act, the Occupational Safety and Health Act, the Uniformed Services Employment and Reemployment Rights Act, and other statutes, employers are prohibited from retaliating against employees engaged in "protected activities."

A protected activity includes actions such as filing a complaint, threatening to file a complaint, refusing to obey an order that can be reasonably believed to be discriminatory or unsafe, engaging in concerted activity with other employees to obtain changes in employment terms or conditions, or picketing to protest the terms and/or conditions of employment.

Acts of retaliation can be any adverse employment action that is taken because of the employee's engagement in a protected activity, including:

- Firing, demoting, or disciplining the employee or treating the employee in a discriminatory manner.
- Threatening action against the employee.
- Criticizing the employee.
- Discussing the complaint with the employee.
- Discussing the complaint and the employee with any external parties.
- Discussing the complaint and the employee with any internal parties that do not have a business "need to know."

Title VII of the Civil Rights Act of 1964, Amendments, and Cases

Key Content

The cornerstone of federal antidiscrimination legislation is the **Civil Rights Act of 1964 .** This landmark piece of U.S. legislation was the nation's first comprehensive federal law making it unlawful to discriminate in employment on the basis of race, color, religion, sex, or national origin. Now, under various statutes, there are a number of additional federally protected classes. Title VII of the Civil Rights Act was passed to bring about equality in hiring, transfers, promotions, compensation, access to training, and other employment-related decisions.

Title VII of the Civil Rights Act

It is critical to understand the following terms, which are embedded in Title VII legislation.

National origin refers to the country—including those that no longer exist—of one's birth or of one's ancestors' birth. "National origin" and "ethnicity" often are used interchangeably, although an "ethnic group" can refer to religion or color as well as the country of one's ancestry.

Race discrimination involves treating someone (an applicant or employee) differently because he or she is of a certain race or because of personal characteristics associated with race (such as hair texture, skin color, or certain facial features).

Sex is the classification of people as male or female; it refers to the biological and physiological characteristics that define men and women (or boys and girls).

While Title VII does not explicitly address gender, gender expression, gender identity, or sexual orientation, the EEOC interpretation of Title VII defines discrimination based on gender, gender identity, or sexual orientation as discrimination on the grounds of sex. This is not stated in the law, but judicial decisions at the state and federal levels have considered sexual orientation and gender identity as covered.

Gender refers to the socially constructed system that associates masculinity or femininity with certain roles, behaviors, activities, and attributes. Stated another way: Male and female are sex categories, while masculine and feminine are gender categories.

An individual's **gender identity** refers to one's internal, personal sense of being a man or a woman (or boy or girl), which may or may not be the same as one's sexual assignment at birth. For

transgender people, their birth-assigned sex and their own internal sense of gender identity do not match. “Transgender” is the general term applied to individuals, behaviors, and groups involving tendencies to vary from culturally conventional gender roles.

Sexual orientation is the sexual, romantic, or emotional/spiritual attraction that one feels for persons of the opposite sex or gender, the same sex or gender, or both sexes and more than one gender.

Under Title VII, it is unlawful to discriminate against any individual based on race, color, religion, sex, and national origin in relation to all terms, conditions, or privileges of employment. It should be noted, however, that Title VII does not protect people based on these characteristics or based on individuals’ genetic predisposition to health conditions. Nor does Title VII require “all employees…to have equal working conditions.”

Specific Title VII provisions include the following.

- **Recruiting, hiring, and advancement.** Job requirements must be uniformly and consistently applied to persons of all races and colors. Even if a job requirement is applied consistently, if it is not important for job performance or business needs, the requirement may be found unlawful if it excludes persons of a certain racial group or color significantly more than others.

Examples of potentially unlawful practices include:

- Soliciting applications only from sources in which all or most potential workers are of the same race or color.
- Requiring applicants to have a certain educational background that is not important for job performance or business needs.
- Testing applicants for knowledge, skills, or abilities that are not important for job performance or business needs.

Employers may legitimately need information about their employees' or applicants' race for affirmative action purposes and/or to track applicant flow. Employers subject to affirmative action obligations must ensure that such information is collected in a manner compliant with all relevant laws.

- **Segregation and classification of employees.** Title VII is violated if employees who belong to a protected class are segregated by physically isolating them from other employees or from customer contact.

- **Harassment/hostile work environment.** Title VII prohibits sexual harassment and harassment based on the other protected categories. Employers should, among other things, develop a policy prohibiting sexual and other unlawful

workplace harassment, including an internal complaint procedure, and disseminate the policy to all employees.

- **Compensation.** Title VII prohibits discrimination in compensation practices. Best employer defenses include basing compensation practices on seniority, merit, performance, or systems that measure the quality and/or quantity of work.

- **Other terms, conditions, and privileges of employment.** Discrimination on the basis of a protected class may not be the basis for differences in benefits, work assignments, performance evaluations, training, discipline or discharge, or any other area of employment.

As amended by the Equal Employment Opportunity Act of 1972 (discussed next), Title VII applies to:

- Most private employers and state and local governments that have 15 or more employees.
- Educational institutions.
- Federal government agencies.
- Public and private employment agencies.
- Labor unions with 15 or more members.
- Joint (labor-management) committees for apprenticeships and training.

There are some exceptions that affect the application of Title VII antidiscrimination principles in the workplace.

- **Work-related requirements.** An employer may be able to defend a practice that has a disparate impact on a class of people but is job-related and required by business necessity.
- **Bona fide occupational qualification (BFOQ) .** If religion, sex, or national origin is a bona fide occupational qualification reasonably necessary to carrying out a particular job function in the normal operations of the organization, the factors may be used in employment practices. Race can never be a BFOQ.
- **Bona fide seniority systems.** Bona fide seniority systems that were not designed to discriminate are lawful under Title VII.
- **Affirmative action plans.** Targeted or selective selection to fulfill an affirmative action plan can be a “consideration” in the otherwise antidiscrimination approach of the legislation within the Civil Rights Act of 1964, although for decades such practices have given rise to “reverse” discrimination cases in state and federal courts, including the U.S. Supreme Court.

Equal Employment Opportunity Act

Key Content

The **Equal Employment Opportunity Act** of 1972 amended Title VII and gave the EEOC authority to “back up” its administrative findings and conduct its own enforcement litigation.

From 1965 through 1971, the EEOC lacked any real enforcement authority. It was responsible for investigating claims of discrimination; if it found reasonable cause to believe that discrimination had occurred, it referred the case to the Department of Justice to litigate.

In addition to granting the EEOC litigation authority, the Equal Employment Opportunity Act:

- Expanded Title VII coverage to include educational institutions, state and local governments, federal executive agencies, and defined units of the other branches.
- Reduced the number of employees needed for a private employer to be covered by the act (from 25 to 15).
- Expanded the period of time charging parties have to file their charges with the commission (180 or 300 days rather than 90 or 210 days).

- Expanded the period of time charging parties have (90 days rather than 30 days) to file a lawsuit after the EEOC has informed them that it is no longer working on their charge (allowing charging parties a better chance to find a lawyer if they wish to pursue their charges in court).

Pregnancy Discrimination Act

Key Content

The **Pregnancy Discrimination Act (PDA)** of 1978 amended Title VII to prohibit discrimination on the basis of pregnancy, childbirth, or related medical conditions; it requires employers to treat pregnancy the same as any other temporary disability. Employers must provide access to medical benefits and sick leave on the same basis as such benefits are provided to other employees or for other conditions.

Under the PDA, it is unlawful to:

- Refuse to hire a woman simply because she is pregnant.
- Fire a woman simply because she is pregnant.

- Force a pregnant employee to leave work if she is ready, willing, and able to perform her job.
- Stop the accrued seniority of an employee who has taken a leave to give birth or have an abortion (unless seniority does not accrue to other temporarily disabled workers under similar circumstances).

Uniform Guidelines on Employee Selection Procedures

Key Content

The **Uniform Guidelines on Employee Selection Procedures** ("Uniform Guidelines") cover all aspects of the selection process, including recruiting, testing, interviewing, and performance appraisals (to the extent that they are used to make employment decisions).

In 1978, the Civil Service Commission, the Department of Labor, the Department of Justice, and the EEOC jointly adopted the Uniform Guidelines to document a uniform federal position about prohibiting discrimination in employment practices on the basis of race, color, religion, sex, or national origin.

Key Content

Executive Order 13672 was signed in 2014 to amend Executive Order 11478 and Executive Order 11246 to include gender identity and sexual orientation, building on previous protections based on sex or national origin.

The guidelines recommend that employers (including federal contractors) be able to demonstrate that selection procedures that have an adverse (or disparate) impact upon minorities or women are valid in predicting or measuring performance in a particular job. Any selection procedure that has an adverse impact on the hiring of any protected class will be presumed discriminatory and inconsistent with the Uniform Guidelines unless the procedure has been validated in accordance with the guidelines or the user can justify the procedure in accordance with federal law. Otherwise, an alternative selection procedure must be used (provided the alternative procedure eliminates the adverse impact, is lawful, and is job-related).

Under the guidelines, adverse impact occurs when the selection rate for an employment decision works to the disadvantage of a

protected class. As a rule of thumb, this occurs when the selection rate for a protected class is less than 80% of the rate for the class with the highest selection rate. This is commonly known as the 80% rule or four-fifths rule.

Let’s look at an example of how to internally assess adverse impact using the 80% rule.

> **Example:** Assume that an organization interviewed the following people for factory assembly positions:

Group	Number Interviewed	Number Hired
Males	40	20
Females	30	6

> To determine adverse impact:

1. Identify the selection rate (the percentage hired) for each group.
    - The male selection rate is 50% (20 ÷ 40 = 50%).
    - The female selection rate is 20% (6 ÷ 30 = 20%).

2. Identify the group with the highest selection rate (males at 50%). This is the majority group.

3. Divide the lowest selection rate (minority group) by the highest selection rate (majority group).
    - 20 ÷ 50 = 40%

Adverse impact is indicated if the selection rate of the minority group (in this example, females) is less than 80%, or four-fifths, of the selection rate of the majority group (in this example, males).

In this case, the female selection rate must be at least 40% to avoid a presumption of adverse impact (40/50 = 80%). Adverse impact is indicated, therefore, since the selection rate of females (at 20%) is less than 40%.

An employer can rebut the presumption of adverse impact by validating that the selection procedure is job-related for the position at issue and is consistent with business necessity or can challenge the validity of the employee's statistical analysis.

Additional information about the Uniform Guidelines on Employee Selection Procedures can be found at www.gpo.gov/fdsys/pkg/CFR-2011-title29-vol4/xml/CFR-2011-title29-vol4-part1607.xml.

Key Content

When the 80% rule is violated and adverse impact occurs, employers have the following alternatives:

- Analyze the data more rigorously to determine whether there is in fact adverse impact. This may include both statistical and practical analyses. (Note: This alternative may be the first step toward meeting the “strong basis in evidence” standard set by the U.S. Supreme Court decision *Ricci v. DeStefano* in 2009, but it is not the only step.)
- Use another procedure that has been demonstrated to have lesser adverse impact.
- Modify the procedure to eliminate adverse impact.
- Validate the job-relatedness of the selection procedure (using, for example, validation studies, detailed records, and fact finding about alternatives with less adverse impact).
- Justify the procedure as a business necessity.

Civil Rights Court Cases

Key Content

Griggs v. Duke Power (1971) set the standard for determining whether discrimination based on disparate

impact exists. When an employer establishes an employment practice (such as an education requirement or a test score), the employer must be able to justify its actions as being job-related and consistent with a business necessity. Practices, procedures, or tests that appear neutral on their face, and even neutral in their intent, and that result in a discriminatory effect on a protected class without the above justification are illegal.

Duke Power historically discriminated against blacks, relegating them to employment in low-level positions and departments. When Duke finally dropped these overt discriminatory practices, they adopted “seemingly neutral” education and test score requirements. Griggs’s job application was denied, based on the fact that he was not a high-school graduate and on the results of two preemployment tests that were also requirements of the job. Griggs claimed that these job requirements were discriminatory because they did not relate to job success and had a negative impact on protected classes.

Griggs’s position prevailed, and the following two critical points were established:

- Employment discrimination need not be overt or intentional to be unlawful.
- Employment practices can be unlawful even when applied to all employees.

Key Content

Phillips v. Martin Marietta Corporation (1971) was one of the first cases to apply the sex discrimination provisions of Title VII of the Civil Rights Act of 1964 to employment decisions. An employer may not, in the absence of business necessity, refuse to hire women with preschool-aged children while hiring men with such children.

Phillips applied for a job with Martin Marietta but was informed that the company did not hire women with preschool-aged children. The U.S. Supreme Court ruled unanimously, however, that it is contrary to Title VII for a company to refuse to hire a woman because she has preschool-aged children when it does not impose a similar restriction on hiring men, even where there is no demonstration of discrimination against women overall.

Key Content

McDonnell Douglas Corp. v. Green (1973) established criteria for disparate treatment.

Green was employed as a mechanic at McDonnell Douglas, working at a plant that employed 30,000 people. In 1964, he was laid off during a general workforce reduction. While unemployed, he was involved in protest activities at the company that did not please the company. He participated in a lock-in, placing a chain and padlock on a factory door so no one could enter or leave. He and a group of employees also parked their cars across the gates of the plant so no one could enter or leave. When the company advertised for mechanics, Green reapplied. When the company rejected him, Green sued, and he prevailed by arguing that the company rejected him because of his race and his involvement in the civil rights movement.

In the *Green* case, the Supreme Court ruled that individuals can show a prima facie case of disparate treatment in a hiring situation if they can demonstrate that they:

- Belong to a racial minority or other protected group under Title VII.
- Applied for a job for which the employer was seeking applicants.
- Were rejected despite being qualified.
- Were rejected and yet the employer kept looking for people with their qualifications.

Civil Rights Act of 1991

Key Content

According to the **Civil Rights Act of 1991 ,** jury trials are allowed in cases where the plaintiff seeks compensatory or punitive damages.

The passage of the Civil Rights Act of 1991 was in response to a series of U.S. Supreme Court decisions on employment discrimination. The statute negated several of the Court's decisions and also added some new provisions, most notably one that allows employees who win discrimination cases to collect punitive and compensatory damages.

This act provides for, but limits the damage awards available to, victims of intentional discrimination in violation of Title VII, the Americans with Disabilities Act, and Section 501 of the Rehabilitation Act of 1973 (which applies to federal government employees and covered government contractors only).

Compensatory damages are awarded to make an injured person “whole.” Such damages include compensation for damaged property, lost wages or profits, pain, bereavement, medical expenses, etc., and financial payment for a person’s out-of-pocket losses and future expenses due to injury, disability, disfigurement, pain, and suffering and all actual losses, whether economic or noneconomic.

Punitive damages (also called exemplary damages) are damages requested and/or awarded in a lawsuit when the defendant’s willful acts were malicious, violent, oppressive, fraudulent, wanton, or grossly reckless. The purpose of punitive damages is to punish the defendant for outrageous misconduct and to deter the defendant (and others) from future similar misbehavior. Punitive damages are not possible against a governmental unit or agency under federal law. However, punitive damages may be available under state law.

Vietnam Era Veterans' Readjustment Assistance Act (VEVRAA) of 1974

The Vietnam Era Veterans' Readjustment Assistance Act prohibits discrimination against specified categories of veterans. It applies to federal government contractors and subcontractors.

The **Vietnam Era Veterans' Readjustment Assistance Act (VEVRAA)** requires covered federal government contractors and subcontractors to take affirmative action to employ and advance in employment specified categories of veterans, and it prohibits discrimination against such veterans. In addition, VEVRAA requires contractors and subcontractors to list their employment openings with the appropriate employment service delivery system and that covered veterans receive priority in referral to such openings. Further, VEVRAA requires federal contractors and subcontractors to compile and submit annually a report on the number of current employees who are covered veterans. The affirmative action and mandatory job-listing provisions of VEVRAA are enforced by the Office of Federal Contract Compliance Programs (OFCCP). The DOL's Veterans' Employment and Training Service (VETS) administers the employment reporting requirement.

Amendments to VEVRAA require that contractors and subcontractors with a federal contract or subcontract in the amount of $100,000 or more, entered into on or after December 1, 2003, for the purchase, sale, or use of personal property or nonpersonal services (including construction), take affirmative action to employ and advance qualified covered veterans in employment.

Any contractor or subcontractor whose only federal contract is a contract of $100,000 or more entered into on or after December 1, 2003, is not required to file a VETS-100 report until new regulations are published by VETS implementing these changes.

Age Discrimination in Employment Act and Amendment

The **Age Discrimination in Employment Act (ADEA)** was passed to prohibit discrimination in the workplace on the basis of age.

Key Content

The act prohibits discrimination in every aspect of employment against employees and applicants age 40 and over, with a few limited exceptions to recognize that

advanced age may, in some circumstances, affect an individual's ability to perform certain jobs effectively.

Claims of age discrimination can be brought under the ADEA only by individuals who are 40 years of age or older who have been refused employment or who have been terminated or treated less favorably because of their age.

There are exceptions to the ADEA's prohibition against age discrimination. Age discrimination is permissible if age is a bona fide occupational qualification for reasons that are reasonably necessary to the normal operation of the enterprise.

Key Content

Other exceptions to the ADEA's nondiscrimination requirements may occur under the following circumstances:

- The employer is adhering to a genuine seniority or benefit plan.
- The employer is disciplining or firing a person for reasonable factors other than age.

- The employee is a top executive or policy maker. (High-level managers and certain bona fide executives or high policy makers can be required to retire at age 65 if they are entitled to receive organization-sponsored retirement benefits of at least $44,000 per year, in the aggregate, and have held their position for two years immediately prior to retirement.)

The ADEA covers all state and local governments, private employers with 20 or more employees, unions with 25 or more members, employment agencies, and apprenticeship and training programs. It is enforced by the EEOC. Employees who want to file an age discrimination lawsuit under the ADEA must first file a charge of discrimination with the EEOC in order to preserve their right to sue.

Older Workers Benefit Protection Act

Key Content

The **Older Workers Benefit Protection Act** (OWBPA)

of 1990 amended the ADEA to prohibit discrimination in two areas:

- **Employee benefits.** The act provides guidance on the ADEA requirement that benefits offered to older workers must be equal to the benefits offered to younger workers.
- **Waivers of claims.** The act provides standards that an employee's waiver of the right to sue for age discrimination must meet in order to be upheld by a court.

The OWBPA makes it unlawful for an employer to:

- Use an employee's age as the basis for discrimination in benefits.
- Target older workers for staff-cutting programs.
- Require older workers to waive their rights without observing certain safeguards.

Americans with Disabilities Act and ADA Amendments Act

Americans with Disabilities Act

The **Americans with Disabilities Act (ADA)** of 1990 is a landmark civil rights law protecting qualified individuals with disabilities from discrimination in many areas. While the discussion here focuses on employment, the act provides other protections for the disabled in government services, public accommodations, and telecommunications.

Key Content

As it pertains to employment, the act prohibits discrimination against a qualified individual with a disability because of his or her disability.

The passage of the ADA established many responsibilities relating to this class of individuals for all private and state and local government employers with 15 or more employees, employment agencies, labor organizations, and joint labor-management committees.

The ADA does not cover the federal government when it acts as an employer. The Rehabilitation Act of 1973 (an affirmative action statute) applies to the federal government and its contractors and subcontractors.

Section 501 applies only to the federal government as an employer; Section 503 applies only to federal contractors and subcontractors with contracts over $10,000.

To be “qualified” under the ADA, an individual must:

- Have the requisite skills, experience, education, licenses, etc.
- Be able to perform the essential functions of the job, either with or without reasonable accommodation.

Key Content

Essential functions refers to the primary job duties that a qualified individual must be able to perform, either with or without accommodation. A function may be considered essential for a variety of reasons, including (but not limited to) the following items:

- The reason the job exists is to perform the function.
- There are a limited number of employees available among whom performance of the job function can be distributed.

- The function may be highly specialized and require specific expertise or ability.

The basic definition of **disability** contained in the ADA considers an individual disabled if he or she:

- Has an impairment that substantially limits one or more major life activities.
- Has a record of such an impairment.
- Is regarded as having such an impairment.

Some examples of “major life activities” covered by the ADA include (but are not limited to) walking, seeing, hearing, breathing, thinking, communicating, operation of major bodily functions, transferring/mobility, toileting/personal hygiene, bathing and dressing, and caring for oneself.

The ADA also prohibits discrimination against a qualified individual because of a known or perceived disability of an individual with whom the qualified individual has a relationship or association.

Title I of the ADA covers:

- **Medical examinations and inquiries.** Employers may not ask job applicants about the existence, nature, or severity of a

disability. Applicants may be asked about their ability to perform essential job functions. A job offer may be contingent upon the results of a medical examination but only if the examination is required for all entering employees in similar jobs. Medical examinations of employees must be job-related and consistent with the employer's business needs.

- **Drug and alcohol abuse**. Employees and applicants currently engaging in the illegal use of drugs are not covered by the ADA when an employer acts on the basis of such use. Tests for illegal drugs are not subject to the ADA's restrictions on medical examinations. Employers may hold illegal drug users and alcoholics to the same performance standards as other employees.

It is also unlawful to retaliate against an individual for opposing employment practices that discriminate based on disability or for filing a discrimination charge, testifying, or participating in any way in an investigation, proceeding, or litigation under the ADA.

ADA Amendments Act

Key Content

The **ADA Amendments Act (ADAAA)** of 2008

overturned several U.S. Supreme Court decisions that narrowly interpreted the definition of disability. While the ADAAA retains the basic definition contained in the ADA, it expands the interpretation of these elements, making it much easier for individuals seeking the law's protection to demonstrate that they meet the definition of disability. It also directed the EEOC to amend its ADA regulations to reflect the changes made by the ADAAA.

ADAAA regulations provide the nine rules of construction shown in Exhibit 39 to guide the analysis of what constitutes a disability.

Exhibit 39: ADAAA's Nine Rules of Construction

Rules of Construction

Rules of Construction	
• The term “substantially limits” is to be construed broadly in favor of expansive coverage, to the maximum extent permitted by the terms of the ADA. • An impairment is a disability if it substantially limits the ability of an individual to perform a major life activity as compared to most people. An impairment does not need to prevent or significantly restrict a major life activity to be considered “substantially limiting.” However, not every impairment will constitute a disability. • The determination of disability should not require extensive analysis. • Determining whether an impairment substantially limits a major life activity requires an individualized assessment that is “simple and straightforward.” • The comparison of an individual’s performance of a major life activity to that of most people usually will not require scientific, medical, or statistical analysis. However, nothing prohibits the presentation of scientific, medical, or statistical evidence to make such a comparison where appropriate.	• With one exception (eyeglasses or contact lenses), the determination of whether an individual has a disability shall be made without regard to the ameliorative effects of mitigating measures. In other words, employees will be evaluated without regard to the hearing aids, medication, prosthetic devices, and other measures they use to manage their impairments. • Impairments that are episodic (such as epilepsy) or in remission (such as cancer) are disabilities if they would substantially limit a major life activity when active. • An impairment that substantially limits one major life activity need not substantially limit other major life activities to be considered a substantially limiting impairment. • While there is no minimum duration in determining whether an impairment substantially limits a major life activity, disabilities under the ADA must be conditions that are not both transitory and minor. Thus, impairments that last only a short period of time may be covered if sufficiently severe. Conversely, those that are minor but last longer than six months, for example, may also be a covered disability.

The intent of the rules of construction is to set forth predictable, consistent, and workable standards to use when determining if an individual is substantially limited in performing a major life activity.

The primary focus of cases brought under the ADA should be on how the employee has been treated rather than on what an employer believes about the nature of the person's impairment.

The act specifically states that homosexuality, bisexuality, transvestitism, and compulsive gambling are not physical or mental impairments.

Reasonable Accommodation

No discussion of the ADA and the ADAAA is complete without an explanation of reasonable accommodation.

Key Content

Engaging in **reasonable accommodation** means modifying or adjusting a job application process, a work environment, or the circumstances under which a job is usually performed to enable a qualified individual with a disability to be considered for the job and perform its essential functions. The ADAAA makes it clear that employers will not be required to provide reasonable accommodation to individuals who associate with a person with a disability or who are regarded as and do

not actually have a disability, but consideration for the reasonableness of the accommodation must be given.

While the reasonableness of any particular accommodation must be considered on a case-by-case basis, examples of potential reasonable accommodations include the following:

- Assigning a reader to help an applicant who is visually impaired
- Constructing ramps or providing a wheelchair-accessible desk
- Lowering counters or drinking fountains
- Designing alternative formats for employee training
- Providing a telephone device for a person who is hearing-impaired
- Providing alternate work schedules
- Providing unpaid leave to an employee who requires it due to disability

Key Content

In 2011, Verizon reached an agreement to settle a disability discrimination class-action lawsuit brought by the EEOC. The lawsuit alleged that Verizon unlawfully denied reasonable accommodation to hundreds of

> employees. The company had failed to make exceptions to attendance plans to accommodate employees with disabilities, and it had disciplined employees for missing a certain number of shifts without allowing absences caused by disabilities to be excused.

The ADA does not require employers to take actions that involve undue hardship. Factors in deciding whether accommodation imposes an undue hardship are:

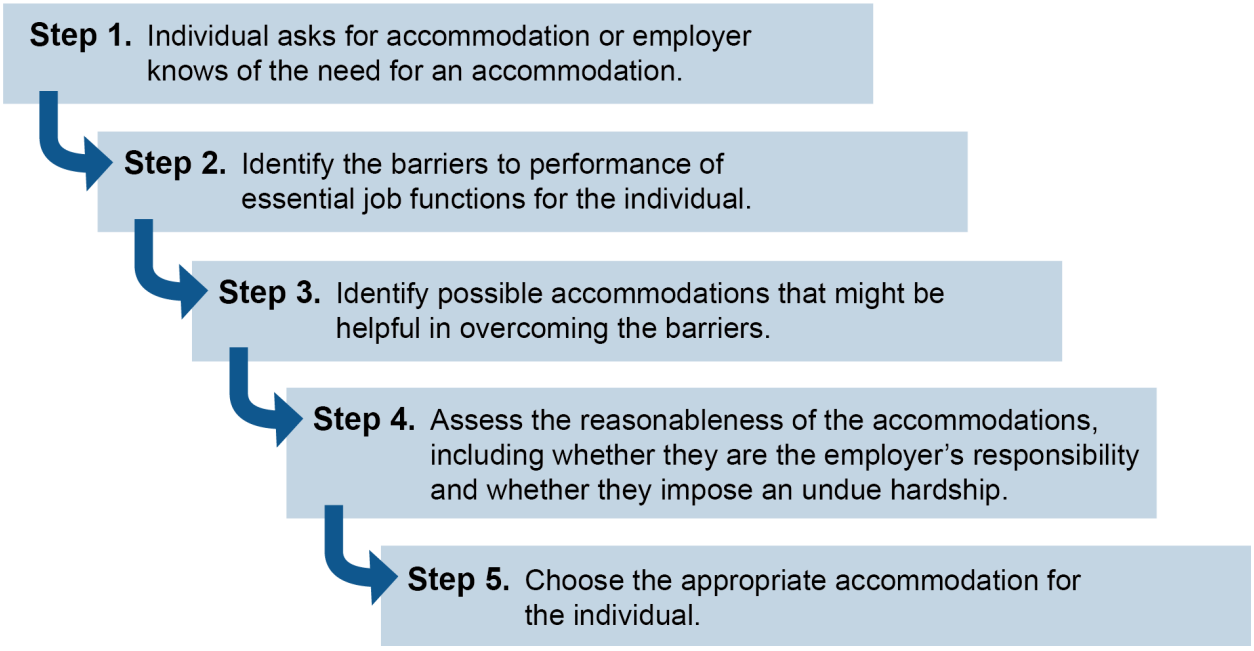
- The nature and net cost of the accommodation.
- The overall financial resources of the facility or facilities involved in the provision of the reasonable accommodation, the number of persons employed at such facility, and the effect on expenses and resources.
- The overall financial resources of the covered entity, the overall size of the business of the covered entity with respect to the number of its employees, and the number, type, and location of its facilities.
- The type of operation or operations of the covered entity, including the composition, structure, and functions of the workforce of such entity, and the geographic separateness and

administrative or fiscal relationship of the facility or facilities in question to the covered entity.

- The impact of the accommodation upon the operation of the facility, including the impact on the ability of other employees to perform their duties and the impact on the facility's ability to conduct business.

Identifying a reasonable accommodation is an interactive process between the employer and the employee requesting or needing the accommodation. It involves five key steps, as shown in Exhibit 40.

Exhibit 40: Identifying a Reasonable Accommodation



Workplace Harassment

The Equal Employment Opportunity Commission (EEOC) describes harassment as a form of employment discrimination that violates Title VII of the Civil Rights Act of 1964, the Age Discrimination in Employment Act, the Americans with Disabilities Act, the Equal Pay Act, and the Genetic Information Nondiscrimination Act. While harassment cases historically were focused on sexual claims, commission rulings and court decisions now encompass other types of harassment. Based on statistics posted on the EEOC website, thousands of charges are filed in the areas of “harassment” and “sexual harassment” each year, and those charges have increased each year since 2013. The EEOC’s position on harassment is that employers are accountable for all forms of unlawful discrimination and harassment—not just those of a sexual nature.

The EEOC tells us that harassment becomes unlawful in the following situations:

- When enduring offensive conduct becomes a condition of continued employment
- When the conduct is severe or pervasive enough to create a work environment that a reasonable person would consider intimidating, hostile, or abusive
- When an individual is harassed in retaliation for filing a discrimination charge, testifying, or participating in any way in an investigation, proceeding, or lawsuit

Offensive conduct may include (but is not limited to) offensive jokes, slurs, epithets or name calling, physical assaults or threats, intimidation, ridicule or mockery, insults or put-downs, offensive objects or pictures, and interference with work performance. The EEOC notes that petty slights, annoyances, and isolated incidents (unless extremely serious) will not rise to the level of illegality.

Sexual Harassment

Key Content

Sexual harassment claims fall into two categories:

- **Quid pro quo .** *Quid pro quo* means “this for that” or “something for something.” *Quid pro quo* harassment occurs when an employee is forced to choose between giving in to a superior’s sexual demands and forfeiting a benefit. The benefit may be economic in nature, such as a pay increase or continued employment, or it may be noneconomic, for example, a better shift. It can also be an offer for a trade of such a benefit with no resulting benefit actually being exchanged.
- **Hostile environment.** Hostile environment harassment occurs when sexual or other

> discriminatory conduct is so severe and pervasive that it unreasonably interferes with an individual's performance; creates an intimidating, threatening, or humiliating work environment; or perpetuates a situation that affects the employee's psychological well-being.

EEOC guidelines about sexual harassment state that "…unwelcome sexual advances, requests for sexual favors, and other verbal or physical conduct of a sexual nature constitute sexual harassment when:

- Submission to such conduct is made either explicitly or implicitly a term or condition of an individual's employment.
- Submission to or rejection of such conduct by an individual is used as the basis for employment decisions affecting such individuals."

Consider the following facts about sexual harassment from the EEOC website:

- The victim as well as the harasser may be a woman or a man. The victim does not have to be of the opposite sex.
- Unlawful sexual harassment may occur without economic injury to or discharge of the victim.

- The harasser’s conduct must be unwelcome.

Precedent-Setting Harassment Cases

As with many other areas of employment law, court cases related to sexual harassment have shaped legal principles or concepts regarding the interpretation of Title VII of the Civil Rights Act of 1964. The outcomes of two particular cases have been significant in the sexual harassment arena: *Faragher v. City of Boca Raton* and *Burlington Industries, Inc. v. Ellerth.*

Key Content

Faragher v. City of Boca Raton (1998) and **Burlington Industries, Inc. v. Ellerth** (1998) are two U.S. Supreme Court rulings distinguishing between supervisor harassment that results in tangible employment action (such as discharge, failure to promote, or demotion) and supervisor harassment that does not. When harassment results in a tangible adverse employment action, the employer is always liable.

This legal responsibility of the employer is a form of **vicarious liability .** Vicarious liability is a legal doctrine under which a party can be held liable for the wrongful

> actions of another party. Because of this doctrine, employers are legally responsible for the discriminatory acts of their supervisors and managers and may be for their nonsupervisory employees as well.

The implications of the U.S. Supreme Court decisions are that in order to reduce liability for harassment claims, a company should:

- Train both employees and managers on a regular basis.
- Oblige employees to report any incidents of harassment.
- Investigate reported allegations promptly and thoroughly.
- Implement corrective measures when necessary.

Sexual Orientation Guidelines

It is important to note that while there is no federal statute governing sexual orientation, the EEOC has expressly stated that it is covered by Title VII.

Thus, the term “sex” remains as a reference to the condition of being male or female, not to sexual orientation. While the U.S. Supreme Court has upheld this definition, some federal courts have concluded that a claim under Title VII for sex discrimination could be based upon the plaintiff’s sexual orientation, gender identity, gender

expression, and/or gender stereotyping. Some state and local laws do prohibit sexual orientation discrimination. In addition, a number of states and local jurisdictions have extended their civil rights law to include gender identity, which may protect transsexuals and other transgendered persons. However, even in those states or local jurisdictions in which there is no protection based on gender identity, there may be some protection under Title VII case law involving gender stereotyping.

In the absence of federal laws or other regulations addressing sexual orientation discrimination, there are voluntary steps an organization can take to provide a fair workplace and ensure nondiscrimination based on sexual orientation. Recommended measures are presented in Exhibit 41. Before implementing any of these measures, employers should consult with legal counsel regarding the risk of liability associated with policies that may create obligations beyond the scope of applicable laws.

Exhibit 41: Measures Employers Can Take to Help Ensure Fair Workplace

Fair Workplace Recommendations for Employers

Fair Workplace Recommendations for Employers	
• Include sexual orientation in nondiscrimination policies. • Provide training. • Prohibit and prevent harassment of lesbian, gay, bisexual, and transgender employees.	• Recognize organizations representing the interests of lesbian, gay, bisexual, and transgender employees. • Refer to “sexual orientation” rather than “sexual preference.”

When organizations include broader definitions of “sex” in their policies and practices, either as a matter of legal compliance or as inclusion beyond legal mandate, employers also need to be sensitive to the religious beliefs of some who may oppose the protection. An employer can regulate workplace conduct (prohibit discrimination, harassment, etc., inconsistent with its policies) but needs to be careful not to try to dictate beliefs on this sensitive issue.

In October 2017, the EEOC announced new training programs on “Respectful Workplaces” for employees and supervisors. Instead of traditional compliance training that focuses solely on legal definitions and standards for liability, the new programs provide training alternatives for harassment prevention. More information can be found on the EEOC websitehttp://www.eeoc.gov/eeoc/newsroom/release/10-4-17.cfm.

Employer Responses to Harassment

The EEOC has published guidelines to help clarify how employers can avoid harassment lawsuits. Exhibit 42 summarizes these measures.

Exhibit 42: Effective Harassment Policy/Prevention Program

Recommendations for Effective Harassment Policy/Prevention Program	
The program should:	
• Be in writing. • Define what constitutes harassment and declare that it will not be tolerated. • Establish a complaint procedure that encourages employees to come forward. • Involve training and education programs to focus on the specific culture and needs of a particular workplace. • Provide workplace civility and bystander intervention training.	• Include a prompt and thorough investigation of every complaint and ensure that employees have confidence in the process. • Provide for an investigation that results in corrective action if it is determined that unlawful harassment has occurred. • Use a variety of methods to communicate the policy to management and employees.

A written harassment policy should include concrete examples of inappropriate behaviors. A few such examples might be:

- Derogatory remarks about a person’s membership in a protected class.
- Visual messages (for example, posting of cartoons) that are demeaning to a protected class.
- Jokes that stereotype or make fun of a protected class.

- Nicknames for protected classes.
- Verbal or nonverbal (for example, mimicking or imitating) innuendoes that have a negative connotation for a protected class.

Further, it should be stated that the harassment policy applies not only to the workplace during normal hours of operation but to all aspects of “work,” including organizational travel and all work-related functions, even if such activities are held off site. This includes after-hours cell phone and media use.

Genetic Information Nondiscrimination Act

Key Content

The **Genetic Information Nondiscrimination Act (GINA)** of 2008 prohibits discrimination against individuals on the basis of their genetic information in both employment and health insurance. Employment decisions based on genetic information are inappropriate because genetic information does not tell the employer anything about an individual’s current ability to work.

GINA prohibits an employer from discriminating against an individual in any aspect of employment, including hiring, firing, pay, job assignments, promotions, layoffs, training, fringe benefits, or any other term or condition of employment, on the basis of genetic information about the individual or a family member of the individual. Family members are not limited to biological relatives. For example, GINA considers an adopted child to be a family member. Covered employers are those with 15 or more employees and include state and local governments.

U.S. Compensation Laws

Key concepts related to this section include:

- Compensation Examples: Davis-Bacon Act of 1931; Walsh-Healey Public Contracts Act of 1936; Fair Labor Standards Act of 1938 (FLSA; Wage-Hour Bill; Wagner-Connery Wages and Hours Act) and amendments including 2020 overtime rule; Equal Pay Act of 1963 (amending FLSA); McNamara-O'Hara Service Contract Act of 1965; Employee Retirement Income Security Act of 1974 (ERISA); Affordable Care Act's Break Time for Nursing Mothers (2010); Lilly Ledbetter Fair Pay Act of 2009; Ledbetter v. Goodyear Tire & Rubber Co. (2007).

U.S. Compensation Laws

Federal, state, and local governments play a significant role in employee compensation. Legislation on all levels has been enacted to establish a minimum wage, govern overtime pay, protect employees from wage discrimination, and determine how compensation is taxed. Other legislation (for example, pertaining to voluntary employer pensions) may be highly regulatory. Key compensation legislation and cases include the Fair Labor Standards Act (FLSA) of 1938, the Employee Retirement Income Security Act (ERISA) of 1974, the Sarbanes-Oxley Act (SOX) of 2002, *Ledbetter v. Goodyear Tire & Rubber Co.* and the Lilly Ledbetter Fair Pay Act, and the Davis-Bacon Act and other related acts.

Competency Connection

The Consultation competency requires that HR professionals advise employers when they have identified a possible performance gap and propose a solution for correcting the situation. In this case, the performance gap is a failure to comply with compensation-related laws, which puts the employer at risk for regulatory penalties.

During an internal HR audit of payroll practices, an HR professional determines that the organization is incorrectly paying overtime for a

nonexempt employee who receives an hourly wage. U.S. law requires that an employee's attendance bonus be included in the regular rate of pay for the purpose of determining the overtime rate of pay. Since the employee's regular rate of pay did not include the attendance bonus, the employee was actually being underpaid for overtime.

Upon this discovery, the HR professional properly recalculates the overtime and provides back pay to the employee.

In taking these actions, the HR professional helps to ensure compliance with U.S. compensation law.

The HR professional also used the Ethical Practice competency in taking action when the mistake was discovered and the Communication competency in explaining the mistake and the correction to the employee.

Fair Labor Standards Act, Amendments, and Case Law

The core wage and hour regulations have several purposes:

- To set a minimum wage for certain workers
- To regulate the number of hours certain individuals must work before being entitled to overtime compensation

- To restrict the hours and conditions of employment for minors

Fair Labor Standards Act

Key Content

The **Fair Labor Standards Act (FLSA)** of 1938 establishes minimum wage, overtime pay, youth employment, and record-keeping standards affecting full- and part-time workers in the private sector and in federal, state, and local governments.

The FLSA is commonly referred to as the Wage and Hour Law (and is also known as the Wagner-Connery Wages and Hours Act). It was designed to protect workers and address conditions that burdened the American economy during the Great Depression and has been amended over the decades.

FLSA Compliance

Key Content

The FLSA applies to public and private employers with

at least $500,000 in annual dollar volume of business (with some limited exceptions). It also applies to organizations with employees who engage in interstate commerce or the production of goods for interstate commerce.

The interstate commerce requirement impacts almost all businesses, because the provisions cover any employees who handle, sell, or work on goods or materials that have been moved in or produced for interstate commerce. It also includes employees who travel across state lines and any employees who use the mail, telephone, Internet, or other means to communicate across state lines.

The FLSA covers the following organizations regardless of the dollar volume of their businesses:

- Hospitals
- Institutions primarily engaged in the care of the sick, aged, mentally ill, or disabled who reside on the premises
- Schools for children who are mentally or physically disabled or gifted
- Preschools, elementary and secondary schools, and institutions of higher education

- Federal, state, and local government agencies

Under certain circumstances, the FLSA may also cover domestic service workers, such as day workers, housekeepers, chauffeurs, cooks, or full-time babysitters.

Employee Status versus Independent Contractor Status

Key Content

An employer has no ongoing obligations under the FLSA to self-employed independent contractors. Therefore, it is critical that the organization clearly identify which of its workers are **employees** (covered by FLSA regulations) and which are **independent contractors** (not covered by FLSA regulations).

The distinction between employees (who receive Form W-2 for tax reporting purposes) and independent contractors (who receive Form 1099) is not philosophical or always apparent. Titles, labels, or job descriptions for particular workers often are misleading and should not be relied upon to determine a worker's classification. Neither the

W-2 nor the 1099 is considered definitive when determining a worker's classification.

The following are some critical tests for an independent contractor:

- Having the ability to set own hours and determine sequence of work
- Working by the project rather than having a continuous relationship with the employer
- Being paid by the job (rather than by the hour or pay period)
- Having the opportunity for profit and loss
- Furnishing own tools and training
- Being self-employed and holding oneself out as such

In determining independent contractor status, the Internal Revenue Service uses three considerations, as shown in Exhibit 43.

Exhibit 43: Basics of IRS Independent Contractor Guidance

IRS Factor	Description
Behavioral control	Facts that show whether the organization has a right to direct and control how the worker does the task for which the worker is hired; include type and degree *Examples:* • Instructions the organization gives the worker • Training the organization gives the worker

IRS Factor	Description
Financial control	Facts that show whether the organization has a right to control the business aspects of the worker's job *Examples:* • The extent to which the worker has unreimbursed business expenses • The extent of the worker's investment • The extent to which the worker makes services available to the relevant market • How the organization pays the worker • The extent to which the worker can realize a profit or loss
Relationship of the parties	Facts that show the parties' type of relationship *Examples:* • Written contracts describing the relationship the parties intended to create • Whether the organization provides the worker with employee-type benefits, such as insurance, a pension plan, or vacation or sick pay • The permanency of the relationship • The extent to which services performed by the worker are a key aspect of the regular business of the organization

Exempt Employees versus Nonexempt Employees

Once the employer has determined that a worker is an employee and is covered by the FLSA, the next step is to determine if the employee is exempt or nonexempt as defined by the FLSA.

Key Content

The exempt/nonexempt distinction is important. Under

the FLSA, **exempt employees** are excluded from the minimum wage and overtime pay requirements of the law. **Nonexempt employees** are not excluded from minimum wage pay requirements and are entitled to overtime pay.

Nonexempt employees are guaranteed minimum wage and overtime protection under the FLSA, and employees compensated on an hourly basis are automatically considered nonexempt under the law. However, there are exceptions. The FLSA's "white-collar" exemptions include executive, administrative, and professional (EAP) employees as well as computer and outside sales positions.

Exempt employees must meet certain salary thresholds and descriptions of primary duties. In September 2019, the Department of Labor issued a final rule that revised the regulation to raise the salary thresholds for exempt employees. For example, the "standard salary level" for exempt employees was raised to $684 per week (equivalent to $35,568 per year). The rule also takes into account certain recent changes in pay practices in allowing employers to use nondiscretionary bonuses and incentive payments (for example, commissions) to satisfy up to 10% of the "standard salary level." The new rule raised the salary level at which an employee becomes

designated as a “highly compensated individual” to $107,432. This rule went into effect on January 1, 2020. For more information, visit www.dol.gov/agencies/whd/overtime/2019/index.

Before determining an employee’s exemption status, employers should also refer to the applicable state law, as many states have their own versions of the federal FLSA. Employees are entitled to the advantages and rights afforded them under both state and federal law.

Key Content

FLSA exemptions. Generally, in order for an employee to be exempt, three requirements must be met: (1) minimum salary, (2) paid on a salary basis (without improper deductions), and (3) primary duties. Exempt employees must work in a bona fide manner in, for example, executive, administrative, professional, or outside sales positions. In general, they must be paid on a salary basis, with a guaranteed minimum amount no matter how many hours are worked per week (the $684 per week mentioned above).

The issue of primary duties is an important part of the exemption. A “primary duty” is the main or most important duty of the position. To be exempt, an employee’s primary duty must be the performance of exempt work. Although no particular percentage of exempt duties is required under the FLSA, the lower the total percentage of exempt duties, the greater the legal risk to the employer if challenged by the Department of Labor (DOL). Conversely, if more than 50% of an employee’s time is spent performing exempt work, the employee is more likely to be considered exempt. However, there is no 50% requirement under federal law.

Key Content

Improper deductions and safe harbor. A safe-harbor provision prevents an employer from losing an overtime exemption for improper pay deductions—regardless of the reason for the improper deductions—where the employer:

- Has a “clearly communicated policy” that prohibits improper pay deductions and includes a complaint mechanism.
- Reimburses employees for any improper deductions.
- Makes a good-faith effort to comply in the future.

Note that willful violations of the policy by continuing the improper deductions after receiving employee complaints will remove the employer from safe harbor.

Employers that make improper deductions from an otherwise exempt employee's salary will lose the exemption if facts demonstrate that the employer did not intend to pay employees on a salary basis.

While the DOL has stated that a written policy is the best evidence of an employer's good-faith efforts to comply with the regulations, such a policy is not required. However, the employer must communicate the policy to employees prior to the impermissible deduction. The "clearly communicated" standard could be met by providing a copy of the policy to all newly hired employees, by publishing the policy in an organizational handbook or on an intranet, or, for small businesses, through an oral statement to employees.

Blue-collar workers and veteran status. The DOL has defined blue-collar workers and veterans in the following manner.

Key Content

Blue-collar workers are defined as those who perform work involving repetitive operations with their hands, physical skill, and energy. The DOL has stated that individuals in these positions will not be exempt no matter how highly they are compensated.

Mechanics, plumbers, electricians, maintenance workers, production workers, and construction workers are among the positions identified as blue-collar.

Specific professional job duties. Identifying professionally exempt employees is usually straightforward and uncontroversial, but this is not always the case. Whether a journalist or a commercial artist is professionally exempt, for example, will likely require careful analysis of just what the employee actually does.

Key Content

Each of these provisions once again states that exemptions are based not on job titles but on job duties. Thus, while the specific jobs listed are likely to fall into the categories suggested by the DOL, case-by-case

analysis will still be necessary. The job description becomes a key document for determining FLSA status. However, a job description alone is not determinative as to exempt status. Therefore, organizations need to keep their job descriptions up-to-date to ensure that they accurately reflect job duties.

Joint Employers

Joint employment, also known as co-employment, occurs when an employee has more than one employer. These employers can be defined as employment entities that somehow benefit from or reap the rewards of an employee's work. An employee is considered to have joint employers when both employers have equal and direct control over the worker's employment status (hiring and/or firing), the worker's schedule or working conditions, how much the worker is paid and by what method, and possession/upkeep of the worker's employment records.

FLSA Overtime Pay Provisions

Under the FLSA, all nonexempt workers must be paid **overtime pay**—1.5 times their regular rate of pay for hours worked in excess of 40 in any workweek. The regular rate of pay includes basic pay plus

nondiscretionary bonuses, shift premiums, production bonuses, and commissions. It does not include:

- Discretionary bonuses.
- Payments made when no work is performed, such as vacation or holiday pay.
- Gifts.
- Irrevocable benefits payments.
- Payments for traveling expenses.
- Premium payments for work performed outside an employee's regular work hours.
- Extra compensation paid according to a private agreement or collective bargaining.
- Income derived from grants or options.

A **workweek** is any fixed, recurring period of 168 consecutive hours (7 days times 24 hours = 168 hours). An employer's workweek may begin on any day of the week, and it must be consistent from week to week. An employer may have different workweeks for different locations and/or classifications of employees. For instance, truck drivers required to deliver material by Monday—the beginning of the workweek for others—may have a workweek that starts on Sunday.

Time worked as it applies to overtime. The FLSA requires that overtime be paid on time worked, not time compensated. Therefore,

no overtime need be paid on sick pay, holiday pay, vacation pay, jury duty pay, or similar compensation for unworked days. Some organizations, however, voluntarily treat such time as time worked for the purpose of determining overtime pay. Individual state laws may also factor into overtime compensation calculations.

Since overtime covers only time actually worked, a key question is when the workday actually begins and ends. If the employee is preparing to work but is not yet doing anything productive, do these hours need to be included in the overtime calculation? The FLSA did not initially define the term “hours worked” and, consequently, Congress amended the act; the general rules are now defined by the Portal-to-Portal Act (covered below).

It is important to recognize that the law says that the employer “shall not permit” employees to work overtime (over 40 hours per workweek) without the payment of an overtime premium. The employer is prevented from using the defense that the employee volunteered to work overtime. As such, employers must be cautious and not allow nonexempt employees to volunteer to work overtime without prior management approval. If a nonexempt employee works unauthorized overtime, the employee must be paid for that time and may also be subject to corrective action because the employee did not seek management approval prior to working the overtime hours.

This possible corrective action would be based on the employer's established policies and practices.

Compensatory time as it applies to overtime. In general, overtime must be paid in the form of wages. Presently, compensatory time is not allowed for nonexempt employees in the private sector, which includes those organizations not controlled by the government, such as privately owned businesses and not-for-profit organizations. However, public-sector employers, generally comprising entities of the federal, state, and local governments, may grant compensatory time off ("comp" time) instead of wage payments in certain circumstances.

The FLSA requires that compensatory time be earned at a rate of not less than one and one-half hours for each hour of employment for which overtime compensation is required. Remember, state law may require additional compensation calculations in the payment of overtime.

Key Content

The FLSA also stipulates that employers must be sure that nonexempt employees are fully relieved of their duties during lunch or other unpaid breaks and that

lunch and other breaks are of the length of time required under federal and state law.

For example, nonexempt employees who answer business e-mails while eating lunch at their desks may be owed compensation not only for the time that is worked but also for the entire break period—depending on the amount of work that is performed during that break. Again, while an employee who works during a break is entitled to be compensated for such time, the employee may also be subject to corrective action, dependent upon the employer's established policies and practices.

Other FLSA Regulations

Along with employee status, the FLSA regulates the following.

Key Content

Child labor provisions. The FLSA restricts the hours and conditions of employment for minors and protects children under 18 years of age from "oppressive" employment conditions. Employers should obtain an

employment and/or age certificate approved by the Wage and Hour Division of the DOL (the enforcing agency); this certificate is usually issued by the appropriate state agency or the minor's school.

Child labor provisions under FLSA are designed to protect the educational opportunities of youth and prohibit their employment in jobs that are detrimental to their health or physical and mental safety. The FLSA restricts the hours that minors can work and lists hazardous occupations too dangerous for young workers to perform.

Minimum wage. The FLSA requires employers to pay covered nonexempt employees at least the federal minimum wage for all hours worked up to 40 in a workweek. Many states also have minimum wage laws. Some state laws provide greater employee protections; employers must comply with both.

There are some exceptions to the minimum wage, including but not limited to:

- Employees younger than 20 years old, during their first 90 consecutive calendar days of employment.

- Tipped employees.
- Full-time students who are employed in retail or service establishments, agriculture, or institutions of higher education.
- Student learners who are students at an accredited school, college, or university, at least 16 years of age, and employed on a part-time basis pursuant to a bona fide vocational training program.
- Workers whose earning or productive capacity is impaired by physical or mental disability.

In most of these cases, workers may be paid less than the standard minimum wage, but only if the employer first obtains a certificate from the appropriate regional office of the DOL's Wage and Hour Division.

Key Content

Employers need to display the DOL's required "Federal Minimum Wage" poster. Employers can get a free copy by visiting the DOL website, www.dol.gov. Employers should also visit their states' departments of labor websites to download state-required postings regarding minimum wage.

Other administrative concerns. The FLSA also addresses the following issues.

- **Enforcement.** The Wage and Hour Division of the DOL has broad powers to enforce the FLSA minimum-wage and overtime provisions.

- **Investigating claims.** Any employee covered by the FLSA may initiate a complaint. An investigator may visit the work site of the claimed infraction and review the employer's pay practices and status determinations. A conference between the investigator and representatives of the employer may be held to discuss a settlement if a violation is found. If none is agreed to, the employer can be taken to court by either the secretary of labor or the employees who are owed unpaid back wages. Unlike claims of unlawful discrimination, an employee may file an FLSA-related lawsuit directly without first exhausting administrative remedies from the DOL.

- **Penalties.** An employer who violates the FLSA's requirements to pay overtime is liable to an employee in the amount of the unpaid overtime compensation as well as an additional, equal amount as liquidated damages. The statute of limitations under the FLSA is generally two years, but the time period can be

extended to three years if there has been a willful violation by the employer.

When State Laws Differ

A general rule is: Whenever state and federal laws or regulations differ, *follow that which most benefits the employee.* Thus, if the state minimum wage is $7.50 per hour and the federal minimum wage is $7.25, employers in that state must pay employees at least $7.50 per hour. Conversely, if the federal minimum wage is higher than the state minimum wage, the employer must pay at least the federal minimum wage. If the state does not have a minimum wage, the employer must pay at least the federal minimum wage. Minimum wage requirements are made more complex by the fact that some municipalities have instituted “living wage” ordinances that stipulate pay rates that exceed both state and federal minimums.

Portal-to-Portal Act

The **Portal-to-Portal Act** of 1947 amended the FLSA and defined additional rules for hours worked. Following are some guidelines included in the Portal-to-Portal Act and its amendments.

Key Content

If the employer restricts an employee’s activities and

does not allow any personal business, then the hours are included as time worked, including overtime. Employers may not be required to pay wages or overtime when an employee is off the premises and on call (asked to stay by the phone or computer, carry a mobile device, or respond to a beeper) as long as the employee generally is not otherwise restricted.

Federal district courts, however, may differ in their interpretation. Generally, the more restricted an employee's freedom is, the more likely the time will be considered compensable working time.

Certain types of preparatory and concluding activities must be compensated, and others need not be. The general test is whether the activity is performed solely for the employer's benefit and is an integral and indispensable part of the employee's job activities (for example, putting on safety gear, making deliveries for the employer on the way home).

Changing in and out of uniforms is a growing litigation issue. Generally speaking, an employee must be paid for the changing time if he or she is required to change in and out of his or her uniform at work; ordinarily the employee does not have to be paid

for such changing time if he or she has the option to wear his or her uniform to and from work but elects to change at work solely for his or her convenience.

Specific guidelines for travel time are as follows.

- **Commuting time.** Commuting time is not paid work time, even when the employee is using an organization vehicle. However, nonexempt employees who drive vehicles that contain essential tools or equipment of the employer from their homes to work sites may be working while traveling and should receive travel pay. Travel from home to a customer’s site in response to an emergency call after the regular workday is work time.

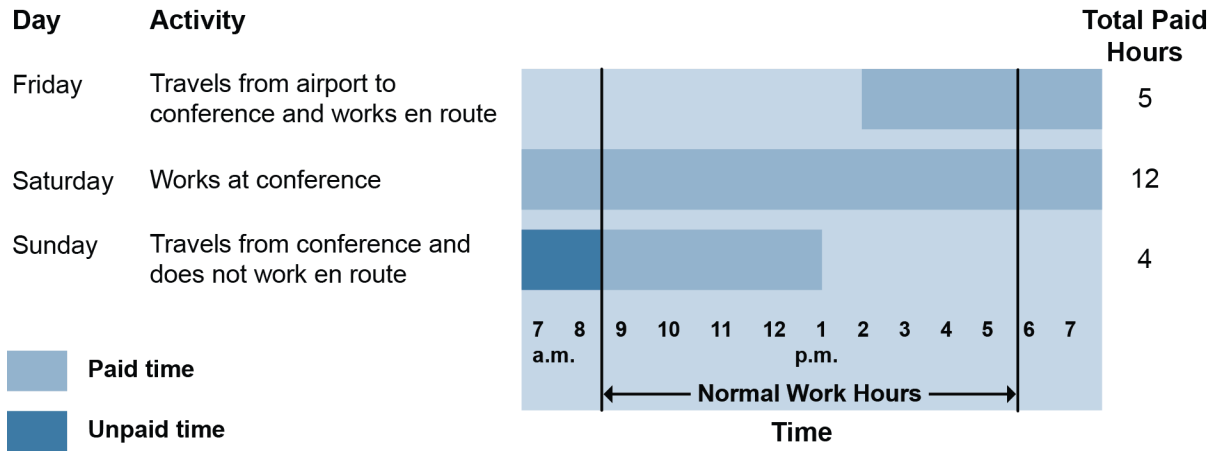
- **Workday travel.** Employees who travel in the course of a workday, such as from one work location to another, are entitled to compensation for their travel time. Travel to work-related meetings is compensable.

- **Out-of-town travel during the course of a day.** Travel out of town may also comprise work. When an employee who normally works at one location is sent out of town on a single-day trip, the time spent traveling is work time. However, the employer may consider the time spent traveling to and from the airport or other transportation terminal in the morning and

evening to be the equivalent of the home-to-work commute and not compensable work time.

- **Overnight travel.** An employee who travels away from home overnight is not working when he or she is a passenger on an airplane, train, boat, bus, or automobile outside of regular work hours. Any time that the employee spends traveling as a passenger on a weekend will be counted as work time if the travel cuts across the hours that the employee would normally work during the week. Any time that an employee spends working while a passenger must be counted and paid as work time. Exhibit 44 provides an example of paid time vs. unpaid time for an employee who travels overnight for a weekend conference.

Exhibit 44: Example of Compensation for Weekend Work Trip



Key Content

All travel that is compensable by contract, custom, or practice must be counted as work time, regardless of the above limitations on counting travel as work time.

Training time is generally included in the calculation of hours worked. However, the time spent at a conference, meeting, or seminar does not have to be compensated if four conditions are met:

- Attendance is voluntary.
- Attendance is outside of the employee's regular work hours.
- The event is not directly job-related.
- The employee performs no productive work during this period.

Equal Pay Act

Key Content

The **Equal Pay Act (EPA)** of 1963, technically an amendment to the FLSA, prohibits unequal pay for equal or "substantially equal" work performed by men and

women. Once a pay disparity is established between a male worker and a female worker performing substantially equal jobs, the burden of proof shifts to the employer to justify its actions.

The law is enforced by the EEOC. Key provisions define equal work, discriminatory actions, and exceptions.

Equal work is defined by equal skills, equal effort, equal responsibility, and similar working conditions in the same establishment. Exhibit 45 provides definitions of the equal work factors.

Exhibit 45: Equal Pay Act Definitions

Equal Work Factors	
Skills	Experience, training, education, and ability required to perform a job
Effort	Physical or mental exertion needed for performance of a job
Responsibility	Extent to which an employer depends upon the employee to perform the job as expected, with emphasis on accountability
Working conditions	Physical surroundings and hazards of a job, including dimensions such as inside versus outside work, excessive heat or cold, and fumes and other factors relating to poor ventilation

In defining equal pay, the EPA requires only that workers performing equal work be paid at the same pay rate, not that workers receive the same total amount of pay.

Key Content

An employer can defend its pay disparity by showing that the pay disparity was based on:

- A seniority system.
- A merit system.
- A difference in the quality or quantity of work.
- Geographic work differentials.
- Any factor other than sex.

The law does not address **comparable worth ,** a theory that goes beyond pay equity. Comparable worth deals with pay differentials between women and men who perform comparable—but not equal—work. Comparable worth looks at different jobs that women and men hold that require comparable skills, effort, responsibility, and working conditions. Although the EPA does not require consideration of comparable worth, some states require all public jurisdictions such as school districts to eliminate any sex-based wage inequities.

Employee Retirement Income Security Act

The **Employee Retirement Income Security Act (ERISA)** of 1974 and its amendments establish uniform minimum standards to ensure that employee retirement plans are set up and maintained in a fair and financially sound manner. ERISA is designed to protect the interests of participants in pension and welfare benefit plans and their beneficiaries. Employers are not required to offer a retirement or welfare benefit plan, but if they do have one, the plan must conform to the applicable requirements of the Internal Revenue Code and ERISA in order for employers and participating employees to receive available tax advantages.

Most private-sector employee benefit programs are subject to some provisions of ERISA. The legislation applies to and regulates qualified private retirement plans and welfare plans such as employer-sponsored group medical programs, group life insurance, and long-term disability coverage. Many public-sector employers and churches are not subject to ERISA.

Key Content

The Pension Benefit Guaranty Corporation (PBGC)

insures payment of certain pension plan benefits in the event that a private-sector defined benefit pension plan lacks sufficient funds to pay the promised benefits. Covered plans or their sponsors are required to pay premiums to the PBGC. In turn, the PBGC guarantees payment of vested benefits (up to a maximum limit) to employees covered by these pension plans. It does not insure retirement plans that do not promise specific benefit amounts—defined contribution plans such as profit-sharing or 401(k) plans.

ERISA requires that employers comply with a number of requirements in operating their plans; several are noted here.

- **Fiduciary duties.** An ERISA plan must be operated for the exclusive benefit of the participants and their beneficiaries. The plan fiduciaries must follow the **prudent person rule** with respect to the handling, investment, and management of the plan's assets. According to this rule, the fiduciary cannot take more risks than a prudent expert investor would under similar circumstances.

- **Eligibility requirements.** ERISA establishes minimum eligibility requirements for retirement plan benefits. In general, the minimum requirements are attainment of age 21 and completion of 12 months of service, with only a few exceptions. An employer cannot set the age for plan participation at more than 21 or the service requirement at more than 12 months. However, an employer can lower the age and service requirement thresholds.

- **Vesting requirements.** ERISA establishes minimum vesting requirements for retirement plans. **Vesting** is the process by which a retirement benefit becomes nonforfeitable, that is, when the employee is permanently entitled to a portion or all of his or her benefit.

  Although an employee is always 100% vested in his or her own contributions, employer matching and other employer contributions often vest over time.

  Some plans provide for cliff vesting, under which benefits become 100% nonforfeitable after the participant has completed a certain number of years of service. Other plans provide for graded vesting, under which the benefits become incrementally nonforfeitable as the participant completes each of a specified number of years of service.

- **Communication requirements.** ERISA requires retirement and benefit plan administrators to prepare and distribute summary plan descriptions (SPDs) to participants. These summaries of participant rights, benefits, and responsibilities under the plans should be designed and written so they are easily understood by the reader. Summary plan descriptions must be issued when an employee first begins participating in a plan and at least once every five years thereafter. If plans are modified in the interim years, plan administrators are required to either distribute summaries of material modifications (SMMs) to participants to describe the changes or issue a new summary plan description. Participants must also receive a summary annual report (SAR) that contains financial information about a welfare or defined contribution retirement plan or an annual funding notice for a defined benefit retirement plan.

- **Reporting requirements.** In general, an annual report (Form 5500) must be filed with the IRS and made available for participants to inspect. Filing Form 5500 is required for all qualified retirement plans and for welfare benefit plans that have at least 100 employees participating.

Sarbanes-Oxley Act

The **Sarbanes-Oxley Act (SOX)** of 2002 was enacted in response to Enron and other corporate accounting scandals. The act requires that all publicly held companies establish internal controls and procedures for financial reporting to reduce the possibility of corporate fraud.

Impact on Defined Contribution Plans

Key Content

SOX created ERISA Section 101(i), which requires administrators of 401(k) and other defined contribution plans to provide notice to affected participants and beneficiaries at least 30 days, but not more than 60 days, in advance of a blackout period. The act added a civil penalty for a plan administrator's failure or refusal to provide timely notice of a blackout period. The blackout period is a period of more than three consecutive business days during which participants or beneficiaries cannot direct the investment of or diversify assets credited to their accounts or obtain loans or distributions, other than certain exceptions specified in ERISA Section 101(i).

Blackout periods typically occur when there is a new plan provider or a change in investment options. During the blackout period, the outgoing record keeper or investment option manager completes final processing of participant activity and performs a final reconciliation of accounts.

The act also prohibits directors or executive officers of public companies from engaging in trading that involves company stock held outside of the plan during the blackout period if the blackout period prevents at least 50% of the plan participants from engaging in transactions involving company stock held in their plan accounts. This insider trading prohibition applies to any stock acquired in connection with the insider's services or employment.

Key Content

The 30-day minimum, 60-day maximum blackout notice must be in writing and must be stated in a way that the average plan participant can understand. Electronic notification is permitted if the notice is "reasonably accessible" to participants. The notice must include:

- Reasons for the blackout period.
- Identification of the investments and participant rights that are affected.

- Expected beginning date and length of the blackout period.
- Statement that individuals should evaluate the appropriateness of their current investment decisions in light of their inability to direct or diversify their accounts during the blackout period.

Whistleblower Provisions

SOX also prohibits publicly traded companies (as well as their officers, employees, contractors, subcontractors, or agents) from taking any adverse employment action against employees because of protected whistleblowing activities. The act protects employees who report conduct that they “reasonably believe” violates federal securities laws, the rules of the Securities and Exchange Commission, or any federal law relating to fraud against shareholders.

Key Content

Employees are protected under the act when they:

- Raise the allegations of fraud to either a federal agency or a member of the organization who has

authority to “investigate, discover, or terminate misconduct.”

- File, testify in, participate in, or assist in a proceeding filed or about to be filed related to securities fraud.

Ledbetter v. Goodyear Tire and Rubber Company and Lilly Ledbetter Fair Pay Act

In **Ledbetter v. Goodyear Tire and Rubber Company** (2007), the U.S. Supreme Court ruled against Lilly Ledbetter’s claims of sex discrimination in pay under Title VII. The court ruled that Ledbetter’s claims were not timely because she did not file discrimination charges with the EEOC within the 180-day time frame, which is a prerequisite for bringing a discrimination lawsuit.

The **Lilly Ledbetter Fair Pay Act** of 2009 overturned the *Ledbetter* 2007 U.S. Supreme Court decision.

Key Content

> Under the Ledbetter Act, the statute of limitations resets as the employer issues each allegedly discriminatory paycheck. Additionally, the open-ended nature of the law's coverage of unlawful employment practices, which includes compensation decisions or "other practices," suggests that employees and their families or heirs could file a discrimination lawsuit against an employer regarding benefits such as salary-based defined benefit and contribution-based defined contribution retirement plan payouts and salary-based life insurance proceeds.

Proactive organizations will identify and remedy any potentially discriminatory pay practices. These practices may include basing pay decisions on a person's belonging to a protected class, such as race, religion, color, sex, national origin, age, disability, or veteran status.

Davis-Bacon Act and Related Acts

The Davis-Bacon Act, the Walsh-Healey Public Contracts Act, and the McNamara-O'Hara Service Contract Act all apply to contractors

and subcontractors who have contracts with the U.S federal government.

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Davis-Bacon Act

The **Davis-Bacon Act** applies to certain federal contractors and subcontractors with construction projects in excess of $2,000. It requires contractors and subcontractors to pay laborers and mechanics no less than the locally prevailing wages and fringe benefits for corresponding work on federal contracts. It also requires the retention of records containing the following basic data for all employees:

- Name
- Address
- Social Security number
- Gender
- Date of birth
- Occupation
- Job classification

Walsh-Healey Public Contracts Act

The **Walsh-Healey Public Contracts Act** applies to manufacturers and suppliers of goods for federal contracts in excess of $15,000. It establishes a minimum wage, maximum hours, and health and safety standards for contracts to manufacture or furnish materials, articles, or equipment to the U.S. government or the District of Columbia. It requires retention of current work permits for minors as well as compensation records including:

- Amounts and dates of actual payment.
- Period of service covered.
- Daily and weekly hours.
- Straight time and overtime hours/pay.
- Fringe benefits paid.
- Deductions and additions.

It also requires retention of data on job-related injuries and illnesses (logs with dates and summaries and details of accidents).

McNamara-O'Hara Service Contract Act of 1965

The **McNamara-O'Hara Service Contract Act** requires contractors and subcontractors on prime contracts (that is, contracts with the project owner) in excess of $2,500 to pay service employees in various classes no less than the wage rates and fringe benefits found in the locality or the rates, including prospective increases,

found in the previous contractor’s collective bargaining agreement. In response to specific requests from contracting agencies, the Department of Labor will issue wage determinations on a contract-by-contract basis.

Contracts equal to or less than $2,500 must pay the federal minimum wage, as is provided in the Fair Labor Standards Act. If the contract is in excess of $100,000, laborers and mechanics, including guards and watchmen, must be paid at least time and a half for all hours worked over 40 during a workweek by the contractor or subcontractor.

U.S. Leave and Benefits Laws

Key concepts related to this section include:

- Leave and benefits Examples: Consolidated Omnibus Budget Reconciliation Act (COBRA) of 1985; Family and Medical Leave Act of 1993 (FMLA; expanded 2008, 2010); Uniformed Services Employment and Reemployment Rights Act of 1994 (USERRA); Patient Protection and Affordable Care Act (ACA; “Obamacare”); including rules for breaks and lactation rooms for nursing mothers; Americans with Disabilities Act of 1990 (ADA) and amendments, including leave as a reasonable accommodation; Defense of Marriage Act (DOMA; overruled in 2013); EEOC v. Verizon settlement (2011); National Federation of Independent Business v. Sebelius (2012).

U.S. Leave and Benefits Laws

A variety of legislation affects employee leave and benefits programs, including the Consolidated Omnibus Budget Reconciliation Act of 1985, the Family and Medical Leave Act of 1993, the Uniformed Services Employment and Reemployment Rights Act of 1994, and the Patient Protection and Affordable Care Act of 2010.

Competency Connection

The Analytical Aptitude competency involves the collection and analysis of data. In this case, an HR professional gathers data regarding a specific case and then applies legal requirements to determine the employer's obligations.

An employee who has been with an organization for 14 months on a part-time basis meets with the HR manager and the employee's direct supervisor to inform them of a need for a medical leave of absence (LOA) for a personal medical condition. Following the meeting, the HR manager conducts appropriate due diligence regarding the employer's LOA coverage and the employee's eligibility to ensure compliance with Family and Medical Leave Act provisions. The HR manager calls a follow-up meeting with the

employee and the supervisor to discuss how to best manage the LOA, even if it will be on an intermittent basis.

The HR manager's actions demonstrate how to balance the employee's request and right to LOA with business needs and operating requirements.

Consolidated Omnibus Budget Reconciliation Act and Amendments

Key Content

The **Consolidated Omnibus Budget Reconciliation Act (COBRA)** of 1985 provides individuals and their dependents who otherwise would lose their coverage due to a COBRA-qualifying event with an opportunity to continue receiving health-care coverage under the employer's group health plan at the individual's expense. COBRA-qualified beneficiaries must pay the full premium for the coverage. In addition, the plan may elect to charge a qualified beneficiary a 2% administrative fee.

Employers who provide health-care benefits to their employees and who employed an average of 20 or more people in the prior calendar year must allow covered employees and their covered dependents to continue their group health coverage in the event such coverage would end due to termination of employment, divorce, death of the employee, etc. An exception to this general rule applies in the case of a person whose employment is terminated due to gross misconduct, if the employer elects to apply that exception.

The maximum length of time COBRA coverage can be continued (usually 18 or 36 months, sometimes longer) is determined by the type of qualifying event. Exhibit 46 lists the qualifying events that can trigger COBRA coverage and the maximum length of time benefits can be continued.

Exhibit 46: COBRA Coverage

Event	Maximum Length of Continuation (Months)
Termination of employment for gross misconduct	0
Termination of employment for any reason other than gross misconduct	18
Reduction in hours	18
Employee is disabled at the time of reduction in hours or termination (if required notice is provided to plan administrator in timely manner)	29
Divorce or death of the employed spouse	36

Event	Maximum Length of Continuation (Months)
Dependent child loses eligibility status	36

COBRA coverage generally ends when the employee or dependent ceases paying premiums, becomes eligible for medical insurance from a new employer, or gains Medicare coverage after electing COBRA coverage or when the employer terminates its health-care plan (for example, goes out of business).

COBRA Compliance

COBRA is administered by the Department of Labor (DOL) in conjunction with the Internal Revenue Service. DOL regulations specify several requirements for the timing and content of COBRA notifications. HR professionals should ensure that they understand all the specific conditions and obligations. In turn, an employee must make COBRA elections within 60 days of the date that he or she loses coverage or the date that he or she was notified of the right to elect COBRA coverage (whichever is later).

Complying with COBRA is a complex endeavor. There are statutory penalties under both the Internal Revenue Code and ERISA for noncompliance. Failure to comply with COBRA could subject an

employer to serious penalties as well as payment for incurred medical expenses.

COBRA has been amended, directly or indirectly, by various legislation. Some amendments were “temporary,” such as the COBRA provisions under the American Recovery and Reinvestment Act of 2009. Permanent amendments are discussed next.

Impact on COBRA of Patient Protection and Affordable Care Act

The Patient Protection and Affordable Care Act (PPACA), passed in March 2010, indirectly amends COBRA. Although most of the PPACA health-care reform changes have general applicability to all group health plans—regardless of the extent to which those plans are required to provide COBRA coverage—certain health-care reform mandates have specific COBRA implications. The rule requiring coverage for children up to age 26 is one of them. The PPACA requires group health plans to provide coverage to dependent children up to age 26, regardless of whether the adult child is a tax dependent, has any financial relationship with the participant, resides with the participant, is a student, or meets any other requirement of a relationship other than that of a son, daughter, stepchild, or adopted or foster child of the participant.

Amendment of COBRA by the Health Insurance Portability and Accountability Act

The Health Insurance Portability and Accountability Act (HIPAA) of 1996 made the following changes to COBRA:

- HIPAA clarifies that all related qualified beneficiaries eligible for COBRA because of the same 18-month qualifying event are entitled to purchase the additional 11 months of continuation coverage—for a total of 29 months—if any one of the qualified beneficiaries is disabled at the time of termination or at any time during the first 60 days of COBRA coverage.
- The rule that COBRA coverage could not be terminated if the qualified beneficiary obtained other coverage with a pre-existing condition was modified to allow termination of COBRA coverage if the qualified beneficiary is not subject to the pre-existing condition because of HIPAA's creditable coverage rule.
- The definition of qualified beneficiary was changed to include children born to or placed for adoption with a covered employee while COBRA continuation coverage is in effect.

Family and Medical Leave Act and Amendments

The **Family and Medical Leave Act (FMLA)** of 1993 requires employers to allow employees to take time off for certain caregiving, medical, military, and family needs.

Key Content

The act covers private-sector employers with 50 or more employees (full- or part-time) for 20 or more workweeks in the current or preceding calendar year. It applies not only to private employers but also to nonprofit organizations and public agencies (regardless of the number of employees), including Congress. To be eligible for FMLA leave, an employee must have worked at least 12 months (total) for the employer, for at least 1,250 hours in the 12-month period preceding the commencement of the leave, and at a site within 75 miles of which 50 or more employees work.

The FMLA allows employees to take up to 12 workweeks of unpaid, job-protected leave during a designated 12-month period in the following cases:

- For incapacity due to pregnancy, prenatal medical care, or childbirth
- To care for the employee's child after birth or placement for adoption or foster care
- To care for the employee's immediate family member (for example, spouse, child, or parent) who has a serious health condition
- For a serious health condition that makes the employee unable to perform his or her job
- To care for any next of kin who is a covered service member with a service-related illness or injury (military caregiver leave)
- To attend to obligations that arise as a result of an immediate family member's call to or return from covered military service (exigency leave)

The DOL administers the FMLA. The DOL has released numerous documents regarding employer and employee rights and procedural requirements under the FMLA.

Some of the key DOL regulations and interpretation documents pertain to:

- Guidance on how the FMLA applies when there is no legal or biological parent-child relationship.
- Clarification regarding how "spouse" is defined.

- Clarification of intermittent leave (when leave is taken a little at a time, as needed).
- Medical certification requirements and under what circumstances an employer is permitted to contact an employee's health-care provider.
- Terms for fitness-for-duty certification (both for the initial return to work and any periodic requirements).
- Provisions for health benefits continuation while the employee is on approved FMLA leave and how COBRA is triggered if the employee does not return to work.
- Reinstatement rights regarding an employer's responsibility to restore the employee to the same position that the employee occupied prior to FMLA leave or to an equivalent position with equivalent benefits, pay, and other terms and conditions of employment.
- Modified-duty programs when the employee returns to work from FMLA leave.
- Provisions for cost containment and how employers can integrate leave benefits (sick or vacation days), workers' compensation leave, and/or disability insurance with FMLA leave to reduce the costs of FMLA compliance.

Key Content

The definition of a “serious health condition” has evolved over time. The 1993 FMLA regulations defined a serious health condition as one requiring inpatient hospital, hospice, or residential care or continuing treatment by a health-care provider (with multiple definitions). DOL regulations issued in 2009 clarified one of the definitions of a serious health condition, which involves employee incapacity for more than three consecutive, full calendar days plus two visits to a health-care provider or one visit to a health-care provider plus a regimen of continuing treatment. The first health-care provider visit must occur within seven days of the first day of incapacity. Where applicable, the two visits must occur within 30 days of the beginning of the period of incapacity, absent extenuating circumstances. In addition, for chronic serious health conditions, the employee must visit a health-care provider at least twice per year.

Many FMLA resources can be accessed at the DOL website, at www.dol.gov/agencies/whd/fmla/.

National Defense Authorization Acts

The **National Defense Authorization Act (NDAA)** for Fiscal Year 2008 provided the first expansion of FMLA leave for employees with family members who are covered members of the military. Specifically, the act added two new FMLA-qualifying events: qualifying exigency leave and military caregiver leave. The National Defense Authorization Act for Fiscal Year 2010 (2010 NDAA) further expanded the military family leave rights added to the FMLA in 2008.

Many, but not all, of the provisions of the FMLA apply to these two new categories of FMLA leave, including employer coverage, employee eligibility requirements, health insurance continuation, and reinstatement rights. Employees can use the leave all at once or on an incremental basis.

The qualified exigency leave benefit provides up to 12 workweeks of FMLA leave due to a spouse, son, daughter, or parent being on covered active duty or having been notified of an impending call or order to covered active duty in the armed forces. For members of a regular component of the armed forces, “covered active duty” means duty during deployment with the armed forces to a foreign country. For members of reserve components of the armed forces, including members of the U.S. National Guard, “covered active duty” means duty during deployment of the member with the armed forces to a

foreign country under a call or order to active duty in a contingency operation as further defined in the law.

DOL regulations address what constitutes a qualifying exigency leave under the FMLA's military leave provisions. Employees can take qualifying exigency leave in circumstances that fall under one of the following categories:

- Short-notice deployment
- Military events and related activities
- Child-care and school activities
- Financial and legal arrangements
- Counseling; rest and recuperation
- Post-deployment activities
- Additional activities agreed to by the employer and the employee

The military caregiver leave benefit provides up to 26 workweeks of unpaid FMLA leave during a single 12-month period for an eligible employee who is the spouse, son, daughter, parent, or next of kin of a covered service member with a serious injury or illness. Under the 2010 NDAA amendments, "covered service members" was expanded to include certain veterans. The definition of "serious injury or illness" was also expanded. A "serious injury or illness" is one that may render the member medically unfit to perform the

duties of the member's office, grade, rank, or rating. For current members and veterans of the armed forces, this encompasses not only a serious injury or illness incurred in the line of duty while on active service but also a serious injury or illness that existed before the beginning of the member's active duty and that was aggravated by service in the line of duty while on active service in the armed forces. For a veteran, the injury or illness may manifest itself before or after the member becomes a veteran.

Uniformed Services Employment and Reemployment Rights Act and Amendments

Since 1940, federal law has guaranteed certain employment rights to employees who serve in the military. The **Uniformed Services Employment and Reemployment Rights Act (USERRA)** of 1994 substantially revised such provisions.

Key Content

USERRA was enacted to protect the employment, reemployment, and retention rights of persons who

voluntarily or involuntarily serve or have served in the uniformed services.

The Veterans Benefits Improvement Act of 2004 amended portions of USERRA.

The DOL administers USERRA and published final regulations in 2005.

Key Content

The final DOL regulations confirm that USERRA applies to virtually all employers, both public and private, regardless of size, and prohibits discrimination in employment, job retention, advancement, or any benefit of employment on the basis of membership, application for membership, application for service, performance of service, or obligation for service in the uniformed services.

The USERRA DOL regulatory provisions:

- Confirm that applicants are covered by USERRA if an organization rejects a candidate or withdraws an offer of employment due to pending military leave.
- Require employees or an appropriate representative of the military to provide oral or written notice of the need for leave (according to Department of Defense regulations cited in the USERRA regulations, 30 days when feasible).
- Allow an employee to take military leave for up to five years (extended in some circumstances, such as an order to remain on active duty because of a war or national emergency that is unrelated to training).
- Clarify the types of military service covered by USERRA.
- Give employees on military leave the same non-seniority-based benefits and rights generally provided (by contract, agreement, policy, practice, or plan) to other employees with similar seniority, status, and pay on other types of leaves.
- Give employees on military leave the same seniority-based benefits they would have received if they had not taken military leave.
- Give covered employees the right to choose whether they want to use paid leave, if any is available during their absence for covered service.
- Require that military leave not create a break in service for retirement plan purposes, including participation, vesting, and

accrual of benefits.

- Establish specific time frames for employees on military leave to apply for reemployment.
- Define employers' reemployment obligations, including timing of reemployment, reemployment position, and discharge restrictions.
- Provide additional protection for disabled veterans.

In 2011, the Veterans Opportunity to Work (VOW) to Hire Heroes Act amended USERRA to recognize claims of a hostile work environment on account of an individual's military status generally. By amending USERRA to prohibit discrimination with respect to the "terms, conditions, or privileges of employment," the VOW to Hire Heroes Act establishes the same standard for hostile environment claims on account of military status as that governing Title VII and other employment discrimination laws.

Patient Protection and Affordable Care Act, Amendment, and Case Law

Key Content

The **Patient Protection and Affordable Care Act**

(PPACA) of 2010, amended by the Health Care and Education Reconciliation Act, is one of the largest U.S. health-care reforms since Medicare legislation in 1965. PPACA provisions are extensive. Since 2014, virtually all citizens and legal residents of the U.S. have been required to have minimum essential health coverage. (An exception is made for lower-income individuals.) Failure to do so results in an excise tax penalty.

A key PPACA provision requires employers with more than 50 full-time employees to offer minimum essential health coverage that meets minimum benefit specifications or pay a penalty of $2,000 per full-time employee per year. This provision became effective for employers with at least 100 full-time employees beginning in 2015 and for employers with at least 50 full-time employees beginning in 2016.

PPACA is commonly called the Affordable Care Act (ACA) or “Obamacare,” since the federal legislation was signed into law by Barack Obama.

Virtually all health-care plans are subject to some or all PPACA provisions. Plans that were in place as of March 23, 2010, are “grandfathered” and can avoid some (but by no means all) of PPACA’s mandates so long as they do not increase plan participants’ cost for plan benefits, including out-of-pocket expenses and required employee contributions.

Additional PPACA provisions are summarized in Exhibit 47. (Note: Assume that the provisions described in Exhibit 47 apply to *both* grandfathered and nongrandfathered plans unless exceptions are described.)

Exhibit 47: Key PPACA Provisions

Provision	Description
Lifetime maximum benefit limits	Eliminates lifetime maximum benefit limits on essential health benefits. *
Preexisting conditions	Eliminates all preexisting condition limitations for all participants and beneficiaries.
Small employer health-care tax credit	Provides a tax credit (up to 35% of employer's cost for group health-care premiums) for qualifying small employers.
Preventive care	For nongrandfathered plans only. Provides first-dollar coverage (with no deductible or employee payment co-shares) for certain preventive care services. **
Dependent coverage	Requires coverage of employees’ adult children until age 26.

Provision	Description
Uniform explanation of coverage	Requires employers to provide participants and plan beneficiaries a summary of benefits and coverage (not to exceed four pages) prior to enrollment, reenrollment, or prior delivery of the certificate of coverage.
Notice of material modifications	Requires employers to provide a notice of material changes to the summary of benefits and coverage effective other than as of the beginning of the plan year at least 60 days in advance of the effective date of change.
Annual benefit limits	Prohibits annual limits on essential health benefits.
State health marketplaces	Creates state-run health-care marketplaces allowing both individuals and employers the ability to purchase standardized plan designs for health coverage.
“Cadillac plan” tax	Places an excise tax on “high value” health plans—where the value of family coverage and coverage for retirees and employees in high-risk jobs exceeds specified limits (to be indexed annually).This will take effect for tax years beginning after December 31, 2022.
Break time for nursing mothers	Requires employers to provide a reasonable break time for an employee to express breast milk for a nursing child for one year post-birth each time the employee has a need to express the milk; employer must provide a private location, other than a bathroom, that is free from intrusion and shielded from view for the employee to use to express the breast milk.

* Essential benefits are broadly defined and include ambulatory patient services, emergency services, hospitalization, maternity and newborn care, mental health and substance abuse disorder services, prescription drugs, laboratory services, preventive and wellness services, and pediatric services.

** Required preventive benefits include items labeled types A and B by the U.S. Preventive Services Task Force; childhood and adult immunizations recommended by the Centers for Disease Control; preventive care for infants, children, and adolescents recommended by the Health Resources and Services Administration; and additional preventive care and screenings for women.

National Federation of Independent Business v. Sebelius

Key Content

In **National Federation of Independent Business v. Sebelius** (2012), the U.S. Supreme Court considered two key PPACA provisions: Medicaid expansion and the individual mandate.

Medicaid offers federal funding to states to assist pregnant women, children, low-income individuals, the blind, the elderly, and the disabled in obtaining medical care. PPACA proposed to expand the scope of Medicaid and increase the number of low-income individuals states must cover as well as increase federal funding to cover some of the states' costs in expanding the coverage. But PPACA stipulated that if a state did not comply with the PPACA-expanded Medicaid coverage requirements, the state could lose not only the federal funding for those expanded requirements but all of its federal Medicaid funds. The Supreme Court found that this requirement was unconstitutional because it violated the Tenth Amendment. As a result of the Court striking down the PPACA provision conditioning all federal Medicaid funds on a state

complying with the expanded Medicaid coverage requirements, states can avoid providing insurance for the PPACA-expanded population of low-income individuals who cannot obtain insurance by themselves.

The individual mandate requires most individuals who are not exempt and who do not receive health insurance through an employer or government program to purchase private health insurance coverage. With limited exceptions, those who do not comply with the mandate must pay a penalty to the Internal Revenue Service for noncompliance. The Court held that the individual mandate was a tax and therefore constitutional because Congress had the power to assess a tax against those who did not purchase insurance.

Defense of Marriage Act

The Defense of Marriage Act defined marriage as the union of one man and one woman. It was ruled unconstitutional in Supreme Court rulings in 2013 and 2015.

The **Defense of Marriage Act (DOMA)** defined marriage as the union of one man and one woman and permitted states to not recognize same-sex marriages recognized by other states. It was

ruled unconstitutional by the United States Supreme Court in cases including *United States v. Windsor* (2013) and *Obergefell v. Hodges* (2015).

This law, while in effect, meant that same-sex couples could be barred from accessing employment benefits, claiming inheritance rights, and filing for taxes jointly. It also prevented same-sex couples from taking medical leave to provide care for partners or non-biological children. Following the *Windsor* and *Obergefell* rulings, these benefits and rights became accessible to same-sex couples.

U.S. Employee Safety and Health Laws

Proficiency indicators related to this section include:

- Ensures that HR technologies facilitate compliance and reporting requirements (examples include tracking employee accident and safety reports).

Key concepts related to this section include:

- Job safety and health Examples: Occupational Safety and Health Act of 1970; Drug-Free Workplace Act of 1988; Health Insurance Portability and Accountability Act of 1996 (HIPAA); Guidelines on Sexual Harassment; Workers' Compensation.
- Miscellaneous protection laws Examples: Drug screening, medical marijuana

U.S. Employee Safety and Health Laws

In order to help organizations protect their human capital, HR professionals need to be aware of and ensure compliance with laws that relate to managing safety and health in the workplace. Two important pieces of federal legislation on employee safety and health are the Occupational Safety and Health Act of 1970 and the Drug-Free Workplace Act of 1988. Covered organizations must comply with state and local laws and regulations related to these two laws. Such regulations vary among states and municipalities and often impose additional burdens on employers.

Occupational Safety and Health Act

Key Content

The **Occupational Safety and Health (OSH) Act** of 1970 established the first national policy for workplace safety and health. This federal law requires employers to provide safe and healthful working conditions for employees.

Coverage

The OSH Act covers virtually all workers in the country, with a few exceptions, such as family farms worked only by family members and self-employed workers.

Administration

The Occupational Safety and Health Administration (OSHA) was created within the federal Department of Labor to administer and enforce the act. OSHA's mission is to help employers and employees reduce on-the-job injuries, illnesses, and deaths.

To that end, OSHA has set forth a variety of responsibilities and rights for both employees and employers.

Employee Responsibilities

Although OSHA does not cite employees for violations of their responsibilities, it does stipulate that each employee "shall comply with all occupational safety and health standards and all rules, regulations, and orders issued under the act" that are applicable.

Employee Rights

The overarching employee right under the OSH Act is covered by the **General Duty Clause ,** which states that each employer:

> …shall furnish to each of his employees employment and a place of employment which are free from recognized hazards that are causing or are likely to cause death or serious physical harm to his employees PLUS shall comply with occupational and health standards promulgated under this Act.

Employer Responsibilities

Basically, employers must keep employees informed, healthy, and safe. Exhibit 48 summarizes some of the key responsibilities employers have under OSHA.

Exhibit 48: Key OSHA Employer Responsibilities

Keeping Employees Informed	Keeping Employees Healthy and Safe

Keeping Employees Informed	Keeping Employees Healthy and Safe
• Display the OSHA poster in a conspicuous place where it can be seen and read by all employees. • Make copies of the act and relevant OSHA rules and regulations available to employees upon request. • Post OSHA citations at or near the work site involved until the alleged violation has been abated or for three working days, whichever is longer. • Notify any employee who has been/is being exposed to hazardous agents at levels exceeding those in a mandatory OSHA standard and inform exposed employees of corrective action being taken. • Maintain accurate records of and periodically report on work-related deaths and injuries and illnesses beyond first aid; permit employees to review records. • Permit an authorized employee representative to accompany the OSHA compliance officer during any physical workplace inspection.	• Correct cited violations within the period prescribed or agreed to by OSHA. • Allow employees to refuse abnormally dangerous work when faced with an imminent danger of death or serious injury. (Some state laws also provide a procedure for employees to follow when protesting unsafe working conditions.) • Provide employees with personal protective equipment required for the job, at the employer's expense, except for footwear that can be used off the job and prescription eyewear. • Provide medical surveillance of employees when required by OSHA standards. • Provide training mandated under specific OSHA standards. • Ensure that persons directing work understand and enforce all applicable safety laws, rules, and regulations.

The General Duty Clause covers only serious hazards for which OSHA has not yet promulgated a specific standard; OSHA cannot cite an employer for a violation of the General Duty Clause if there is a specific standard covering the condition or practice in question.

However, an employer still could be cited under OSHA's General Duty Clause for employee injuries and fatalities where:

- The employer failed to keep the workplace free of a hazard.

- The hazard was recognized either by the cited employer individually or by the employer's industry generally.
- The recognized hazard was causing or was likely to cause death or serious physical harm.
- There was a feasible means available that would eliminate or materially reduce the hazard.

Employer Rights

Generally, employers may:

- Monitor OSHA's announcements of its intent to propose new regulations and participate in the rule-making process by attending public hearings on the proposed rules and submitting comments on the rules to the extent that they affect their workplace.
- Be active in their industry association's involvement in job safety and health and take an active role in developing safety and health standards through participation in OSHA Standards Advisory Committees, through nationally recognized standards-setting organizations, and through evidence and views presented in writing or at hearings.
- Apply to OSHA for a temporary variance from a standard if unable to comply because of the unavailability of materials,

equipment, or personnel needed to make necessary changes within the required time.

- Apply to OSHA for a permanent variance from a standard if the employer can furnish proof that the facilities or method of operation provides employee protection at least as effective as that required by the standard.

Key OSHA Standards

Employers are regulated by OSHA standards. OSHA currently publishes six volumes of standards in the Code of Federal Regulations (CFR). These standards cover four major categories: general industry, maritime, construction, and agriculture. The fundamental provisions of some of the best-known OSHA standards are summarized in Exhibit 49.

Exhibit 49: Key OSHA Standards

OSHA Standard	Key Requirements
Emergency Exit or Evacuation Procedures	Provides guidelines for preparing an emergency action plan and includes specifications regarding exits and maintenance of emergency systems; also known as Means of Egress standard.
Occupational Noise Exposure	Requires employers to provide for effective engineering or administrative controls to reduce unsafe noise levels in the workplace; also known as Hearing Conservation standard.
Machine Guarding	Provides general requirements for all machinery to protect operator and other employees.

OSHA Standard	Key Requirements
Hazard Communication	Requires use of labeling, safety data sheets, training, orientation for new and transferred employees, and written hazard communication programs to inform employees of hazardous chemicals in the workplace; also known as Employee Right-to-Know Law.
Control of Hazardous Energy	Requires action so equipment cannot be activated (lockout) and signs or labels (tagout) to be attached to dangerous equipment that should not be activated.
Bloodborne Pathogens	Requires employers to protect employees from potentially infectious materials; Needlestick Safety and Prevention Act revised the standard to require employers to minimize employees' exposure to blood from sharps injuries through annual reviews and employee input.
Confined Space Entry	Addresses concerns over adequate oxygen content in the air, toxic or flammable substance exposure, and physical exposures for workers in confined spaces. Requires space-entry restrictions, rescue procedures, and written safe-entry program.
Personal Protective Equipment	Protects employees from environmental, process, chemical, mechanical, or radiological hazards capable of causing injury or impairment and sets criteria for acceptable equipment designs.
Process Safety Management	Aimed at preventing or minimizing the effect of catastrophic releases of toxic, reactive, flammable, or explosive chemicals.

Record-Keeping Requirements

OSHA has specific record-keeping requirements. Some of the key posting requirements were noted in Exhibit 48, "Key OSHA Employer Responsibilities." Additionally, all organizations with more than ten employees, except for low-risk businesses, must report all

employee occupational injury and illness data. An **occupational injury** is an injury such as a cut, fracture, sprain, or amputation that results from a work-related accident or exposure involving a single incident in the work environment. An **occupational illness** is a medical condition or disorder, other than one resulting from an occupational injury, caused by exposure to environmental factors associated with employment.

OSHA has one set of criteria for recording both work-related injuries and work-related illnesses.

OSHA Forms

Covered employers must use specific OSHA forms to report illnesses and injuries:

- OSHA's Form 300: Log of Work-Related Injuries and Illnesses
- OSHA's Form 300A: Summary of Work-Related Injuries and Illnesses
- OSHA's Form 301: Injury and Illnesses Incident Report

Incidence Rates

Each year OSHA collects work-related injury and illness data from employers within specific industry and employment size specifications. This data collection is called the OSHA Data Initiative (or ODI). The data provided is used by OSHA to show the relative

level of injuries and illnesses among different industries, firms, or operations within a single firm.

Incidence rates take on more meaning for an employer when the injury and illness experience of the organization is compared with that of other employers doing similar work with workforces of similar size. For an individual employer, these rates can help determine both problem areas and progress in preventing work-related injuries and illnesses.

OSHA Inspections

Unlike some other federal agencies, where an initial notice of investigation is given in writing, OSHA does not normally give advance notice. Inspections may be conducted at random or in response to complaints of unsafe conditions. Employers must submit to an inspection if the inspector has a warrant. In the absence of a warrant, the employer has two choices: consent to the inspection or refuse and require OSHA to provide a search warrant before allowing access to the organization’s premises. OSHA has protocols for both inspection priorities and inspection procedures.

OSHA Violations, Citations, and Penalties

After an OSHA inspection, a report listing probable violations is prepared. Normally, citations are issued and sent by certified mail.

However, citations may be issued at the work site immediately following the inspection in cases where immediate protection is necessary. Penalties may be assessed based on the severity of the violations, the size of the business, the good-faith efforts of the employer to abate the cited violations, and the employer's previous violations, if any.

An employer has the right to challenge a citation. OSHA has specific procedures to do so, including a hearing with an administrative law judge and appeal to the Occupational Safety and Health Review Commission or to courts of appeals (for example, circuit courts or the Court of Appeals for the District of Columbia Circuit).

Drug-Free Workplace Act

Key Content

Under the **Drug-Free Workplace Act** of 1988, federal contractors with contracts of $100,000 or more as well as recipients of grants from the federal government in any amount must follow requirements to certify that they are maintaining a drug-free workplace.

The requirements under the Drug-Free Workplace Act include:

- Developing a policy that prohibits the unlawful manufacturing, distribution, possession, or use of a controlled substance in the workplace.
- Specifying the actions that will be taken against those who violate the policy.
- Providing a copy of the policy and the consequences of violating the policy to employees, including employees having to inform the employer within five days if they are convicted of a criminal drug offense occurring in the workplace.
- Establishing a drug-awareness program that informs employees about the dangers of drug use in the workplace, the availability of drug treatment and counseling, and the employer's drug-free policy and penalties for drug violations.

In addition, action by the employer is required in the case of drug-related convictions, including:

- Notifying the federal contracting agency within ten days of receiving notice of any employee conviction of a criminal drug offense occurring in the workplace.
- Imposing a sanction on a convicted employee or requiring satisfactory participation in a rehabilitation program.

State Drug-Free Workplace Laws and Marijuana Laws

Some states have laws related to a drug-free workplace that affect all employers in that state, including those who do not do business with the federal government. By and large, employers can implement zero-tolerance drug policies and test their employees for drug use as long as the testing is done in accordance with any applicable state regulations.

But as state marijuana laws continue to evolve, firing employees for marijuana use is becoming increasingly complicated, especially for employers without clear workplace drug policies and especially when marijuana use takes place outside working hours or for medical reasons and has no impact on job performance. As of this writing, at least 31 states as well as the District of Columbia and Guam have legalized the use of medical marijuana, 14 states have decriminalized the use of marijuana, and nine states plus the District of Columbia have legalized its use in certain quantities. These numbers are even greater when considering laws enacted at the local level.

Marijuana in the workplace is still relatively new legal territory, and the implications of state marijuana laws are both complex and evolving. Complicating the legal landscape is the fact that state marijuana laws vary greatly in their criteria and implementation.

It is important to keep in mind that marijuana remains illegal under the federal Controlled Substances Act, which provides no exception for medicinal use. Furthermore, the ADA does not require employers to accommodate medical marijuana use as a reasonable accommodation; an individual with a disability is not entitled to accommodation for the use of drugs considered unlawful under the Controlled Substances Act.

Employee Relations Laws

Proficiency indicators related to this section include:

- Coaches employees at all levels in understanding and avoiding illegal and noncompliant HR-related behaviors (examples include illegal terminations or discipline, unfair labor practices).

Key concepts related to this section include:

- Employee relations Examples: National Labor Relations Act of 1935 (NLRA; Wagner Act; Wagner-Connery Labor Relations Act); Labor Management Relations Act of 1947 (LMRA; Taft-Hartley Act); Labor-Management Reporting and Disclosure Act of 1959 (LMRDA) and amendments; Electronic Communications Privacy Act of 1986 (ECPA); Worker Adjustment and Retraining Notification Act (WARN) of 1988; Employee Polygraph Protection Act of 1988;NLRB v. Weingarten (1975); Lechmere, Inc. v. NLRB (1992).

Employee Relations Laws

The National Labor Relations Act and its amendments are important in the area of employee relations, as are two legal cases: *NLRB v. Weingarten* and *Lechmere, Inc. v. NLRB.* Other laws related to this area are the Employee Polygraph Protection Act, the Worker Adjustment and Retraining Notification Act, and the Electronic Communications Privacy Act.

National Labor Relations Act, Amendments, and Cases

Key Content

The **National Labor Relations Act (NLRA)** of 1935 was passed with the purpose of protecting and encouraging the growth of the union movement. The act established workers' rights to organize and bargain collectively with employers. The NLRA also established a new independent agency—the National Labor Relations Board (NLRB).

The **Labor-Management Relations Act (LMRA)** of 1947 significantly amended the NLRA and imposed several restrictions and requirements on unions.

The **Labor Management Reporting and Disclosure Act (LMRDA)** of 1959 further amended the NLRA and imposed regulations on internal union affairs and the relationship between union officials and union members.

The NLRA is also known as the Wagner Act or the Wagner-Connery Act. Similarly, the LMRA is also known as the Taft-Hartley Act and the LMRDA is also called the Landrum-Griffin Act.

As originally passed, the NLRA provided strong support for the rights of employees to join a union. For that reason, in most people's minds, the NLRA is associated with union activity. However, it would be a mistake to think that the provisions of the NLRA apply only to union members. The rights granted by the law apply to all nonsupervisory workers—whether or not they are members of unions and whether or not specific organizing activity has occurred.

Coverage

The NLRA applies to all employers participating in interstate commerce, with the exception of governments, religious schools, agricultural employers, and the railroad and airline industries.

The NLRA generally protects all the nonsupervisory employees of a covered employer. It does not protect certain types of workers (such as agricultural workers, domestic laborers, and independent contractors as well as managers and supervisors).

Enforcement

The NLRB was created to enforce the self-organization rights of employees to:

- Form, join, or assist labor organizations.
- Bargain collectively through representatives of their own choosing.
- Engage in concerted activities for the purpose of collective bargaining or other mutual aid and protection.
- Refrain from any or all such activities.

The NLRB also determines standards for unions and investigates charges of unfair labor practices. An unfair labor practice (ULP) occurs when a union or an employer violates Section 8 of the National Labor Relations Act. Labor organizations and employers

may engage in activities that constitute a ULP singularly or in combination.

Union members commonly file ULPs against the union because the union has failed to fairly represent its members (for example, refusing to bargain in good faith with the employer). Employees also file ULPs against union leaders for intimidation, coercion, violence, and many other labor law violations if they exercise their rights to refrain from concerted activity.

Common employer ULPs include:

- Interfering with employees as they engage in concerted activity.
- Dominating or assisting a labor union.
- Retaliating against any employee because of union activity.
- Retaliating against an employee for filing charges with the NLRB.
- Refusing to bargain collectively in good faith with a union.
- Promising or giving benefits to employees who oppose a union (for example, rewarding employees who infiltrate or spy on union meetings or question other workers about their support for a union).

To a lesser degree, a ULP may result from the combined activity of employers and labor organizations.

If an employer or a union commits a ULP, the NLRB will order the guilty party to cease and desist from the unlawful behavior. In the event that an employee is injured by a ULP, the NLRB may order the employer to compensate the employee (for example, reinstatement, payment of lost wages and benefits, seniority credits). The NLRB also regularly orders parties guilty of ULPs to post a notice informing workers of the board's decision.

Key Content

Employers should remember that, even if there is no organizing campaign under way or contract in place, they must abide by the provisions of the NLRA and respect covered activities. These may include one employee acting on the authority of one or more coworkers or two or more covered employees:

- Objecting to harassment.
- Refusing to work under dangerous conditions.
- Honoring a picket line, refusing voluntary on-call work, filing grievances, or protesting discrimination.
- Complaining about wages or hours of work.
- Petitioning the employer for resolution of some issue.

In addition, employees have the right to discuss with others the terms and conditions of their employment. Accordingly, requirements that employees keep their salaries confidential are prohibited.

NLRB v. Weingarten

Key Content

NLRB v. Weingarten (1975) is a landmark labor relations case. The case dealt with the right of a unionized employee to have another person present during certain investigatory interviews—the so-called **Weingarten rights.**

An investigatory interview occurs when a supervisor questions an employee to obtain information that could be used as a basis for discipline or asks an employee to defend his or her conduct. In *NLRB v. Weingarten,* the U.S. Supreme Court held that unionized employees had the right to have a union representative present during such investigatory interviews. When a bargaining unit employee requests the presence of a union representative,

management must stop questioning until the representative arrives and give the employee the option of continuing without a representative or foregoing the interview and having disciplinary decisions made on the basis of other information, without employee input.

The U.S. Supreme Court ruled that:

- Management must inform the union representative of the subject of the interview.
- The representative must be allowed to speak privately with the employee before the interview.
- The representative can interrupt to clarify a question or to object to confusing or intimidating tactics.
- The representative cannot tell an employee what to say but may advise the employee as to how to answer a question.
- At the end of the interview, the representative can add information to support the employee's case.

It is also important to appreciate the limits of the *Weingarten* ruling:

- A bargaining unit employee's right to have a union representative present applies only to an investigatory interview —one conducted to gather facts that may lead to a disciplinary action. It does not apply to other types of meetings, such as

where the employer is merely informing the employee of a decision it has already made to impose discipline.

- The person attending the investigatory interview must be affiliated with the union that represents the employee. An employee can be prohibited from having an attorney or a relative present.
- If the interview proceeds, the employer is not required to bargain with the representative or to permit him or her to disrupt the proper conduct of the interview.

Key Content

Over the years, the NLRB has vacillated on the applicability of *Weingarten* to nonunion employees:

- In 2000, the NLRB extended these rights to nonunion employees. Nonunion employees who were not supervisors were able to bring along a coworker to an investigatory meeting with an employer.
- In 2004, the NLRB ruled that the *Weingarten* rights apply only to unionized employees, reversing the 2000 decision.
- In 2016, the NLRB was petitioned to change its position and again apply *Weingarten* rights to

nonunion employees; the NLRB declined to do so.

Lechmere, Inc. v. NLRB

The National Labor Relations Act guarantees employees “the right to self-organization, to form, join, or assist labor organizations” and makes it an unfair labor practice for an employer “to interfere with, restrain, or coerce employees” as they exercise their rights. Lechmere, Inc., owned and operated a large retail store located in a shopping plaza. Lechmere was also part owner of the plaza’s parking lot. Nonemployee union organizers campaigned to organize the store employees by entering the company’s parking lot and placing handbills on car windshields. Lechmere prohibited solicitation and literature distribution on its property. The union organizers persisted in their leafleting campaign despite continued objections from Lechmere. The union also filed an unfair labor practice charge with the National Labor Relations Board, alleging that Lechmere had violated the NLRA by barring the organizers from its property.

In **Lechmere, Inc. v. NLRB** (1992), the U.S. Supreme Court ruled that Lechmere did not commit an unfair labor practice by barring nonemployee union organizers from its property. The court cited

another related ruling and noted that the NLRA confers rights only on employees, not on unions or their nonemployee organizers. Thus, as a rule, an employer cannot be compelled to allow nonemployee organizers onto the business property to any extent greater than it permits other organizations access to its business property. Caution should be used and legal counsel consulted on these issues, as the interpretation of property continues to evolve, such as employees' right to access the employer's e-mail system to engage in protected, concerted activity.

Employee Polygraph Protection Act

Key Content

The **Employee Polygraph Protection Act (EPPA)** of 1988 generally prevents most private employers from requiring applicants or employees to take a polygraph test for preemployment screening or during the course of employment. There are very limited exceptions.

A polygraph is an instrument that records continuously, visually, permanently, and simultaneously changes in cardiovascular,

respiratory, and electrodermal patterns. It is used to render a diagnostic opinion as to the honesty or dishonesty of an individual.

Federal, state, and local governments are excluded from the provisions of the EPPA. In addition, polygraph tests administered by the federal government to employees of federal contractors engaged in national security intelligence or counterintelligence functions are exempt. The act also includes limited exemptions where polygraph tests may be administered in the private sector, subject to certain restrictions:

- To employees who are reasonably suspected of involvement in a workplace incident that results in economic loss or injury to the employer’s business and where the employee had access to the property
- To prospective employees of armored car, security alarm, and security guard firms that protect facilities, materials, or operations affecting health or safety, national security, or currency and other like instruments
- To prospective employees of pharmaceutical and other firms authorized to manufacture, distribute, or dispense controlled substances who would have direct access to such controlled substances as well as current employees who are involved in an ongoing investigation of related criminal or other misconduct

Key Content

Even in the above cases (other than with respect to polygraph tests administered by the federal government to employees of federal contractors engaged in national security intelligence or counterintelligence functions), an employer may not discriminate against prospective or current employees and may not discharge any current employee based solely upon refusal to take a polygraph test or analysis of a test. If an employee voluntarily agrees to take the test, the employee may terminate the test at any time.

Worker Adjustment and Retraining Notification Act

Key Content

The **Worker Adjustment and Retraining Notification (WARN) Act** of 1988 requires some employers to give a minimum of 60 calendar days of advance written notice if a plant is to close or if mass layoffs will occur. This act

allows displaced workers adequate time to search for a new job and allows government entities to determine whether any assistance may be available for affected workers; therefore, it potentially reduces the impact of any mass layoff or plant closing.

The 60 days' advance written notice must be given to affected workers or, if unionized, their local and international union representatives; state dislocated worker units where the affected facilities are located; and the chief elected official of the local government where the closing or layoff will occur.

Coverage

WARN applies to employers who employ 100 or more:

- Full-time employees, or
- Full-time and part-time employees who, in the aggregate, work at least 4,000 hours (exclusive of overtime hours) per week at all employment sites.

"Part-time" means either employees whose average workweek is less than 20 hours per week or those who have been employed for

fewer than six of the preceding 12 months as of the date WARN notices are due.

A covered employer must give notice if there is to be a mass layoff that does not result from a plant closing but that will result in employment loss at the employment site during any 30-day period for 500 or more employees, or for 50 to 499 employees if they make up at least 33% of the employer's active workforce. Again, this does not count employees who have worked less than six months in the last 12 months or who work an average of less than 20 hours a week for the employer. These latter groups, however, are entitled to notice.

Exceptions to 60-Day Notice

There are limited exceptions to the 60-day notice requirement. The three exceptions noted below do not excuse WARN notices. They simply permit provision of fewer than 60 days' advance notice, provided the employer satisfies specific criteria. The employer bears the burden of proof to show that its situation falls within a WARN exception.

- **Faltering company.** This exception covers certain situations where an organization has actively sought new capital or business in order to stay open and where giving notice would

ruin the opportunity to get the new capital or business. The faltering company exception is narrowly construed and applies only to plant closings.

- **Unforeseeable business circumstances.** This exception applies to closings and layoffs that were sudden and were not reasonably foreseeable at the time notice would otherwise have been required (such as the sudden and unpredicted loss of a key business client that severely impacts the organization's financial stability).

- **Natural disaster.** This exception applies where a closing or layoff is the direct result of a natural disaster, such as a flood, earthquake, drought, or storm.

If an organization faces a financial crisis, an unanticipated business event, or a business interruption due to a natural disaster that results in a mass layoff or a plant closing, it should consult legal counsel before relying on an exception.

Key Content

Employers must check state and local law. Some states have WARN acts that have stricter criteria. A number of

states and some municipalities have “mini WARN” laws that may apply even when federal WARN does not.

Electronic Communications Privacy Act

The Electronic Communications Privacy Act bars employers from monitoring certain electronic communications under threat of both civil and criminal penalty.

The federal **Electronic Communications Privacy Act (ECPA)** of 1986 made it unlawful (with certain permitted exceptions) to intercept messages in transmission, access stored information on electronic communication services, or disclose any of this information. To minimize their exposure under the ECPA, employers should not monitor e-mails while in transmission but rather only after they have been sent or received and should have a carefully crafted electronic communications policy, provided to employees, which states that employees do not have any expectation of privacy with respect to such e-mails. The same analysis applies to Internet searches. Employers should not monitor employees while they are in websites but rather only after the fact to see where they were.

Moreover, employers should monitor e-mails in storage only if they are on the employer’s own e-mail server.

Organizations should use their electronic monitoring rights carefully. They can be liable for both civil and criminal penalties. Since the ECPA allows states to enact their own, possibly more restrictive laws, HR professionals must be aware of electronic privacy regulations in all the locales in which their organization does business.

Employee Records Management Requirements in the U.S.

Proficiency indicators related to this section include:

- Coaches employees at all levels in understanding and avoiding illegal and noncompliant HR-related behaviors (examples include illegal terminations or discipline, unfair labor practices).
- Ensures that HR programs, practices, and policies align and comply with laws and regulations.
- Ensures that HR technologies facilitate compliance and reporting requirements (examples include tracking employee accident and safety reports).
- Oversees the fulfillment of compliance requirements for HR programs, practices, and policies.

Employee Records Management Requirements in the U.S.

It is HR's responsibility to create and maintain documents related to employment and to comply with all laws regarding document safekeeping and retention. Individual laws may specify required retention periods. Data protection laws specify employer requirements to provide employee access to data, govern the transparency of the use of data, and protect the confidentiality of employee data.

Complexities and Criticality of Records Management

Employers face several layers of laws requiring them to maintain employment records for extended periods of time. An HR practitioner must undertake considerable due diligence to deal with the challenges that result from the complexity and variety of record-keeping requirements:

- Employer record-keeping obligations arise under many federal and state statutes and regulations.
- Not all requirements apply to all employers. Some apply to most employers; others apply to government contractors and

subcontractors.

- Some requirements depend on the number of employees or the purposes of record keeping.
- Some requirements depend on the industry, the location, and/or the business customers.
- The same or similar records are often required by more than one law, but the periods of retention may vary.

Although record retention is complex and time-consuming, it is a critical HR task. Thorough and accurate record keeping is important to:

- Document and support an organization's employment actions.
- Demonstrate the effectiveness of policies and procedures (for example, through records of actions).

Key Content

HR also needs to ensure that, in the event a claim is asserted or filed or a government investigation is initiated or threatened, documents even remotely related to the claim or investigation are retained for the duration of the claim or investigation until final disposition (including appeals), even if longer than the retention guidelines ordinarily applied.

An HR practitioner first needs to understand the fundamental requirements:

- What records must be kept under each law
- Retention period for those records
- Applicability for each law

Implementing good practices for records retention (such as but not limited to the following) is also prudent:

- Keep well-organized records.
- Establish and implement a record retention and destruction policy.
- Investigate federal requirements.
- Investigate applicable individual state requirements.
- When the same or similar records are required by more than one law but the period of retention varies, retain the information for the longer period of time.
- Determine if there are laws regulating employees' access to their personnel files in the state(s) in which the organization has business operations.
- Establish a system for auditing the organization's record keeping (including personnel files).

Key Content

A final key point about records retention: Record keeping begins long before a job candidate is hired and extends long after an employee leaves the organization.

HR Technology Implications of Records Management

In general, employers are free to maintain their employment records either on paper or electronically. Electronic document retention can relieve the employer of having to provide physical storage space for employment records that span many years.

Key Content

When changing from paper to electronic storage, employers must follow certain protocols. The DOL has published guidelines in its “Final Rules Relating to Use of Electronic Communication and Recordkeeping Technologies by Employee Pension and Welfare Benefit

Plans," which employers can use as a standard for all electronic record keeping.

The following are notable provisions of the DOL electronic guidelines that employers should consider when opting for an electronic system:

- The record-keeping system must have reasonable controls to ensure the integrity, accuracy, authenticity, and reliability of the records kept in electronic form.
- The electronic records must be maintained in reasonable order, in a safe and accessible place, and in such manner as they may be readily inspected or examined (for example, the record-keeping system should be capable of indexing, retaining, preserving, retrieving, and reproducing the electronic records).
- The electronic records must be able to be readily converted into legible and readable paper copy as may be needed to satisfy reporting and disclosure requirements or any other obligation under Title I of ERISA.
- Adequate records management practices must be established and implemented (for example, following procedures for labeling of electronically maintained or retained records; providing a secure storage environment; creating backup

electronic copies and selecting an off-site storage location; observing a quality assurance program evidenced by regular evaluations of the electronic record-keeping system, including periodic checks of electronically maintained or retained records; and retaining paper copies of records that cannot be clearly, accurately, or completely transferred to an electronic record-keeping system).

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Glossary

ADA Amendments Act (ADAAA)

Amendments to U.S. Americans with Disabilities Act covering the definition of individuals regarded as having a disability, mitigating measures, and other rules to guide the analysis of what constitutes a disability.

Adverse impact

Type of discrimination that results when a policy that appears to be neutral has a discriminatory effect; also known as disparate impact.

Age Discrimination in Employment Act (ADEA)

U.S. act that prohibits discrimination in the workplace on the basis of age.

Americans with Disabilities Act (ADA)

U.S. act that prohibits discrimination against a qualified individual with a disability because of his/her disability.

Annualized loss expectancy (ALE)

Expected monetary loss for an asset due to a risk over a one-year period; calculated by multiplying single loss expectancy by annualized rate of occurrence.

Assignees

Employees who work outside their home countries.

Bona fide occupational qualification (BFOQ)

Factor (such as religion, gender, national origin, etc.) that is reasonably necessary, in the normal operations of an organization, to carry out a particular job function.

Burlington Industries, Inc. v. Ellerth

U.S. court ruling that distinguished between supervisor harassment that results in tangible employment action and supervisor harassment that does not.

Civil Rights Act of 1964

First comprehensive U.S. law making it unlawful to discriminate on the basis of race, color, religion, sex, or national origin.

Civil Rights Act of 1991

U.S. act that expands the possible damage awards available to victims of intentional discrimination to include compensatory and punitive damages; gives plaintiffs in cases of alleged discrimination the right to a jury trial.

Comparable worth

Concept that jobs filled primarily by women that require skills, effort, responsibility, and working conditions comparable to similar jobs filled primarily by men should have the same classifications and salaries.

Compliance

State of being in accordance with all national, federal, regional, and/or local laws, regulations, and/or other government authority

requirements applicable to the places in which an organization operates.

Conflict of interest

Situation in which a person or organization may potentially benefit from undue influence due to involvement in outside activities, relationships, or investments that conflict with or have an impact on the employment relationship or its outcomes.

Consolidated Omnibus Budget Reconciliation Act (COBRA)

U.S. act that provides individuals and dependents who may lose health-care coverage with opportunity to pay to continue coverage.

Contingency plan

Protocol that an organization implements when an identified risk event occurs.

Corporate social responsibility (CSR)

Varying ways an organization can create value, looking beyond traditional profit measures of revenue and expenses; includes such areas as philanthropy, volunteerism, corporate-sponsored community programs, social change, sustainability, corporate governance, employee rights, and workplace safety.

Davis-Bacon Act

U.S. act that requires certain contractors and subcontractors to pay laborers and mechanics no less than the locally prevailing

wages and fringe benefits for corresponding work on federal contracts.

Defense of Marriage Act (DOMA)

U.S. act that defined marriage as the union of one man and one woman and permitted states to not recognize same-sex marriages recognized by other states; ruled unconstitutional by the United States Supreme Court.

Disability

Physical or mental impairment that substantially limits one’s major life activities.

Disparate impact

Type of discrimination that results when a policy that appears to be neutral has a discriminatory effect; also known as adverse impact.

Disparate treatment

Type of discrimination that occurs when an applicant or employee is treated differently because of his or her membership in a protected class.

Drug-Free Workplace Act

U.S. law that requires federal contractors with contracts of $100,000 or more as well as recipients of grants from federal government to certify that they are maintaining a drug-free workplace.

Duty of care

Principle that organizations should take all steps that are reasonably possible to ensure the health, safety, and well-being of employees and protect them from foreseeable injury.

Electronic Communications Privacy Act

U.S. act that made it unlawful to intercept messages in transmission, access stored information on electronic communication services, or disclose any of this information.

Employee Polygraph Protection Act (EPPA)

U.S. act that prevents private employers from requiring applicants or employees to take a polygraph test for preemployment screening or during the course of employment, with certain exceptions.

Employee Retirement Income Security Act (ERISA)

U.S. act that established uniform minimum standards to ensure that employee benefit and pension plans are set up and maintained in a fair and financially sound manner.

Employees

Individuals who exchange work for wages or salary; in the U.S., workers who are covered by Fair Labor Standards Act regulations as determined by the IRS.

Employment at-will

Principle of employment in the U.S. that employers have the right to hire, fire, demote, and promote whomever they choose for any

reason unless there is a law or contract to the contrary and that employees have the right to quit a job at any time.

Employment practices liability insurance (EPLI)

Type of liability insurance covering an organization against claims by employees, former employees, and employment candidates alleging that their legal rights in the employment relationship have been violated.

Equal Employment Opportunity Act

U.S act that amended Title VII and gave the Equal Employment Opportunity Commission authority to “back up” its administrative findings and conduct its own enforcement litigation.

Equal Pay Act (EPA)

U.S. act that prohibits wage discrimination by requiring equal pay for equal or “substantially equal” work performed by men and women.

Essential functions

Primary job duties that a qualified individual must be able to perform, either with or without accommodation.

Ethics

Set of behavioral guidelines that an organization expects all of its directors, managers, and employees to follow to ensure appropriate moral and ethical business standards.

Executive Order 13672

Amends Executive Orders 11478 and 11246 to include gender identity and sexual orientation.

Exempt employees

Employees who are excluded from U.S. Fair Labor Standards Act minimum wage and overtime pay requirements.

Fair and Accurate Credit Transactions Act (FACT Act)

U.S act that frees employers who use third parties to conduct workplace investigations from the consent and disclosure requirements of the Fair Credit Reporting Act in certain cases.

Fair Credit Reporting Act (FCRA)

U.S act that protects privacy of background information and ensures that information supplied is accurate.

Fair Labor Standards Act (FLSA)

U.S act that establishes minimum wage, overtime pay, youth employment, and record-keeping standards affecting full- and part-time workers in the private sector and in federal, state, and local governments.

Family and Medical Leave Act (FMLA)

U.S. act that provides employees with up to 12 weeks of unpaid leave to care for family members or because of a serious health condition of the employee.

Faragher v. City of Boca Raton

U.S. court ruling that distinguished between supervisor harassment that results in tangible employment action and

supervisor harassment that does not.

Gender identity

Refers to one's internal, personal sense of being a man or a woman (or boy or girl), which may or may not be the same as one's sexual assignment at birth.

General Duty Clause

Statement in U.S. Occupational Safety and Health Act that requires employers subject to the act to provide employees with a safe and healthy work environment.

Genetic Information Nondiscrimination Act (GINA)

U.S act that prohibits discrimination against individuals on the basis of their genetic information in both employment and health insurance.

Global integration (GI)

Globalization strategy that emphasizes consistency of approach, standardization of processes, and a common corporate culture across global operations.

Globalization

Status of growing interconnectedness and interdependency among countries, people, markets, and organizations worldwide.

Governance

System of rules and processes set up by an organization to ensure its compliance with local and international laws,

accounting rules, ethical norms, internal codes of conduct, and other standards.

Griggs v. Duke Power

U.S. case that set the standard for determining whether discrimination based on disparate impact exists.

Hazard

Potential for harm, often associated with a condition or activity that, if left uncontrolled, can result in injury or illness.

Hostile environment harassment

Occurs when sexual or other discriminatory conduct is so severe and pervasive that it interferes with an individual's performance; creates an intimidating, threatening, or humiliating work environment; or perpetuates a situation that affects the employee's psychological well-being.

Identity alignment

Extent to which diversity is embraced in management of people, products/services, and branding.

Immigration Reform and Control Act (IRCA)

U.S. act that prohibits discrimination against job applicants on the basis of national origin or citizenship and establishes penalties for hiring undocumented workers.

Independent contractors

Self-employed individuals hired on a contract basis for specialized services.

Key risk indicators (KRIs)

Metrics that provide an early signal of increasing risk exposures for an enterprise.

Labor Management Reporting and Disclosure Act (LMRDA)

U.S. act that imposed regulations on internal union affairs and the relationship between union officials and union members.

Labor-Management Relations Act (LMRA)

U.S. act that imposed several restrictions and requirements on unions.

Lechmere, Inc. v. NLRB

1992 case in which the U.S. Supreme Court ruled that an employer cannot be compelled to allow nonemployee organizers onto the business property.

Ledbetter v. Goodyear Tire and Rubber Company

2007 case in which the U.S. Supreme Court ruled that claims of sex discrimination in pay under Title VII were not timely because discrimination charges were not filed with the EEOC within the required 180-day time frame.

Lilly Ledbetter Fair Pay Act

U.S. act that creates a rolling time frame for filing wage discrimination claims and expands plaintiff field beyond employee who was discriminated against.

Local responsiveness (LR)

Globalization strategy that emphasizes adapting to the needs of local markets and allows subsidiaries to develop unique products, structures, and systems.

McDonnell Douglas Corp. v. Green

Case that established criteria for disparate treatment.

McNamara-O'Hara Service Contract Act

U.S. act that requires contractors and subcontractors on certain contracts to pay service employees in various classes no less than the wage rates and fringe benefits found in the locality or the rates found in the previous contractor's collective bargaining agreement.

Moral hazard

Situation in which one party engages in risky behavior knowing that it is protected against the risk because another party will incur any resulting loss.

Multinational enterprises (MNEs)

Organizations that own or control production or service facilities in one or more countries other than the home country.

National Defense Authorization Acts (NDAA)

U.S. acts that expanded FMLA leave for employees with family members who are covered members of the military.

National Federation of Independent Business v. Sebelius

U.S. Supreme Court ruling that Patient Protection and Affordable Care Act requirement that individuals purchase health insurance

was constitutional but requirement that states expand Medicaid was not.

National Labor Relations Act (NLRA)

U.S. act that protected and encouraged the growth of the union movement; established workers' rights to organize and bargain collectively with employers.

National origin

Refers to the country (including those that no longer exist) of one's birth or of one's ancestors' birth.

Near-shoring

Practice of contracting a part of business processes or production to an external company in a country that is relatively close (for example, within the same own region).

NLRB v. Weingarten

Landmark 1975 U.S. labor relations case that dealt with the right of a unionized employee to have another person present during certain investigatory interviews.

Nonexempt employees

Employees covered under U.S. Fair Labor Standards Act regulations, including minimum wage and overtime pay requirements.

Occupational illness

Medical condition or disorder, other than one resulting from an occupational injury, caused by exposure to environmental factors

associated with employment.

Occupational injury

Injury that results from a work-related accident or exposure involving a single incident in the work environment.

Occupational Safety and Health (OSH) Act

U.S. act that established the first national policy for workplace safety and health and continues to deliver standards that employers must meet to guarantee the health and safety of their employees.

Offshoring

Method by which an organization relocates its processes or production to an international location through subsidiaries or third-party affiliates.

Older Workers Benefit Protection Act (OWBPA)

U.S. act that amended the Age Discrimination in Employment Act to include all employee benefits; also provided standards that an employee's waiver of the right to sue for age discrimination must meet in order to be upheld by a court.

Onshoring

Relocation of business processes or production to a lower-cost location inside the same country as the business.

Outsourcing

Process by which an organization contracts with third-party vendors to provide selected services/activities instead of hiring

new employees.

Overtime pay

Required for nonexempt workers under U.S. Fair Labor Standards Act at 1.5 times the regular rate of pay for hours over 40 in a workweek.

Patient Protection and Affordable Care Act (PPACA)

2010 U.S. law that requires virtually all citizens and legal residents to have minimum health coverage and requires employers with more than 50 full-time employees to provide health coverage that meets minimum benefit specifications or pay a penalty.

Phillips v. Martin Marietta Corporation

1971 U.S. case that stated that an employer may not, in the absence of business necessity, refuse to hire women with preschool-aged children while hiring men with such children.

Portal-to-Portal Act

U.S. act that defines what is included as hours worked and is therefore compensable and a factor in calculating overtime.

Pregnancy Discrimination Act

U.S. act that prohibits discrimination on the basis of pregnancy, childbirth, or related medical conditions.

Principal-agent problem

Situation in which an agent (for example, an employee) makes decisions for a principal (for example, an employer) potentially on

the basis of personal incentives that may not be aligned with the principal's incentives.

Process alignment

Extent to which underlying operations such as IT, finance, or HR integrate across locations.

Protected class

People who are covered under a particular federal or state antidiscrimination law.

Prudent person rule

States that a fiduciary of a plan covered by the U.S. Employee Retirement Income Security Act has legal and financial obligations not to take more risks when investing employee benefit program funds than a reasonably knowledgeable, prudent investor would under similar circumstances.

***Quid pro quo* harassment**

Type of sexual harassment that occurs when an employee is forced to choose between giving in to a superior's sexual demands and forfeiting an economic benefit such as a pay increase, a promotion, or continued employment.

Reasonable accommodation

Modifying a job application process, a work environment, or the circumstances under which a job is performed to enable a qualified individual with a disability to be considered for the job and perform its essential functions.

Redeployment

Process by which an organization moves an employee out of an international assignment; can involve moving back to the home country, moving to a different global location, or moving to a new location or position in the current host country.

Repatriation

Process by which employees returning from international assignments reintegrate into their home country's culture, conditions, and employment.

Residual risk

Amount of uncertainty that remains after all risk management efforts have been exhausted.

Risk

Uncertainty that has an effect on an objective, where outcomes may include opportunities, losses, and threats.

Risk appetite

A high-level characterization of the amount of uncertainty (acceptable risk) an organization is willing to pursue or to accept to attain its risk management goals.

Risk control

Action taken to manage a risk.

Risk management

System for identifying, evaluating, and controlling actual and potential risks to an organization.

Risk position

Organization’s desired gain or acceptable loss in value.

Risk scorecard

Tool used to gather individual assessments of various characteristics of risk (for example, frequency of occurrence; degree of impact, loss, or gain for the organization; degree of efficacy of current controls).

Risk tolerance

A characterization of the amount of uncertainty (acceptable risk) an organization is willing to pursue or to accept to attain its risk management goals, defined in a range above and below a target.

Sarbanes-Oxley Act (SOX)

U.S. act that requires that all publicly held companies establish internal controls and procedures for financial reporting to reduce the possibility of corporate fraud.

Sexual orientation

Sexual, romantic, or emotional/spiritual attraction that one feels for persons of the opposite sex or gender, the same sex or gender, or both sexes and more than one gender.

Single loss expectancy (SLE)

Expected monetary loss every time a risk occurs; calculated by multiplying asset value by exposure factor.

Sustainability

Practice of purchasing and using resources wisely by balancing economic, social, and environmental concerns, with the goal of securing the interests of present and future generations.

Triple bottom line

Economic, social, and environmental impact metrics used to determine an organization’s success.

Uniform Guidelines on Employee Selection Procedures

Procedural document designed to assist employers in complying with federal regulations prohibiting discrimination.

Uniformed Services Employment and Reemployment Rights Act (USERRA)

U.S. act that protects the employment, reemployment, and retention rights of persons who serve or have served in the uniformed services.

Vesting

Process by which a retirement benefit becomes nonforfeitable.

Vietnam Era Veterans’ Readjustment Assistance Act (VEVRAA)

U.S. act that prohibits discrimination against specified categories of veterans; applies to federal government contractors and subcontractors.

Vicarious liability

Legal doctrine under which a party can be held liable for the wrongful actions of another party.

Walsh-Healey Public Contracts Act

U.S. act that establishes a minimum wage, maximum hours, and health and safety standards for contracts to manufacture or furnish materials, articles, or equipment to the U.S. government or the District of Columbia.

***Weingarten* rights**

Union employees' right in U.S. to have a union representative or coworker present during an investigatory interview.

Whistleblowing

Reporting of an organization's violations of policies and processes by employees.

Worker Adjustment and Retraining Notification (WARN) Act

U.S. act that requires some employers to give a minimum of 60 days' notice if a plant is to close or if mass layoffs will occur.

Workweek

Any fixed, recurring period of 168 consecutive hours (7 days times 24 hours = 168 hours).

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